

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that such interest is included in adjusted current earnings when calculating corporate alternative minimum taxable income. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. See “TAX MATTERS” herein.

**\$8,500,000**

CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Wastewater Revenue Bonds, Series 2014
(Humboldt Community Services District Project)

Dated: Date of Delivery**Due: June 1, as shown on the inside cover hereof**

The California Municipal Finance Authority Wastewater Revenue Bonds, Series 2014 (Humboldt Community Services District Project) (the “Bonds”) will be issued in fully registered form only and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). Ownership interests in the Bonds will be in denominations of \$5,000 or any integral multiple thereof. Beneficial owners of the Bonds will not receive physical certificates representing the Bonds purchased, but will receive a credit balance on the books of the nominees of such purchasers. Interest on the Bonds is payable semiannually on June 1 and December 1, commencing June 1, 2015 (the “Interest Payment Dates”). Principal of, premium, if any, and interest on the Bonds will be paid by U.S. Bank National Association, San Francisco, California, as trustee (the “Trustee”) to DTC, which in turn will remit such principal, premium, if any, and interest to its participants for subsequent disbursement to beneficial owners of the Bonds as described herein. See “**APPENDIX F — Book-Entry Only System**” herein.

The Bonds are being issued (i) to finance the construction of certain improvements (see “**THE PROJECT**”) to the wastewater system of the Humboldt Community Services District (the “District”), (ii) to fund a reserve fund, and (iii) to pay the costs of issuance of the Bonds.

The Bonds are limited obligations of the California Municipal Finance Authority (the “Authority”) payable solely from Revenues generally consisting of Installment Payments to be made by the District and from amounts on deposit in certain funds and accounts held under the Trust Agreement. The Installment Payments are special obligations of the District under the Installment Sale Agreement and are secured by a pledge of the System Net Revenues of the Wastewater System. While all of the District’s Fiscal Year 2012-2013 audited financial statements are included as Appendix B of this Official Statement, only System Net Revenues of the Wastewater System are pledged to secure the Installment Payments.

None of the Authority, any Authority member or any person executing the Bonds is liable personally on the Bonds or subject to any personal liability or accountability by reason of their issuance. The Bonds are limited obligations of the Authority, payable solely from and secured by the pledge of certain Revenues under the Trust Agreement. Neither the Authority, its members, the State of California, nor any of its political subdivisions shall be directly, indirectly, contingently or morally obligated to use any other moneys or assets to pay all or any portion of the debt service due on the Bonds or for the payment of Installment Payments, to levy or to pledge any form of taxation whatever therefor or to make any appropriation for their payment. The Bonds and the obligation to make Installment Payments are not a pledge of the faith and credit of the Authority, its members, the State of California or any of its political subdivisions, nor do they constitute indebtedness within the meaning of any constitutional or statutory debt limitation. The Authority has no taxing power.

The Bonds are subject to optional and mandatory redemption prior to maturity as described herein. See “**THE BONDS — Redemption**” herein.

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under an insurance policy to be issued concurrently with the delivery of the Bonds by ASSURED GUARANTY MUNICIPAL CORP. See “**BOND INSURANCE**” herein.

**Maturity Schedule located on inside front cover**

THIS COVER PAGE CONTAINS INFORMATION FOR REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS MUST READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

The Bonds will be offered when, as and if issued, subject to the approval of validity by Orrick, Herrington & Sutcliffe LLP, Bond Counsel. Certain legal matters will be passed upon for the District by Mitchell, Brisso, Delaney & Vrieze, LLP, and for the Authority by its special counsel, Jones Hall, A Professional Law Corporation. Orrick, Herrington & Sutcliffe LLP will serve as Disclosure Counsel. Certain legal matters will be passed upon for the Underwriter by Stradling Yocca Carlson & Rauth, A Professional Corporation, Counsel to the Underwriter. It is expected that the Bonds will be delivered through the facilities of DTC on or about November 19, 2014, in New York, New York, against payment therefor.

Raymond James

\$8,500,000
MATURITY SCHEDULE
(Base CUSIP† 13049W)

<u>Maturity (June 1)</u>	<u>Principal Amount</u>	<u>Interest Rate</u>	<u>Yield</u>	<u>CUSIP†</u>
2015	\$ 90,000	2.000%	0.250%	AA3
2016	165,000	3.000	0.520	AB1
2017	170,000	4.000	0.750	AC9
2018	180,000	4.000	1.040	AD7
2019	185,000	4.000	1.370	AE5
2020	190,000	4.000	1.700	AF2
2021	200,000	4.000	2.030	AG0
2022	210,000	4.000	2.330	AH8
2023	215,000	4.000	2.470	AJ4
2024	225,000	4.000	2.620	AK1
2025	235,000	4.000	2.850*	AL9
2026	245,000	3.000	3.100	AM7
2027	250,000	3.125	3.270	AN5
2028	260,000	3.250	3.450	AP0
2029	265,000	3.375	3.550	AQ8
2030	275,000	3.500	3.600	AR6
2031	285,000	3.500	3.650	AS4
2032	295,000	3.500	3.700	AT2
2033	305,000	3.500	3.750	AU9
2034	315,000	3.625	3.800	AV7

\$1,780,000 4.00% Term Bond due June 1, 2039 Yield:4.05% CUSIP† 13049WAW5

\$2,160,000 4.00% Term Bond due June 1, 2044 Yield:4.10% CUSIP† 13049WAX3

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* Priced to the par call date of June 1, 2024.

IMPORTANT NOTICES AND INFORMATION

No dealer, broker, salesman or other person has been authorized to give any information or to make any representation other than those contained in this Official Statement, and, if given or made, such other information or representation must not be relied upon as having been authorized by the District, the Authority or the Underwriter. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person, in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of facts.

The information contained in this Official Statement has been furnished by the District, the Authority and other sources which are deemed to be reliable but is not guaranteed as to accuracy or completeness by, and is not to be construed as a representation by the Underwriter. The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement, nor any sale hereunder, shall under any circumstances create an implication that there has been no change in the affairs of the District, the Authority or any other matter described herein since the date hereof.

Assured Guaranty Municipal Corp. (“AGM”) makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading “BOND INSURANCE” and APPENDIX G – “SPECIMEN MUNICIPAL BOND INSURANCE POLICY” attached hereto.

The Underwriter has provided the following sentence for inclusion in this Official Statement: The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibility to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements are generally identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget,” or other similar words. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Neither the Authority nor the District plans to issue any updates or revisions to those forward-looking statements if or when their expectations, or events, conditions or circumstances on which such statements are based, occur. Such forward-looking statements include, but are not limited to, certain statements contained in the projections of future operating results of the District under the caption “THE WASTEWATER SYSTEM – Debt Service Coverage” herein.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVER-ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

The Bonds have not been registered under the Securities Act of 1933, as amended, in reliance upon an exemption contained in the Act. The Bonds have not been registered or qualified under the securities laws of any state.

The District maintains a website at <http://humboldtcsd.com>. The information presented therein is not a part of this official statement, is not incorporated by reference herein, and should not be relied upon in making an investment decision with respect to the Bonds.

HUMBOLDT COMMUNITY SERVICES DISTRICT

District Board of Directors

Dave Saunderson, *President*
Frank Scolari
Alan Bongio
David Tyson
Gregg Gardiner

District Staff

David M. Hull, *General Manager*
Paul Rodrigues, *Finance Manager*
Tim Latham, *Superintendent*

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San Francisco, California

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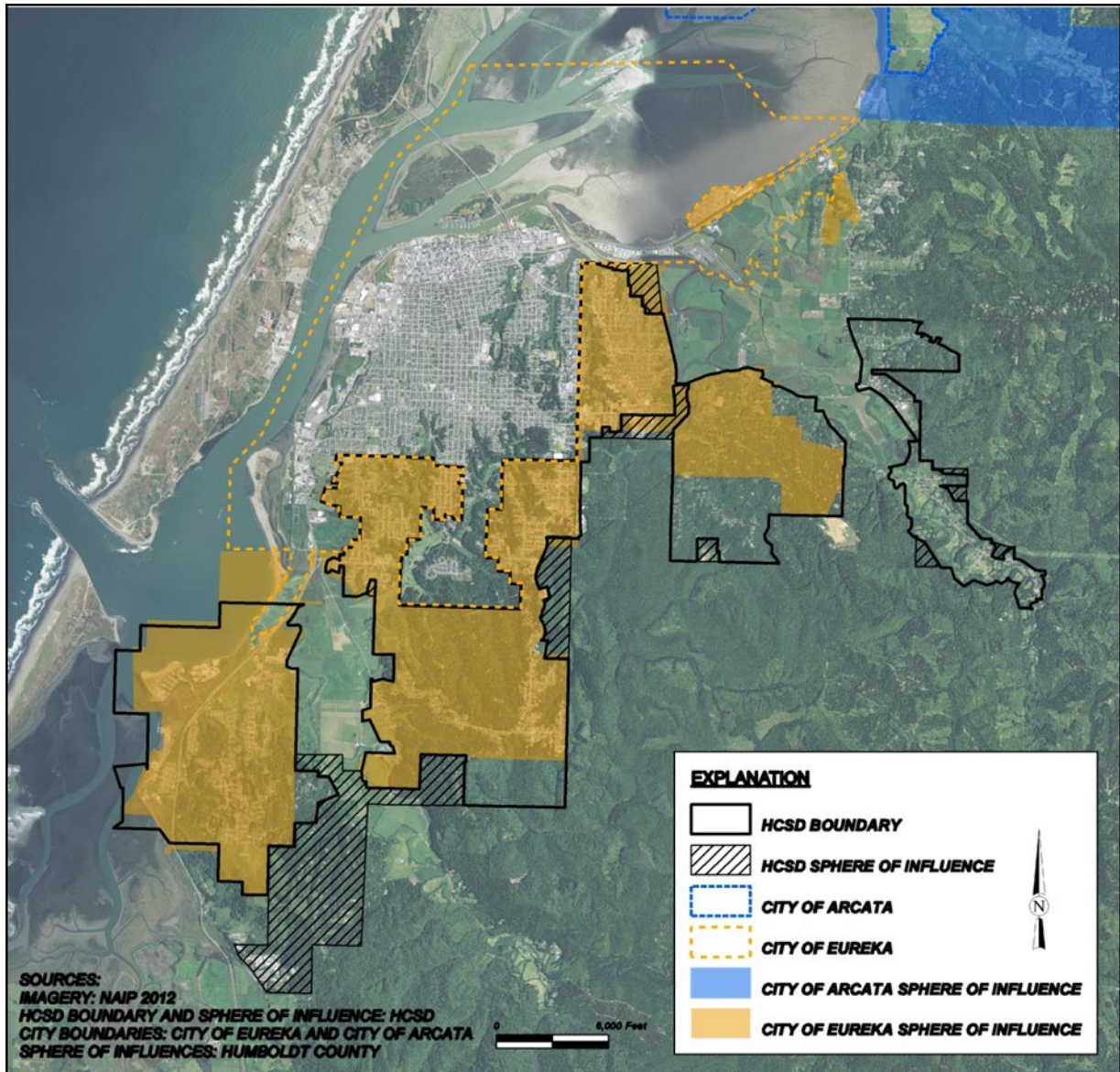


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OFFICIAL STATEMENT

\$8,500,000

**California Municipal Finance Authority
Wastewater Revenue Bonds, Series 2014
(Humboldt Community Services District Project)**

INTRODUCTION

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Bonds to potential investors is made only by means of the entire Official Statement. Capitalized terms used, but not otherwise defined, herein, shall have the meanings ascribed thereto in “**APPENDIX A — SUMMARY OF PRINCIPAL LEGAL DOCUMENTS — Certain Definitions.**”

General

The purpose of this Official Statement, which includes the cover page, inside cover, table of contents and appendices hereto is to provide certain information concerning the issuance, sale and delivery by the California Municipal Finance Authority (the “Authority”) of its Wastewater Revenue Bonds, Series 2014 (Humboldt Community Services District Project) (the “Bonds”), in the aggregate principal amount of \$8,500,000 pursuant to the provisions of a Trust Agreement, dated as of November 1, 2014 (the “Trust Agreement”) between the Authority and U.S. Bank National Association (the “Trustee”). The Bonds will be issued pursuant to Title 1, Division 7, Chapter 5 of the California Government Code (the “Act”).

The District

The Humboldt Community Services District (the “District”) is a community services district formed on September 23, 1952. The District was created to provide water and wastewater service to the unincorporated area of the County surrounding the City of Eureka (the “City”). The District has now expanded the service area to include Myrtletown, Cutten, Rosewood, Worthington, Pine Hill, Humboldt Hill, Fields Landing and King Salmon. The District is governed by an elected five-member Board of Directors (the “District Board” or “District Board of Directors”). The District Board appoints the District General Manager, who is then responsible for selecting and supervising the managers of the departments of the District. For other selected information concerning the District, see “**APPENDIX C – CITY AND COUNTY GENERAL DEMOGRAPHIC INFORMATION**” herein.

Purpose of the Bonds

The Bonds are being issued (i) to finance the construction of certain improvements (see “**THE PROJECT**”) to the wastewater system of the District, (ii) to fund a reserve fund, and (iii) to pay the costs of issuance of the Bonds.

Security for the Bonds

The Bonds are limited obligations of the Authority payable solely from Revenues generally consisting of Installment Payments to be made by the District and from amounts on deposit in certain funds and accounts held under the Trust Agreement. The Installment Payments securing the Bonds are special obligations of the District under the Installment Sale Agreement (Wastewater System) (the “Installment Sale Agreement”), with a principal amount of \$8,500,000, dated as of November 1, 2014 and entered into by the District and the Authority. The Installment Payments under the Installment Sale Agreement are payable solely from, and secured by a pledge of, the System Net Revenues of the Wastewater System (as defined herein). While all of the District’s Fiscal Year 2012-2013 audited financial statements are included as Appendix B of this Official Statement, only System Net Revenues of the Wastewater System are pledged to secure the Installment Payments.

None of the Authority, any Authority member or any person executing the Bonds is liable personally on the Bonds or subject to any personal liability or accountability by reason of their issuance. The Bonds are limited obligations of the Authority, payable solely from and secured by the pledge of certain Revenues under the Trust Agreement. Neither the Authority, its members, the State of California, nor any of its political subdivisions shall be directly, indirectly, contingently or morally obligated to use any other moneys or assets to pay all or any portion of the debt service due on the Bonds or for the payment of Installment Payments, to levy or to pledge any form of taxation whatever therefor or to make any appropriation for their payment. The Bonds and the obligation to make Installment Payments are not a pledge of the faith and credit of the Authority, its members, the State of California or any of its political subdivisions, nor do they constitute indebtedness within the meaning of any constitutional or statutory debt limitation. The Authority has no taxing power. For more information regarding the security for the Bonds, see **“SECURITY AND SOURCES OF PAYMENT FOR THE BONDS”**.

Rate Covenant

The District covenants in the Installment Sale Agreement, to the fullest extent permitted by law, to fix prescribe and collect rates and charges and maintain its operations such that System Net Revenues will be equal to at least 120% of the Installment Payments and Debt Service on other Parity Obligations during each Fiscal Year and such that System Net Revenues (excluding connection fees and money transferred from any rate stabilization fund should one be established) will be equal to at least 100% of the Installment Payments and other Parity Obligations during each Fiscal Year. See **“SECURITY AND SOURCES OF PAYMENT FOR THE BONDS — Rate Covenant”** herein.

Existing and Additional Parity Obligations

The 2014 Water Installment Payments are on a parity with payments under the Loan and Installment Sale Agreement (the “2012 Installment Agreement”), dated as of August 15, 2012, by and between the Municipal Finance Corporation and the District in the amount of \$4,487,000. In addition, the Installment Sale Agreement provides that under certain circumstances the District may at any time enter into obligations secured by a lien and charge upon the System Net Revenues equal to and on parity lien and charge with the Installment Payments.

See **“SECURITY AND SOURCES OF PAYMENT FOR THE BONDS — Additional Parity Obligations”** and **“THE WASTEWATER SYSTEM – Existing Long-Term Obligations; Existing and Additional Parity Obligations”** herein.

Description of the Bonds

The Bonds will be issued as fully-registered current interest bonds without coupons in denominations of \$5,000 principal amount each, or any integral multiple thereof, and will be registered initially in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository for the Bonds. See **“APPENDIX F — BOOK-ENTRY ONLY SYSTEM”** herein.

Interest on the Bonds is payable semiannually each June 1 and December 1, commencing June 1, 2015. Principal of the Bonds is payable on June 1 in each year due, as set forth on the inside cover page hereof.

The Bonds maturing on and after June 1, 2025 may be redeemed prior to maturity at the option of the District beginning on June 1, 2024. See **“THE BONDS — Redemption”** herein.

Tax Matters

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel, based upon an analysis of existing laws, regulations, rulings and court decisions and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that such interest is included in adjusted current earnings in calculating corporate alternative minimum taxable income. Bond Counsel expresses no opinion regarding any other tax consequences related to the

ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. See “**TAX MATTERS**” herein.

Offering and Delivery of the Bonds

The Bonds will be offered when, as and if issued by the Authority and received by the Underwriter, subject to approval as to their validity by Bond Counsel. It is anticipated that the Bonds, in book-entry form, will be available for delivery through DTC in New York, New York on or about November 19, 2014.

Continuing Disclosure

The District has covenanted for the benefit of the holders and beneficial owners of the Bonds to annually provide certain financial information and operating data relating to the District (the “Annual Report”) and to provide notices of the occurrence of certain enumerated events, if material. See “**CONTINUING DISCLOSURE**” and “**APPENDIX D — FORM OF CONTINUING DISCLOSURE CERTIFICATE**” herein.

Summaries Not Definitive

Brief descriptions of the Bonds, the security and sources of payment for the Bonds, the Authority, the District, and the Wastewater System, are included in this Official Statement together with summaries of the Trust Agreement and the Installment Sale Agreement. Such descriptions do not purport to be comprehensive or definitive. Capitalized terms used herein and not otherwise defined shall have the meanings set forth in “**APPENDIX A — SUMMARY OF PRINCIPAL LEGAL DOCUMENTS**,” and if not therein, then in the Trust Agreement. All references herein to the Trust Agreement and the Installment Sale Agreement are qualified in their entirety by reference to such documents, and references herein to the Bonds are qualified in their entirety by reference to the forms thereof, copies of all of which are available for inspection at the principal corporate trust office of the Trustee.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change.

Copies of documents referred to herein and information concerning the Bonds are available from the Finance Manager, Humboldt Community Services District, 5055 Walnut Drive, Eureka, CA 95534. The District may impose a charge for copying, mailing and handling.

THE PROJECT

The Project

The Martin Slough Interceptor Project is a joint project between the City and the District and generally consists of the construction and development of new wastewater collection and conveyance components within the Wastewater System, including new collection lines connecting up to 16 existing lift stations to a new gravity wastewater collection pipeline, a new pump station, a new force main and appurtenant improvements. As described below, the proceeds of the Bonds will be used to finance Phases 2b and 2c of the Martin Slough Interceptor Project (such phases hereinafter described as the “Project.”)

The City and the District are partners on the Martin Slough Interceptor Project. The City will own and operate the system with a 36% allocated volumetric capacity. The District will pay for and receive the remaining 64% volumetric capacity. The Martin Slough Interceptor Project is estimated to cost \$17.26 million. The City’s cost share is approximately \$6.21 million and the District cost share is approximately \$11.05 million. The Project is expected to cost \$12.5 million and the District’s cost share for the Project is approximately \$8 million.

The Martin Slough Interceptor Project is being constructed in three phases and will serve an estimated total of 9,525 dwelling units at full build-out of the project area, together with approximately 94 non-residential parcels.

Phase 1 of the Martin Slough Interceptor Project included the installation of a new gravity sewer interceptor pipeline. In May of 2011, the City awarded Phase 1 to the Mercer-Fraser Company in the amount of

\$4,539,065, of which the District's cost share, after grant funding, was \$1,028,876. Phase 1 construction has been completed.

Phase 2 of the Martin Slough Interceptor Project consists of three sub-phases: 2a) the construction of a new pump station; 2b) the construction of a new force main extending from the new pump station to the Elk River Wastewater Treatment Plant; and 2c) the decommissioning of several lift stations and/or redirection of wastewater flows into the piping constructed in Phase 1 and the associated addition of necessary collector piping. The City subsequently awarded Phase 2a to Stanek Constructors in the amount of \$4,519,000. Phase 2a construction is complete.

As a cost saving measure, sub-phases 2b and 2c were combined into a single project in early 2014. The initial contractor, Apex Directional Drilling LLC ("Apex"), abandoned the job and City has contracted with Wahlund Construction in conjunction with HDD Co. In May Apex filed a \$6.3 million lawsuit against the City alleging, among other things, negligence, misrepresentations and breach of contract, relating to its original contract with the City. The City countersued Apex and filed a claim with Apex's bonding company. The court ruled that the original suit and the countersuit go to arbitration. The parties to the lawsuits are currently in arbitration. The District is unable to predict as this time whether the City will prevail in its original lawsuit with Apex but estimates that if Apex were to prevail the maximum amount that the District would be obligated to pay the City would be approximately \$2.1 million.

According to the City of Eureka's Engineering Department, the Project is estimated to finish by the close of calendar year 2014.

Phase 3 of the Martin Slough Interceptor Project includes future work, primarily by the District, to decommission lift stations and construct additional collector pipelines. However, no permits are being sought for Phase 3 at this time.

The City, as lead agency, has completed California Environmental Quality Act ("CEQA") compliance procedures and all other regulatory approvals related to the Martin Slough Interceptor Project.

THE BONDS

General

The Bonds will be dated the date of delivery thereof and will be issued in fully registered form, without coupons, in the denominations of \$5,000 or any integral multiple thereof. The Bonds will be initially registered in the name of "Cede & Co.," as nominee of The Depository Trust Company, New York, New York ("DTC"), which has been appointed depository for the Bonds, and registered ownership may not thereafter be transferred except as provided in the Trust Agreement. See "**APPENDIX F — BOOK-ENTRY ONLY SYSTEM**" herein.

Principal of and premium, if any, on the Bonds will be paid by the Trustee at maturity or redemption to DTC, which in turn will remit such principal and premium, if any, to its participants for subsequent disbursement to beneficial owners of the Bonds as described herein. See "**APPENDIX F — BOOK-ENTRY ONLY SYSTEM**" herein. Interest on the Bonds will be payable semiannually on June 1 and December 1, commencing June 1, 2015, to DTC in the same manner as described in the preceding sentence. Interest on the Bonds shall be computed on the basis of a 360 day year of twelve 30 day months.

Redemption

Optional Redemption. The Bonds maturing on or prior to June 1, 2024, are not subject to optional redemption. The Bonds maturing on and after June 1, 2025 are subject to optional redemption prior to maturity at the written direction of the Authority, from any moneys deposited by the Authority or the District, as a whole or in part on any date on or after June 1, 2024, and among such maturities as are designated by the Authority to the Trustee, at a Redemption Prices equal to the principal amount of Bonds called for redemption, together with accrued interest to the date fixed for redemption.

Mandatory Sinking Fund Redemption. Term Bonds maturing on June 1, 2039, shall be subject to redemption prior to their stated maturity, in part by lot, from mandatory sinking fund payments in the following amounts and on the following dates, at the principal amount thereof on the date fixed for redemption, without premium:

Mandatory Sinking Fund Payment Date	Principal Price
June 1, 2035	\$330,000
June 1, 2036	340,000
June 1, 2037	355,000
June 1, 2038	370,000
June 1, 2039*	385,000

*Maturity

Term Bonds maturing on June 1, 2044, shall be subject to redemption prior to their stated maturity, in part by lot, from mandatory sinking fund payments in the following amounts and on the following dates, at the principal amount thereof on the date fixed for redemption, without premium:

Mandatory Sinking Fund Payment Date	Principal Price
June 1, 2040	\$400,000
June 1, 2041	415,000
June 1, 2042	430,000
June 1, 2043	450,000
June 1, 2044*	465,000

*Maturity

Procedure for and Notice of Redemption. The Trustee will cause notice of each redemption to be given to the Owner of any Bonds designated for redemption at the address which appears upon the registration books of the Trustee by mailing a copy of the redemption notice at least 30 but not more than 60 days prior to the redemption date. The failure of any Owner to receive such notice or any defect in such notice will not affect the validity of the redemption of any Bonds.

Selection of Bonds for Redemption. Whenever less than all the Bonds of any one maturity are to be redeemed, the Trustee will select Bonds of such maturity for redemption by lot.

Cancellation of Notice. The Authority may, at its option, prior to the date fixed for redemption in any notice of redemption rescind and cancel such notice of redemption by Written Request to the Trustee and the Trustee shall mail notice of such cancellation to the recipients of the notice of redemption being canceled.

Effect of Notice of Redemption. If notice of redemption has been duly given as aforesaid and money for the payment of the redemption price of the Bonds called for redemption is held by the Trustee, then on the redemption date designated in such notice Bonds so called for redemption shall become due and payable, and from and after the date so designated interest on such Bonds shall cease to accrue, and the Owners of such Bonds shall have no rights in respect thereof except to receive payment of the redemption price thereof.

All Bonds redeemed pursuant to the provisions of the Trust Agreement shall be canceled by the Trustee and shall be destroyed with a certificate of destruction furnished to the Authority upon its request and shall not be reissued.

SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

Sources of Payment

The Bonds are limited obligations of the Authority payable solely from Revenues, consisting of Installment Payments to be made by the District and from amounts on deposit in certain funds and accounts held under the Trust Agreement. The Installment Payments securing the Bonds are special obligations of the District under the Installment Sale Agreement. The principal amount of the Installment Sale Agreement is \$8,500,000. While all of the District's Fiscal Year 2012-2013 audited financial statements are included as Appendix B of this Official Statement, only System Net Revenues of the Wastewater System are pledged to secure the Installment Payments.

Pledge of System Net Revenues

The Installment Payments under the Installment Sale Agreement are secured by a pledge of the System Net Revenues of the Wastewater System. The pledge of the System Net Revenues under the Installment Sale Agreement secures only the obligation to pay Installment Payments and other obligations under the Installment Sale Agreement.

"System" means the Wastewater System.

"System Gross Revenues" means all gross income and revenue received by the District from the ownership and operation of the System, determined in accordance with Generally Accepted Accounting Principles, including, without limiting the generality of the foregoing, (a) all income, rents, rates, fees, connection fees, charges or other moneys derived from the services, facilities and commodities sold, furnished or supplied through the facilities of the System, (b) the earnings on and income derived from the investment of such income, rents, rates, fees, charges or other moneys (including all investment earnings credited by the Trustee to the Revenue Fund), (c) the proceeds derived by the District directly or indirectly from the sale, lease or other disposition of a part of the System as permitted in the applicable Installment Sale Agreement, and (d) any transfers from (but excluding transfers to) a rate stabilization fund for the System; provided, however, that the term "System Gross Revenues" shall not include customers' deposits or any other deposits subject to refund until such deposits have become the property of the District.

"System Net Revenues" are defined to mean, with respect to the System, for any period of computation, the amount of the System Gross Revenues received from the System during such period less the amount of Maintenance and Operation Costs of the System becoming payable during such period.

"Maintenance and Operation Costs" means the reasonable and necessary costs paid or incurred by the District for maintaining and operating the System, including but not limited to amounts due to the City pursuant to the Operating Agreement, determined in accordance with Generally Accepted Accounting Principles, including all reasonable expenses of management and repair and other expenses necessary to maintain and preserve the System in good repair and working order, and including all administrative costs of the District that are charged directly or apportioned to the operation of the System, such as salaries and wages of employees, overhead, taxes (if any) and insurance premiums, and including all other reasonable and necessary costs of the District or charges required to be paid by it to comply with the terms of the Installment Sale Agreement or of any resolution authorizing the issuance of any Parity Obligations, such as compensation, reimbursement and indemnification of the trustee for any such Parity Obligations and fees and expenses of Independent Certified Public Accountants and Independent Engineers, Insurance Consultants and the Finance Manager, but excluding in all cases depreciation, replacement and obsolescence charges or reserves therefor, amortization of intangibles and intergovernmental transfers by the District which are not reimbursements or payments for overhead or other administrative expenses incurred by the District.

"Wastewater System" means properties and assets, real and personal, tangible and intangible, of the District, now or hereafter existing, used or pertaining to the collection, treatment or disposal of sewage and waste, including all additions, extensions, expansions, improvements, and betterments thereto and equipping thereof together with any other properties or assets hereafter determined by the Board of Directors of the District to be part of the Wastewater System.

Reserve Fund

The Trust Agreement establishes the Reserve Fund to cover deficiencies with respect to Installment Payments. Within the Reserve Fund there is established a Reserve Account relating to obligations under the Installment Sale Agreement. All money in (or available to) the Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of replenishing the Interest Account or the Principal Account (in such order) in the event of any deficiency at any time in any of the Installment Payments. As of the date of delivery, the Reserve Account Requirement with respect to the Bonds is \$487,775. Such requirement will be initially satisfied with the deposit of a municipal bond debt service insurance policy issued by Assured Guaranty Municipal Corp.

Earnings on amounts in the Reserve Account in excess of the Reserve Account Requirement shall be transferred to the Installment Payment Account of the Revenue Fund on June 1 and December 1 of each year.

In the event of a withdrawal of amounts from the Reserve Account within the Reserve Fund to make payments to the Interest Account or Principal Account, the Trustee shall deposit in the Reserve Account moneys from the Revenue Fund necessary to restore the amount in the Reserve Account to the Reserve Account Requirement; provided, that if there has been a draw upon any policy of insurance, surety bond, letter of credit or other comparable credit facility used to provide all or a portion of the Reserve Account Requirement, said Installment Payments shall be applied to reimburse the provider of such instrument for payments made under such draw plus its expenses in connection therewith.

The Authority may satisfy the Reserve Account Requirement at any time by the deposit with the Trustee for the credit of the Reserve Account of a surety bond, an insurance policy or letter of credit as described below (each a "Reserve Facility"), or any combination thereof. Provisions relating to the initial Reserve Facility are set forth in the Trust Agreement.

A surety bond or insurance policy issued to the Trustee, on behalf of the Bondholders, by a company licensed to issue an insurance policy guaranteeing the timely payment of the principal of and interest on the Bonds (a "municipal bond insurer") may be deposited in the Reserve Account to meet the Reserve Account Requirement if such municipal bond insurer at the time of deposit shall be rated in one of the three highest categories by Moody's or S&P.

A letter of credit may be deposited in the Reserve Account to meet the Reserve Account Requirement, provided that any such letter of credit must be issued or confirmed by a state or national bank, or a foreign bank with an agency or branch located in the continental United States, which has outstanding an issue of unsecured long term debt securities rated at least equal to the one of the three highest rating categories (disregarding rating subcategories by Moody's or S&P), but in no event less than the rating on the Bonds given by any rating agency which has a then currently effective rating on the Bonds.

Unless the Bonds have been fully paid and retired, the Trustee shall draw the full amount of any letter of credit credited to the Reserve Account for such Bonds on the third Business Day preceding the date such letter of credit (taking into account any extension, renewal or replacement thereof) would otherwise expire, and shall deposit moneys realized pursuant to such draw in the Reserve Fund.

If the Authority causes a cash-funded Reserve Fund to be replaced with a Reserve Facility meeting the requirements of either described in paragraphs 5 or 6 of this subsection, amounts on deposit in the Reserve Fund shall, upon Written Request of the District to the Trustee, be transferred, subject to the receipt by the Authority of an Opinion of Counsel that such transfer will not cause the interest on the Bonds to be included in gross income for purposes of federal income taxation, to the District and applied for any lawful purpose.

Parity Obligations

The 2014 Water Installment Payments are on a parity with payments under the 2012 Installment Agreement in the original amount of \$4,487,000. In addition, the Installment Sale Agreement provides that under certain circumstances the District may at any time enter into obligations secured by a lien and charge upon the System Net Revenues equal to and on parity lien and charge with the Installment Payments.

Rate Covenant

The District covenants in the Installment Sale Agreement, to fix prescribe and collect rates and charges and maintain its operations such that System Net Revenues will be equal to at least 120% of the Installment Payments and Debt Service on any Parity Obligations during each Fiscal Year and such that System Net Revenues (excluding connection fees and money transferred from any rate stabilization fund should one be established) will be equal to at least 100% of the Installment Payments and Debt Service on other Parity Obligations during each Fiscal Year.

Rate Stabilization Fund

The District may create under the Installment Sale Agreement a rate stabilization fund with respect to the System. Transfers from the rate stabilization fund shall be treated as System Gross Revenues.

Additional Parity Obligations

The Installment Sale Agreement provides that the District may at any time enter into obligations secured by a lien and charge upon the System Net Revenues equal to and on a parity lien and charge with the Installment Payments, provided:

- (a) Either -
 - (1) as evidenced by a Certificate of the District, during (i) the most recent audited Fiscal Year or (ii) any twelve (12) consecutive calendar months out of the immediately preceding eighteen (18) calendar month period, the System Net Revenues were at least equal to one hundred twenty percent (120%) of the Maximum Annual Debt Service for all Outstanding 2014 Installment Payments and all Outstanding Parity Obligations plus the Parity Obligations proposed to be executed; or
 - (2) as evidenced by a Certificate of the District, the projected System Net Revenues during the first Fiscal Year in which Debt Service on the Parity Obligation is payable (other than from proceeds thereof), is at least equal to one hundred twenty percent (120%) of the Maximum Annual Debt Service for all Outstanding 2014 Installment Payments and all Outstanding Parity Obligations plus the Parity Obligations proposed to be executed;
- (b) The proceeds of such Parity Obligations proposed to be executed shall be used solely to finance or refinance (including reimbursement to the District of amounts advanced for such costs) one or more additions, betterments or improvements to the System, working capital or other lawful purposes relating to the System, as designated by the District and to pay any incidental costs and expenses related thereto including the costs of issuance, execution or delivery of such proposed Parity Obligations;
- (c) There shall have been delivered to the District an Opinion of Counsel substantially to the effect that (1) the District has the right and power under applicable law to execute and deliver the Parity Obligation, and the Parity Obligation has been duly and lawfully executed and delivered by the District, is in full force and effect and is a valid and binding special obligation of the District, and (2) such Parity Obligations has been duly and validly authorized and issued in accordance Installment Sale Agreement; and
- (d) The District is not in default under the Installment Sale Agreement.

Notwithstanding the foregoing provisions, neither clause (a) nor clause (b) above shall limit the ability of the District to execute any Parity Obligation at any time to refund any Outstanding Parity Obligation if the annual Debt Service for each Fiscal Year during which such Parity Obligation is Outstanding will not be increased by reason of the issuance of such Parity Obligation.

Flow of Funds

The District covenants in the Installment Sale Agreement that the respective Gross System Revenues, when and as received, will be held by the District in trust and will be deposited in the District's Sewer Fund, as the case may be, and shall be accounted for separately and apart from all other money, funds, accounts or other resources of the District. Gross System Revenues shall be applied and transferred, as follows:

(1) Maintenance and Operation Costs. The District shall first pay from the moneys in the Sewer Fund the budgeted Maintenance and Operation Costs as such expenses become due and payable.

(2) Debt Service Fund. On or prior to the fourth Business Day prior to each Interest Payment Date, the District shall transfer the Installment Payments to the Trustee for deposit in the Revenue Fund in an amount equal to the aggregate amount of interest and principal (including any sinking fund installments) due and payable on all Outstanding Bonds on the next succeeding Interest Payment Date. The District shall also pay to the party entitled thereto or transfer or cause to be transferred to any applicable debt service or other payment fund or account for any Parity Obligations, without preference or priority between transfers described in this sentence and the preceding sentence, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, on the dates specified in the proceedings relating to such Parity Obligations, the sum or sums required to be paid or deposited in such debt service or other payment fund or account with respect to principal, premium, if any, and interest on Parity Obligations in accordance with the terms of such Parity Obligations.

(3) After deposits and transfers pursuant to paragraph (1) and (2) above and prior to the transfers and deposits pursuant to paragraph (4) below, transfer to the Bond Insurer (as defined below) (a) a sum, if any, equal to the total of all amounts paid by the Bond Insurer under the Policy (as defined below) ("Insurer Advances"), and (b) interest on such Insurer Advances from the date paid by the Bond Insurer until the payment thereof in full, payable to the Bond Insurer at the applicable late payment rate per annum (collectively, the "Insurer Reimbursement Amounts").

(4) Reserve Account Deposits. On or before the fourth Business Day before each Installment Payment Date, the District shall, from the remaining money on deposit in the System Revenue Fund after deposits and transfers pursuant to paragraph (1) above, transfer to the Trustee for deposit in the Reserve Account that sum, if any, necessary to restore the Reserve Account to an amount equal to the Reserve Account Requirement. Any amount transferred to the Trustee shall be applied first to pay the issuer of each Reserve Facility which had been drawn on pursuant to the Trust Agreement (on a pro rata basis based on the amount drawn) to restore each such Reserve Facility to its full amount. The District shall also, from such remaining moneys in the System Revenue Fund, transfer or cause to be transferred to any applicable reserve fund or account for any Parity Obligations for which a separate reserve has been funded pursuant to the Installment Sale Agreement, without preference or priority between transfers made pursuant to this sentence and the preceding sentence, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, the sum or sums, if any, equal to the amount required to be deposited therein in accordance with the terms of such Parity Obligations.

(5) Parity Obligation Reserve Account Deposits. The District shall also, from such remaining moneys in the System Revenue Fund, transfer or cause to be transferred to any applicable reserve fund or account for any Parity Obligations for which a separate reserve has been funded, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, the sum or sums, if any, equal to the amount required to be deposited therein in accordance with the terms of such Parity Obligations.

(6) Surplus. After the foregoing transfers are made, any moneys remaining in the Sewer Fund may be treated as surplus and applied for any lawful purpose.

Limited Obligations

None of the Authority, any Authority member or any person executing the Bonds is liable personally on the Bonds or subject to any personal liability or accountability by reason of their issuance. The Bonds are limited obligations of the Authority, payable solely from and secured by the pledge of certain Revenues under the Trust Agreement. Neither the Authority, its members, the State of California, nor any of its political subdivisions shall be directly, indirectly, contingently or morally obligated to use any other moneys or assets to pay all or any portion of

the debt service due on the Bonds or for the payment of Installment Payments, to levy or to pledge any form of taxation whatever therefor or to make any appropriation for their payment. The Bonds and the obligation to make Installment Payments are not a pledge of the faith and credit of the Authority, its members, the State of California or any of its political subdivisions, nor do they constitute indebtedness within the meaning of any constitutional or statutory debt limitation. The Authority has no taxing power.

BOND INSURANCE

Bond Insurance Policy

Concurrently with the issuance of the Bonds, Assured Guaranty Municipal Corp. ("AGM" or the "Bond Insurer") will issue its Municipal Bond Insurance Policy for the Bonds (the "Policy"). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included in APPENDIX G – "SPECIMEN MUNICIPAL BOND INSURANCE POLICY" attached hereto.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Assured Guaranty Municipal Corp.

AGM is a New York domiciled financial guaranty insurance company and an indirect subsidiary of Assured Guaranty Ltd. ("AGL"), a Bermuda-based holding company whose shares are publicly traded and are listed on the New York Stock Exchange under the symbol "AGO". AGL, through its operating subsidiaries, provides credit enhancement products to the U.S. and global public finance, infrastructure and structured finance markets. Neither AGL nor any of its shareholders or affiliates, other than AGM, is obligated to pay any debts of AGM or any claims under any insurance policy issued by AGM.

AGM's financial strength is rated "AA" (stable outlook) by Standard and Poor's Ratings Services, a Standard & Poor's Financial Services LLC business ("S&P") and "A2" (stable outlook) by Moody's Investors Service, Inc. ("Moody's"). Each rating of AGM should be evaluated independently. An explanation of the significance of the above ratings may be obtained from the applicable rating agency. The above ratings are not recommendations to buy, sell or hold any security, and such ratings are subject to revision or withdrawal at any time by the rating agencies, including withdrawal initiated at the request of AGM in its sole discretion. In addition, the rating agencies may at any time change AGM's long-term rating outlooks or place such ratings on a watch list for possible downgrade in the near term. Any downward revision or withdrawal of any of the above ratings, the assignment of a negative outlook to such ratings or the placement of such ratings on a negative watch list may have an adverse effect on the market price of any security guaranteed by AGM. AGM only guarantees scheduled principal and scheduled interest payments payable by the issuer of bonds insured by AGM on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the relevant insurance policy), and does not guarantee the market price or liquidity of the securities it insures, nor does it guarantee that the ratings on such securities will not be revised or withdrawn.

Current Financial Strength Ratings

On July 2, 2014, S&P issued a credit rating report in which it affirmed AGM's financial strength rating of "AA" (stable outlook). AGM can give no assurance as to any further ratings action that S&P may take.

On July 2, 2014, Moody's issued a rating action report stating that it had affirmed AGM's insurance financial strength rating of "A2" (stable outlook). AGM can give no assurance as to any further ratings action that Moody's may take.

For more information regarding AGM's financial strength ratings and the risks relating thereto, see AGL's Annual Report on Form 10-K for the fiscal year ended December 31, 2013.

Capitalization of AGM

At June 30, 2014, AGM's policyholders' surplus and contingency reserve were approximately \$3,654 million and its net unearned premium reserve was approximately \$1,850 million. Such amounts represent the combined surplus, contingency reserve and net unearned premium reserve of AGM, AGM's wholly owned subsidiary Assured Guaranty (Europe) Ltd. and 60.7% of AGM's indirect subsidiary Municipal Assurance Corp.; each amount of surplus, contingency reserve and net unearned premium reserve for each company was determined in accordance with statutory accounting principles.

Incorporation of Certain Documents by Reference

Portions of the following documents filed by AGL with the Securities and Exchange Commission (the "SEC") that relate to AGM are incorporated by reference into this Official Statement and shall be deemed to be a part hereof:

- (i) the Annual Report on Form 10-K for the fiscal year ended December 31, 2013 (filed by AGL with the SEC on February 28, 2014);
- (ii) the Quarterly Report on Form 10-Q for the quarterly period ended March 31, 2014 (filed by AGL with the SEC on May 9, 2014); and
- (iii) the Quarterly Report on Form 10-Q for the quarterly period ended June 30, 2014 (filed by AGL with the SEC on August 8, 2014).

All consolidated financial statements of AGM and all other information relating to AGM included in, or as exhibits to, documents filed by AGL with the SEC pursuant to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, as amended, excluding Current Reports or portions thereof "furnished" under Item 2.02 or Item 7.01 of Form 8-K, after the filing of the last document referred to above and before the termination of the offering of the Bonds shall be deemed incorporated by reference into this Official Statement and to be a part hereof from the respective dates of filing such documents. Copies of materials incorporated by reference are available over the internet at the SEC's website at <http://www.sec.gov>, at AGL's website at <http://www.assuredguaranty.com>, or will be provided upon request to Assured Guaranty Municipal Corp.: 31 West 52nd Street, New York, New York 10019, Attention: Communications Department (telephone (212) 974-0100). Except for the information referred to above, no information available on or through AGL's website shall be deemed to be part of or incorporated in this Official Statement.

Any information regarding AGM included herein under the caption "BOND INSURANCE – Assured Guaranty Municipal Corp." or included in a document incorporated by reference herein (collectively, the "AGM Information") shall be modified or superseded to the extent that any subsequently included AGM Information (either directly or through incorporation by reference) modifies or supersedes such previously included AGM Information. Any AGM Information so modified or superseded shall not constitute a part of this Official Statement, except as so modified or superseded.

Miscellaneous Matters

AGM or one of its affiliates may purchase a portion of the Bonds or any uninsured bonds offered under this Official Statement and such purchases may constitute a significant proportion of the bonds offered. AGM or such affiliate may hold such Bonds or uninsured bonds for investment or may sell or otherwise dispose of such Bonds or uninsured bonds at any time or from time to time.

AGM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading "BOND INSURANCE"

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds with respect to the Bonds are as follows:

Sources of Funds

Principal Amount of Bonds	\$8,500,000.00
Net Original Issue Premium	104,072.25
Total Sources	\$8,604,072.25

Uses of Funds

Project Fund	\$8,323,153.53
Costs of Issuance ⁽¹⁾	280,918.72
Total Uses	\$8,604,072.25

⁽¹⁾ Includes legal fees, consulting fees, Trustee's fees, underwriter's discount, printing costs, rating agency fees, bond insurance premium, reserve surety premium and other miscellaneous expenses.

DEBT SERVICE

Set forth below are the annual principal, interest and total debt service requirements for the Bonds, assuming no redemptions:

Humboldt Community Services District Annual Debt Service

Fiscal Year (June 30)	Principal	Interest	Total
2015	\$ 90,000	\$171,373.33	\$261,373.33
2016	165,000	319,525.00	484,525.00
2017	170,000	314,575.00	484,575.00
2018	180,000	307,775.00	487,775.00
2019	185,000	300,575.00	485,575.00
2020	190,000	293,175.00	483,175.00
2021	200,000	285,575.00	485,575.00
2022	210,000	277,575.00	487,575.00
2023	215,000	269,175.00	484,175.00
2024	225,000	260,575.00	485,575.00
2025	235,000	251,575.00	486,575.00
2026	245,000	242,175.00	487,175.00
2027	250,000	234,825.00	484,825.00
2028	260,000	227,012.50	487,012.50
2029	265,000	218,562.50	483,562.50
2030	275,000	209,618.76	484,618.76
2031	285,000	199,993.76	484,993.76
2032	295,000	190,018.76	485,018.76
2033	305,000	179,693.76	484,693.76
2034	315,000	169,018.76	484,018.76
2035	330,000	157,600.00	487,600.00
2036	340,000	144,400.00	484,400.00
2037	355,000	130,800.00	485,800.00
2038	370,000	116,600.00	486,600.00
2039	385,000	101,800.00	486,800.00
2040	400,000	86,400.00	486,400.00
2041	415,000	70,400.00	485,400.00
2042	430,000	53,800.00	483,800.00
2043	450,000	36,600.00	486,600.00
2044	465,000	18,600.00	483,600.00
	\$8,500,000	\$5,839,392.13	\$14,339,392.13

THE DISTRICT

General

The District, situated in Humboldt County and approximately 280 miles North of San Francisco, surrounds the southerly and easterly boundaries of the City.

The District was created in 1952 to provide sewer, water and street lighting services to unincorporated areas near the City including Myrtle town, Cutten, Rosewood, Worthington, Pine Hill, Humboldt Hill, Fields Landing and King Salmon. The District's service area consists of approximately 19 square miles. The District is governed by the five-member District Board of Directors, and the Board members are each elected to four-year terms.

The District Board of Directors appoints the District General Manager. The District General Manager is responsible for, among other duties, executive oversight and management of the District departments. The primary District departments are Engineering/Planning, Construction/Maintenance/Operations and Customer Service/Finance.

The District provides water distribution and storage and sewage collection, although it generally does not provide water supply or sewage treatment. The operation, maintenance and customer billing of the wastewater treatment is performed by the City under an agreement between the District and the City, although the District bills its own customers on a monthly basis for usage, treatment and other services. The City's primary wastewater treatment facility is the Elk River Wastewater Treatment Plant ("Elk River Treatment Plant") located on the east side of Humboldt Bay. The Elk River Treatment Plant was commissioned in June of 1984 and manages, operates and maintains utility systems, offering water production, water distribution, sewer treatment, wastewater collection, storm water collection, meter reading, customer billing and many more services for approximately 20,000 residents. The District has purchased approximately 30.5% of the current plant capacity, and it shares wastewater treatment expenses with the City for operation and maintenance, capital improvement projects, shared sewer system costs and emergency reserve fund expenses.

Key District Personnel

David M. Hull, *General Manager*. Mr. Hull has been the General Manager of the District since April 2013. Prior to joining the District, Mr. Hull served as the Chief Executive Officer of the Humboldt Bay Harbor, Recreation and Conservation District from 1996 to 2011. Between 1992 to 1996, Mr. Hull served as Environmental Coordinator to the City of Eureka and between 1980 to 1992, Mr. Hull served as an Aquatic Resource Specialist with the City of Arcata. Mr. Hull received a Bachelor of Science in Marine Biology from California State University, Long Beach in 1977 and received a Master of Science in Natural resources from California State University, Humboldt in 1983.

Paul Rodrigues, *Finance Manager*. Mr. Rodrigues has been the Finance Manager of the District since July 2014. Prior to joining the District, Mr. Rodrigues served as Finance Director of the City of Eureka between 2010 to 2014. Mr. Rodrigues also served as Finance Director to the City of Fortuna between 2002 to 2010. Mr. Rodrigues, a Certified Public Accountant, received a Bachelor of Science in Business Administration from California State University, Humboldt in 1985.

Tim Latham, *Superintendent*. Mr. Latham has been the Superintendent of the District since June 2014 and has served the District for over 25 years. Prior to becoming Superintendent, Mr. Latham served as Operations/Maintenance Supervisor of the District between 2009 to 2014 and served as Operations/Maintenance Utilityman to the District from 1989 to 2009. Before joining the District, Mr. Latham was Owner and Operator of Humboldt Pump Company between 1987 to 1989 and a Service Technician to the Arcata Pump Company between 1985 to 1987. Mr. Latham received certifications from the California Department of Public Health as a D5 water distribution system operator and a T2 water treatment plant operator.

Insurance

The District maintains general liability, property, automobile, and workers compensation insurance through its membership in the Association of California Water Agencies Joint Powers Insurance Authority (the "ACWA/JPIA"). The ACWA/JPIA is responsible for the first \$2 million per claim under its liability coverage program, and members are covered up to \$50 million for liability claims under the ACWA/JPIA's purchased excess insurance policies with a \$60 million aggregate limit on \$20 million excess layer, and \$30 million aggregate on each of the next \$10 million excess layers. Members are covered for \$100 million in regard to property and equipment through the ACWA/JPIA's purchased excess coverage. Workers compensation coverage is provided to the District equal to statutory limits. The ACWA/JPIA also provides automobile liability coverage and errors and omissions coverage up to \$50 million, and employee fidelity coverage up to \$100,000. There were no significant changes in coverage in Fiscal Year 2013-14 as regards the aggregate limits on excess coverage.

Liabilities of the District are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported. The result of the process to estimate the claims liability is not an exact amount as it depends on many complex factors, such as inflation, changes in legal doctrines, and damage awards. Accordingly, claims are reevaluated periodically to consider the effects of inflation, recent claim settlement trends (including frequency and amount of pay-outs), and other economic and social factors.

Retirement System

The District contributes to the California Public Employees Retirement System ("PERS"), a cost sharing multiple-employer, public employee, defined benefit pension plan. PERS provides retirement and disability benefits, annual cost of living adjustments, and death benefits to plan members and beneficiaries. PERS acts as a common investment and administrative agent for participating entities within California. Benefit provisions and all other requirements are established by State statute and District ordinances. Copies of PERS annual financial reports may be obtained from their executive office, 400 "P" Street, Sacramento, California 95814.

For "Classic" plan members, the District pays the members required contribution of 7.0% of their annual covered salary as well as District required contribution at an actuarially determined rate. The fiscal year 2014-15 rate for "Classic" plan is 17.694% of covered payroll.

On January 1, 2013, the Public Employees' Pension Reform Act of 2013 ("PEPRA") resulted in a shift of new members away from existing pools. PEPRA plan members are required to pay one half of the normal costs as determined by actuarial study and the District is required to pay the other half. The fiscal year 2014-15 rate for PEPRA plan members is 12.5% of covered payroll. The contribution requirements of plan members and the District are established by resolutions and contracts of the District and may be amended by PERS.

For the year ended June 30, 2013, the District's annual pension cost of \$159,385 for PERS was equal to the District's required and actual contributions. The Wastewater System's cost share is approximately 41%. A summary of principle assumptions and methods used to determine the annual required contribution ("ARC") is shown below.

Valuation Date	June 30, 2012
Actuarial Cost Method	Entry Age Actuarial Cost Method
Amortization Method	Level Percent of Payroll
Average Remaining Period	19 Years as of the Valuation Date
Asset Valuation Method	15 Year Smoothed Market
Actuarial Assumptions	
Investment Rate of Return	7.50% (net of administrative expenses)
Projected Salary Increase	3.30% to 14.20% depending on age, service, and type of employment
Inflation	2.75%
Payroll Growth	3.00%
Individual Salary Growth	A merit scale varying by duration of employment coupled with an assumed annual inflation component of 2.75% and an annual production growth of 0.25%

Initial unfunded liabilities are amortized over a closed period that depends on the plan's date of entry into PERS. Subsequent plan amendments are amortized as a level percentage of pay over a closed 20 year period. Gains and losses that occur in the operation of the plan are amortized over a rolling 30 year period. If the plan's accrued liability exceeds the actuarial value of plan assets, then the amortization payment on the total unfunded liability may not be lower than the payment calculated over a 30 year amortization period.

<u>Fiscal Year Ended</u>	<u>Annual Pension Cost (APC)</u>	<u>Percentage of APC Contributed</u>	<u>Net Pension Obligation</u>
6/30/13	\$155,488	100.0%	-0-
6/30/12	\$159,385	100.0%	-0-
6/30/11	\$152,904	100.0%	-0-

The schedule of funding progress below shows the recent history of the actuarial value of assets, actuarial accrued liability, their relationship, and the relationship of the unfunded actuarial accrued liability to payroll. The District is a participating employer in a PERS risk pool with many other local agencies. The data set forth below are aggregate numbers relating to the pool and do not necessarily reflect indicative data for the District.

<u>Valuation Date</u>	<u>Accrued Liabilities (AL)</u>	<u>Actuarial Value of Assets (AVA)</u>	<u>Unfunded Liabilities (UL)</u>	<u>Funded Ratio (AVA/AL)</u>	<u>Annual Covered Payroll</u>	<u>UL as a % of Payroll</u>
6/30/12	\$4,175,139,166	\$3,686,598,343	\$488,540,823	88.3%	\$757,045,663	64.5%
6/30/11	\$3,619,835,876	\$3,203,214,899	\$416,620,977	88.5%	\$759,263,518	54.9%
6/30/10	\$3,309,064,934	\$2,946,408,106	\$362,656,828	89.0%	\$748,401,352	48.5%

Other Post-Employment Benefits

The District administers its retired employees' healthcare plan, a single employer defined benefit health care plan. The plan provides medical benefits to eligible retired employees and their dependents. District resolutions and agreements assign the authority to establish and amend benefit provisions to the District. A separate other post-employment benefit ("OPEB") trust fund has not been established by the District.

The plan members' and the District's contribution requirements are established and may be amended by the District. The required contribution is based on projected pay-as-you-go financing requirements, with additional amounts to prefund benefits as determined annually by the Board of Directors. For the fiscal year ended June 30, 2014, the District contributed \$290,308 (100% of total premiums) and zero to prefund benefits. The Wastewater System's cost share is approximately 41%. Plan members receiving benefits contributed \$19,139 of the total premiums.

The District's annual OPEB cost is calculated based on the ARC of the employer (ARC), an amount actuarially determined in accordance with the parameters of Governmental Accounting Standards Board Statement Number 45. The ARC represents a level of funding, which if paid on an ongoing basis, is projected to cover normal cost each year and to amortize any unfunded liabilities over a period not to exceed 30 years. The following table shows the components of the District's annual OPEB cost for the year, the amounts actually contributed to the plan, and changes in the District's net OPEB obligation to the plan.

	<u>2012</u>	<u>2013</u>
Annual required contribution	\$ 378,688	\$ 378,688
Interest on OPEB obligation	23,239	29,096
Adjustment to annual required contribution	(24,669)	(30,885)
Annual OPEB Cost (expense)	377,258	376,899
Contributions made	(230,854)	(248,888)
Increase (decrease) in net OPEB obligation	146,404	128,011
Net OPEB obligation - beginning of year	580,985	727,389
Net OPEB obligation - end of year	\$ 727,389	\$ 855,400

The District's annual OPEB cost the percentage of the annual OPEB cost contributed to the Plan and the net OPEB obligation for 2013 was as follows:

<u>Fiscal Year Ended</u>	<u>Annual OPEB Cost</u>	<u>Percentage Contributed</u>	<u>Net OPEB Obligation</u>
June 30, 2011	\$377,703	52.1%	\$580,985
June 30, 2012	\$377,258	61.2%	\$727,389
June 30, 2013	\$376,889	66%	\$855,400

As of October 9, 2011, the most recent actuarial valuation date, the plan was zero funded. The actuarial accrued liability for benefits was \$5,585,981, and the actuarial value of plan assets was zero resulting in an unfunded actuarial accrued liability (UAAL) of \$5,585,981. The covered payroll (annual payroll of active employees covered by the plan) was \$1,106,937 and the ratio of the UAAL to the covered payroll was 504.63 percent.

Investment Policies and Procedures

Funds held by the District are invested in accordance with the District's Investment Policy (the "Investment Policy") prepared by the Treasurer as authorized by section 53646 of the Government Code of California.

The Investment Policy allows for the purchase of a variety of securities and provides for limitations as to exposure and which vary with each security type. The composition of the portfolio will change over time as old investments mature, or are sold, and as new investments are made.

The Investment Policy has six primary objectives:

1. **Safety.** It is the primary duty and responsibility of the Treasurer of the District to protect, preserve and maintain cash and investment placed in his/her trust on behalf of the District.
2. **Liquidity.** An adequate percentage of the portfolio is attempted to be maintained in liquid short-term securities which can be converted to cash if necessary to meet disbursement requirements. Since all cash requirements cannot be anticipated, investments in securities with active secondary or resale markets is highly recommended under the Investment Policy.
3. **Yield.** Under the Investment Policy, Yield is a consideration only after the basic requirements of safety and liquidity have been met.
4. **Market-Average Rate of Return.** The investment portfolio is generally designed to attain a market-average rate of return throughout budgetary and economic cycles, taking into account the District's risk constraints, the cash flow characteristics of the portfolio, and State and local laws, ordinances or resolutions that restrict investments.
5. **Diversification.** The investment portfolio will be diversified to avoid incurring unreasonable and avoidable risks regarding specific security types or individual financial institutions.
6. **Public Trust.** All participants in the investment process should act as custodians of public trust. Investment officials should recognize that the investment portfolio is subject to public review and evaluation. The overall program should be designed and managed with a degree of professionalism that is worthy of the public trust. In a diversified portfolio it must be recognized that occasional measured losses are inevitable, and must be considered within the context of the overall portfolio's investment return, provided that adequate diversification has been implemented.

Employees

The District presently has approximately 24 employees, including five directors. 15 are members of the District's Employees Association (the "Employees Association"). The District recognizes the Employees Association as the bargaining agent for all regular full time and regular part time, non-management District employees. Negotiations between the District and the Employees Association typically occurs early in the calendar year before the budget process begins. Negotiations occur annually. The current Memorandum of Understanding covers compensation, benefits, and other terms and is effective between July 1, 2014 to June 30, 2015.

THE WASTEWATER SYSTEM

Service Area

The Wastewater System consists of approximately 78 miles of sewer main lines comprising a portion of the City, and the unincorporated areas of Myrtletown, Cullen, Rosewood, Worthington, Pine Hill, Humboldt Hill, Fields Landing and King Salmon. As of September 8, 2014, the District had approximately 6,326 connections within the service area. For Fiscal Year 2012-13, billings to residential customers comprised approximately 94% of total billings for the Wastewater System. Commercial users consist primarily of retail stores and service businesses. Commercial users consist primarily of retail stores and service businesses. Eighty-one percent of the District's ratepayers are single-family residential users, 8% are multi-family residential users and 11% are commercial users.

Transmission and Treatment Facility

The District owns, maintains and operates approximately 78 miles of sanitary sewer pipeline, 29 sewage lift stations, and contracts with the City for the operation and maintenance of the Elk River Treatment Plant pursuant to the Agreement between the City and the District For Regional Wastewater Treatment, dated May 31, 2011, between the City and the District (the "Operating Agreement").

The Elk River Treatment Plant began operation in 1984 and is located on the east side of Humboldt Bay near the mouth of the Elk River. Treatment at the plant consists of grit removal, primary clarification, trickling filters, secondary clarification, chlorination and dechlorination. Treated wastewater is contained in an effluent holding pond and discharged to Humboldt Bay via an outfall line. During periods of high influent flows, the Elk River Treatment Plant has the ability to direct overflow from the effluent holding pond to a temporary holding marsh. When flows subside, water is pumped from the marsh back into the holding pond.

The outfall is 48 inches in diameter by 4,100 feet long and provides an initial dilution of 30 to 1. Discharge occurs only at ebb tide to assure that effluent is conveyed to the Pacific Ocean. Solids are treated by anaerobic digestion and digested sludge is stored in two facultative lagoons. In summer months, sludge is dredged from the lagoons and transported by tanker truck to a 98-acre parcel owned by the City and spread and disked into the soil at an agronomic rate adjusted to balance nitrogen addition with its uptake by pasture grass.

The Elk River Treatment Plant is designed for an average dry weather flow of up to 6.0 million gallons per day ("mgd") and is currently permitted for 5.24 mgd and peak wet weather flow of up to 32 mgd. Flows between 12 and 32 mgd, which result from infiltration and inflow during the winter rainy season, receive only primary treatment but are blended with secondary treated wastewater before discharge to the Pacific Ocean.

The Elk River Treatment Plant is currently staffed and operated on an 8 hour, five-day per week basis by a staff of approximately 17 employees, including 3 employees on an eight-hour daily basis on weekends and holidays. Automatic equipment monitors the treatment process during non-staffed evening, weekend and holiday hours.

The City provides treatment and disposal of wastewater generated within the District pursuant to the Operating Agreement. Pursuant to the Operating Agreement, the District is required to pay 32.1% of capital expense costs on specific portions of the Wastewater System constructed in the Greater Eureka Wastewater project, which represents the District's proportional capacity share on such portions of the Wastewater System. On a historic basis, the District has used approximately 1.0 mgd of its approximately 1.7 mgd share. The District's 2009-2013 five year flow average was approximately 427 million gallons per year. The wastewater system improvements do not

include any capacity expansion beyond that is necessary to bring the plant up to its original design capacity. The Operating Agreement also requires the District to pay 64% of the annual capital expenses of the Martin Slough Interceptor Project. Any future projects that expand capacity of the Elk River Treatment Facility will be evaluated on a project-by-project basis, depending on which entity is served by the expanded capacity. These percentages result from the District's proportional capacity share for entity flow and load. The District pays the City its allocated share of the total budgeted operating expense, including any debt service, and total budgeted capital reserve contribution in 12 equal installments payable prior to the 15th of each month. The District also pays its allocated share of capital expenditures, based on monthly billings from the City, in 12 equal installments payable prior to the 15th of each month. In addition to all other costs, the District is required to pay to the City 3.0% of the City's annual operation and maintenance costs of the entire wastewater system, which approximates the District's proportional use of the shared facilities of the wastewater collection and transport system outside those constructed in the Greater Eureka Wastewater project. For Fiscal Year 2013, the City billed \$968,652 to District for operating expenses and approximately \$2,553,878 for wastewater treatment plant capital expense projects (\$2,513,930 for the Martin Slough Interceptor Project and \$39,948 for other wastewater projects) completed by completed by City and benefitting District.

The Operating Agreement has no term but is reviewed every five years. The next scheduled review is in 2016.

Major Rate Payers

The top ten rate payers of the Wastewater System represented less than 8.5% of the Wastewater System's current billings for Fiscal Year 2012-13. The largest customer represented approximately 1.7% of the amount billed and the second largest customer represented less than 1%.

Current and Historical Rates

Utility rates are set by the District Board of Directors. The current rates are based upon the quantity of metered water used per 30 day monthly billing period and were adopted on June 12, 2012 pursuant to Ordinance No. 2012-02. The current rates are compliant with Proposition 218 wherein a two-thirds majority of the then-qualified electors in the District approved the current rates. Sewer rates for residential and non-residential customers since August 1, 2012 are summarized in the following table:

TABLE 1
WASTEWATER SYSTEM
Current Rates

Effective Date:	8/1/2012 – 6/30/2013			7/1/2013 - Present		
	Monthly Account Charge ¹	Monthly Base rate (per LU) ²	Water Flow Rate (per hcf) ^{3,4}	Monthly Account Charge ¹	Monthly Base rate (per LU) ²	Water Flow Rate (per hcf) ³
USER CLASS						
Residential:						
Single Family Residence	\$ 3.77	\$ 20.37	\$ 2.79	\$ 4.00	\$ 21.59	\$ 2.96
Multi-Family Residence	3.77	16.29	2.79	4.00	17.27	2.96
Mobile Homes	3.77	17.72	2.79	4.00	18.78	2.96
Trailer Parks	3.77	10.18	2.79	4.00	10.79	2.96
For separate laundry facilities	-	10.18	-	-	10.80	-
For additional units without kitchens	-	10.18	-	-	10.80	-
Commercial:³						
Light strength	3.77	39.40	5.38	4.00	41.76	5.70
Medium strength	3.77	47.84	7.13	4.00	50.71	7.56
Heavy strength	3.77	56.29	6.27	4.00	59.67	6.65
Public Facilities, Schools, Religious and Non-Profit Organizations:	3.77	39.40	5.38	4.00	41.76	5.70
Fairgrounds:	3.77	39.40	1.35	4.00	41.76	1.43
Commercial Power Plants:	3.77	320.40	-	4.00	339.62	-
RV Dump Station:	3.77	40.74	-	4.00	43.18	-

Source: The District

¹ Monthly Account Charge applies to each customer account, not to each living or business unit.

² Monthly Base rate applies to each living or business unit included in the customer's account. LU = Living Unit

³ Water Flow rate is based on the average winter water use of the previous calendar year (December - March) for each account. For Residential customers, the rate applies to each hcf. For Non-Residential customers, the rate applies to each hcf in excess of 2 hcf.

⁴ hcf = hundred cubic feet (748 gallons) of water flow.

Prior to the adoption of Ordinance No. 2012-02, Wastewater System customers were charged a flat fee pursuant to Ordinance No. 2005-01 adopted on December 27, 2005. Bills to District customers are computer-generated. These bills are sent to customers on a monthly basis. The bills are collected by the Customer Service Section of the Finance Department. Upon presentation of a bill, a customer is given 20 days to pay the bill and the account becomes delinquent at 31 days. Delinquent accounts are subject to a 10% penalty on amount due with the next billing cycle - at sixty days. If not paid within 70 days the account is locked for non-payment. Currently over 90% of all bills are paid within 30 days of the billing date and therefore do not become delinquent. Historically, nearly all delinquencies of active customers are brought current within 70 days, prior to having their account locked.

The District's sewage rates since February 2006 set forth below:

TABLE 2
WASTEWATER SYSTEM
Historical Rates
February 1, 2006 to July 31, 2012

USER CLASS	MONTHLY CHARGE		
	2/1/06- 12/31/07	1/1/08- 12/31-09	1/1/10- 7/31/12
Effective Date:			
Single Family Residence	\$ 23.75	\$ 27.30	\$ 31.40
Senior Citizen Rate Customers over 65 yrs. of age	20.60	23.70	27.25
Apartment House, Hotel and Motel For the first unit, and each additional unit with kitchen facilities	23.75	27.30	31.40
plus for each additional unit without kitchen facilities	11.90	13.65	15.70
plus for a separate public laundry in facilities with 3 or more units	11.90	13.65	15.70
Mobile Home on Residential Parcel	23.75	27.30	31.40
Mobile Home in Mobile Home Park per available space	20.60	23.70	27.25
Travel Trailer Park per available space:	11.90	13.65	15.70
plus per 100 cubic feet/month of metered water use	1.50	1.70	1.95
RV Dump Stations	47.50	54.65	62.85
Commercial Power Plants	193.05	222.00	255.30
Fairgrounds	23.75	27.30	31.40
plus per 100 cubic feet/month of metered water use	0.40	0.45	0.55
Light Strength Commercial Users with Biochemical Oxygen Demand and Suspended Solids Concentrations of Less Than 370 Milligrams Per Liter	23.75	27.30	31.40
plus per 100 cubic feet/month of metered water use in excess of 700 cubic feet/month exclusive of such use as may be shown not to enter the sanitary sewer	1.50	1.70	1.95
Medium Strength Commercial Users with Biochemical Oxygen Demand and Suspended Solids Concentrations between 370 and 500 Milligrams Per Liter	23.75	27.30	31.40
plus per 100 cubic feet/month of metered water use in excess of 700 cubic feet/month exclusive of such use as may be shown not to enter the sanitary sewer	2.35	2.70	3.10
Heavy Strength Commercial Users with Biochemical Oxygen Demand and Suspended Solids Concentrations greater than 500 Milligrams Per Liter	23.75	27.30	31.40
plus per 100 cubic feet/month of metered water use in excess of 700 cubic feet/month exclusive of such use as may be shown not to enter the sanitary sewer	3.15	3.65	4.20
Public Facilities and Religious and Non-Profit Organizations and Schools	23.75	27.30	31.40
plus per 100 cubic feet/month of metered water use in excess of 700 cubic feet/month exclusive of such use as may be shown not to enter the sanitary sewer	1.50	1.70	1.95

Source: The District

Connection Fee

Connection fee charges are assessed for new connections to the District's Wastewater System or for rebuilding, remodeling or expansion of existing facilities that increase flow water from the Wastewater System. Between January 2007 and September 2012, the District's connection fee was \$1,000. After September 2012, the District's connection fee was \$3,000. For Fiscal Year 2012-13, connection fees comprised 1% of gross revenues.

Comparison of Wastewater Rates

The following table compares the District's Wastewater rates to those of neighboring communities.

TABLE 3
WASTEWATER SYSTEM
Residential Monthly Rates Comparison with Humboldt County Surrounding Communities
(As of 2012)

<u>Agency</u>	<u>Average Monthly Residential Bill</u>
District	\$43.40
Fortuna	\$81.80
Eureka	\$39.87
Arcata	\$58.07
McKinleyville	\$21.41
Ferndale	\$66.02
Average excluding the District	\$53.43

Source: The District

Capital Improvement Program Summary

Since 1993, the District has developed a formal five-year Capital Improvement Program. The District's most recent Five Year Capital Improvement Plan (from Fiscal Year 2014-15 to Fiscal Year 2018-19) for the Wastewater System totals approximately \$2.79 million, which is approximately 36% of the District's total budgeted Capital Improvement Program for that period. The District plans to fund the Capital Improvement Program through wastewater revenues. Additional rate increases may be necessary to fully fund capital improvement needs and are being evaluated. See "**Debt Service Coverage**" herein.

The table below summarizes the District's budget for capital improvements relating to the Wastewater System for Fiscal Year 2014-15 to Fiscal Year 2018-19.

TABLE 4
WASTEWATER SYSTEM
5 Year Capital Improvement Plan Summary*

	<u>2014/15</u>	<u>2015/16</u>	<u>2016/17</u>	<u>2017/18</u>	<u>2018/19</u>	<u>Total</u>
Sewer Main	\$ 680,885	\$ 606,600	\$ 355,975	\$ 437,500	\$ 10,000	\$2,090,960
Sewer Lift Stations	65,000	111,000	300,000	115,000	112,000	703,000
Total Project Costs	<u>\$ 745,885</u>	<u>\$ 717,600</u>	<u>\$ 655,975</u>	<u>\$ 552,500</u>	<u>\$ 122,000</u>	<u>\$2,793,960</u>

* Excludes costs of the Project to be funded with proceeds of the bonds. In addition the District currently estimates that its share of treatment plant improvements from Fiscal Year 2014-15 to Fiscal Year 2018-19 will be approximately \$875,000.

Source: The District

The District currently does not have plans to issue additional Parity or subordinate obligations following the issuance of the Bonds, however, as the District periodically evaluates its capital plan, it could determine to finance a portion of its capital needs through the issuance of additional Parity or subordinate obligations. See also "**Debt Service Coverage**".

Existing Long-Term Obligations; Existing and Additional Parity Obligations

The table below summarizes the outstanding Parity Obligations.

OUTSTANDING WASTEWATER PARITY OBLIGATIONS

<u>Obligation</u>	<u>Original Principal</u>	<u>Outstanding Principal</u>	<u>Allocated to Wastewater</u>	<u>Final Maturity</u>	<u>Max. Installment Payment</u>	<u>Allocated to Wastewater</u>
2012 Installment Agreement	\$4,487,000	\$3,711,486	\$2,558,643	September 1, 2032	\$551,400	\$242,631

Source: The District

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Income Statement

The following table sets forth the statement of net assets for fiscal years 2009 through 2013.

TABLE 5
SEWER FUND
Statement of Revenues, Expenses and Changes in Fund Net Position
Fiscal Years Ended June 30, 2009 through 2013

	<u>2008/09</u>	<u>2009/10</u>	<u>2010/11</u>	<u>2011/12</u>	<u>2012/13</u>
Operating revenues:					
Sewer service fees	\$2,467,449	\$2,655,454	\$2,843,746	\$2,915,455	\$3,474,374
Connection and other fees	44,699	-	-	-	-
Other operating	4,316	67,746	68,544	14,398	19,409
Total Operating Revenues	<u>\$2,516,464</u>	<u>\$2,723,200</u>	<u>\$2,912,290</u>	<u>\$2,929,853</u>	<u>\$3,493,783</u>
Operating expenses:					
Salaries and benefits	\$327,590	\$267,639	\$277,905	\$589,911	\$ 507,891
Payroll taxes and benefits	195,612	298,504	273,119	-	-
General and administration	383,522	473,265	473,851	512,773	630,097
Insurance	16,995	19,548	17,729	14,232	8,297
Joint treatment costs	1,256,772	1,285,793	1,156,013	1,134,842	1,032,578
Purchases power	43,128	72,133	49,224	51,679	46,384
Repairs and maintenance	52,831	79,751	50,059	37,781	63,698
Supplies	85,852	72,756	61,760	86,412	110,623
Transportation	14,634	15,343	18,868	31,378	35,458
Other expenses	26,741	43,343	51,262	35,300	51,089
Depreciation	268,360	266,203	272,266	278,386	284,592
Total Operating Expenses	<u>\$2,672,037</u>	<u>\$2,894,278</u>	<u>\$2,702,056</u>	<u>\$2,772,694</u>	<u>\$2,770,707</u>
Operating income (loss)	<u>\$(155,573)</u>	<u>\$(171,078)</u>	<u>\$210,234</u>	<u>\$157,159</u>	<u>\$723,076</u>
Non-operating revenues (expenses):					
Investment income	\$43,380	\$20,809	\$9,740	-	-
Interest revenue	-	-	-	22,080	\$22,679
Property taxes	225,217	230,959	226,382	-	-
Refunds City Eureka	-	-	1,250,359	-	-
Interest expense	(47,798)	(38,831)	(33,325)	(24,317)	(78,735)
Gain on disposal capital assets	594	2,208	5,615	-	-
Taxes and assessments	-	-	-	116,127	133,577
Street lighting	-	-	-	-	-
Total non-operating revenues (expenses)	<u>\$221,393</u>	<u>\$215,145</u>	<u>\$1,458,771</u>	<u>\$113,890</u>	<u>\$69,520</u>
Income (loss) before capital contributions	<u>\$65,820</u>	<u>\$44,067</u>	<u>\$1,669,005</u>	<u>\$271,049</u>	<u>\$792,596</u>
Capital Contributions and connection fees	<u>\$77,592</u>	<u>\$47,750</u>	<u>\$26,250</u>	<u>\$45,900</u>	<u>\$38,520</u>
Changes in net position	<u><u>\$143,412</u></u>	<u><u>\$91,817</u></u>	<u><u>\$1,695,255</u></u>	<u><u>\$316,949</u></u>	<u><u>\$831,116</u></u>

Source: The District

Debt Service Coverage

The following tables show historical and projected debt service coverage for the Wastewater System, both on a pro forma basis as further described below.

TABLE 6
PRO FORMA HISTORICAL COVERAGE

	<u>2008/2009</u>	<u>2009/2010</u>	<u>2010/2011</u>	<u>2011/2012</u>	<u>2012/2013</u>
Gross Revenues	\$ 2,516,464	\$2,723,200	\$2,912,290	\$ 2,929,853	\$3,493,783
(Less Operation & Maintenance Expenses) ⁽¹⁾	<u>(2,403,677)</u>	<u>(2,628,075)</u>	<u>(2,429,790)</u>	<u>(2,494,308)</u>	<u>(2,486,115)</u>
Net Revenues	112,787	95,125	482,500	435,545	1,007,668
Debt Service Allocated to Wastewater System ⁽²⁾					
2001 Installment Sale (Wastewater Portion)	9,716	9,716	9,716	9,716	4,858
2006 Installment Sale (Wastewater Portion)	57,792	57,792	57,792	57,792	28,896
2006 VacCon Sale	41,687	41,687	41,687	41,687	41,687
2012 Installment Sale (Wastewater Portion)	-	-	-	-	<u>121,316</u>
Total Parity Debt Service ⁽²⁾	109,194	109,194	109,194	109,194	196,756
Parity Debt Service Coverage ⁽³⁾	1.03	0.87	4.42	3.99	5.12

⁽¹⁾ Expenses are net of depreciation consistent with the Installment Sale Agreement.

⁽²⁾ Presentation in the table above differs from how the District had historically calculated debt service allocated to the Wastewater System with respect to various outstanding District obligations (as well as how such debt service allocation was calculated for purposes of the District's audited financial statements) but is consistent with the treatment of such debt service for purposes of the Installment Sale Agreement and does reflect how such debt service will be allocated by the District going forward.

⁽³⁾ Coverage is presented on a pro forma basis for illustrative purposes only. Prior Wastewater System obligations are secured by a combined pledge of revenues of both the Wastewater System and the District's Water System. In the calculations of parity debt service coverage above, only Wastewater System Net Revenues are applied against allocations of the prior Wastewater System obligations' debt service.

Source: The District.

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The following tables show historical and projected debt service coverage for the Wastewater System.

**TABLE 7
WASTEWATER SYSTEM
PROJECTED DEBT SERVICE COVERAGE**

	<u>2013/2014</u>	<u>2014/2015</u>	<u>2015/2016</u>	<u>2016/2017</u>	<u>2017/2018</u>
Gross Revenues ⁽¹⁾	\$3,680,500	\$3,766,252	\$3,841,577	\$3,918,409	\$3,996,777
Less (Operation & Maintenance Expenses) ⁽¹⁾	<u>(2,578,309)</u>	<u>(2,637,260)</u>	<u>(2,716,378)</u>	<u>(2,797,869)</u>	<u>(2,881,805)</u>
Net Revenues	\$1,102,191	\$1,128,992	\$1,125,199	\$1,120,539	\$1,114,971
Debt Service Allocated to Wastewater					
2006 Installment Payments	\$20,843	-	-	-	-
2012 Installment Payments	\$242,631	\$242,631	\$242,631	\$237,924	\$233,196
2014 Bonds Debt Service	<u>-</u>	<u>261,373</u>	<u>484,525</u>	<u>484,575</u>	<u>487,775</u>
Total Parity Debt Service	<u>\$263,474</u>	<u>504,004</u>	<u>727,156</u>	<u>722,499</u>	<u>720,971</u>
Parity Debt Service Coverage	<u>4.18</u>	<u>2.24</u>	<u>1.54</u>	<u>1.55</u>	<u>1.54</u>

Source: The District

⁽¹⁾ Expenses are net of depreciation. 2013/14 and 2014/15 are budgeted. Subsequently Gross Revenues assumed to grow at 2%, Operation & Maintenance Costs assumed to grow at 3%.

RISK FACTORS

Payment of principal of and interest on the Bonds depends primarily upon the revenues derived from operation of the Wastewater System. Some of the events which could affect the revenues received by the Wastewater System, as well as issues that could affect the availability of moneys in any reserves, are set forth below. The following discussion of risks is not meant to be an exhaustive list of the risks associated with the purchase of the Bonds and the order in which the risks are discussed does not necessarily reflect the relative importance of the various risks.

Limited Obligations

The Bonds are limited obligations of the Authority payable solely from Revenues, generally consisting of the Installment Payments. The obligations of the District to make Installment Payments are not payable from, or secured by a legal or equitable pledge or charge or lien upon, any property of the District or any of its income or receipts, except the System Net Revenues. The obligation of the District to pay the Installment Payments from System Net Revenues does not constitute an obligation of the District to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation. While all of the District's Fiscal Year 2012-2013 audited financial statements are included as Appendix B of this Official Statement, only System Net Revenues of the Wastewater System are pledged to secure the Installment Payments.

The District is obligated under the Installment Sale Agreement to make payments solely from the System Net Revenues. There is no assurance that the District can succeed in operating the Wastewater System such that the System Net Revenues in the future will be sufficient for that purpose. See also "**Proposition 218**" below.

The pledge of the System Net Revenues under the Installment Sale Agreement secures only the obligation to pay Installment Payments and other obligations under the Installment Sale Agreement.

System Operation and Expenses

There can be no assurance that the District's expenses for the Wastewater System will be consistent with the descriptions in this Official Statement. Changes in technology, changes in quality standards, availability and cost of water, loss of large customers, increased or decreased development, increases in the cost of operation and/or other expenses could require increases in rates or charges in order to comply with the District's rate covenants in the Installment Sale Agreement.

Limited Recourse on Default

Failure by the District to pay Installment Payments constitutes an event of default under the Installment Sale Agreement and the Trustee is permitted to pursue remedies at law or in equity to enforce the District's obligation to make such payments. Although the Trustee has the right to accelerate the total unpaid principal amount of the Installment Payments, there is no assurance that the District would have sufficient funds to pay the accelerated amounts. See also "**Proposition 218**" herein.

Limitations on Revenues

The ability of the District to comply with its covenants under the Installment Sale Agreement and to generate System Net Revenues sufficient to pay principal of and interest with respect to Installment Payments may be adversely affected by actions and events outside of the control of the District and may be adversely affected by actions taken (or not taken) by voters, property owners, taxpayers or persons obligated to pay assessments, fees and charges. See "**Proposition 218**" below. Furthermore, the remedies available to the owners of the Bonds upon the occurrence of an event of default under the Trust Agreement and/or the Installment Sale Agreement are in many respects dependent upon judicial actions which are often subject to discretion and delay and could prove both expensive and time consuming to obtain.

Regulatory Risk

Laws and regulations governing the diversion and storage of wastewater treatment and disposal, are enacted and promulgated by government agencies on the federal, state and local levels. Compliance with these laws and regulations may be costly.

Although the District has covenanted in the Installment Sale Agreement to fix, prescribe, revise and collect revenues for Wastewater System during each Fiscal Year which are at least sufficient to pay operating and maintenance expenses, to pay related debt service, and meet certain coverage requirements, no assurance can be given that the cost of compliance with such laws and regulations will not adversely affect the ability of the District to generate System Net Revenues in the amounts required by the Installment Sale Agreement and to pay debt service on the Bonds.

Initiatives

In recent years several initiative measures have been proposed or adopted which affect the ability of local governments to increase taxes and rates. There is no assurance that the electorate or the State legislature will not at some future time approve additional limitations which could affect the ability of the District to implement rate increases which could reduce System Net Revenues and adversely affect the security for the Bonds. See "**Proposition 218**" below.

Bankruptcy

The rights and remedies provided in the Trust Agreement and the Installment Sale Agreement may be limited by and are subject to the provisions of federal bankruptcy laws, to other laws or equitable principles that may affect the enforcement of creditors' rights, to the exercise of judicial discretion in appropriate cases and to limitations on legal remedies against public agencies in the State of California. The various opinions of counsel to be delivered with respect to the Bonds and the Trust Agreement, including the opinion of Bond Counsel, will be similarly qualified. If the District were to file a petition under Chapter 9 of the Bankruptcy Code, the Owners of the Bonds and the Trustee could be prohibited from taking any steps to enforce their rights under the Trust Agreement and/or Installment Sale Agreement. In the event the District fails to comply with its covenants under the Installment Sale Agreement or fails to pay the Installment Payments, there can be no assurance of the availability of remedies adequate to protect the interest of the holders of the Bonds. See "**APPENDIX E — PROPOSED FORM OF OPINION OF BOND COUNSEL**".

Tax Exemption of the Bonds

The District and Authority have covenanted in the Installment Sale Agreement and Trust Agreement, respectively, that they will take all actions necessary to assure the exclusion of interest on the Bonds from the gross income of the Owners of the Bonds for federal income tax purposes. If the District or Authority fails to comply with the foregoing tax covenant, the interest on the Bonds may be includable in the gross income of the Owners thereof for federal tax purposes. See “**TAX MATTERS**” herein.

Additional Obligations

The Installment Sale Agreement permits the issuance of Parity Obligations secured by System Net Revenues on a parity basis and/or a subordinate basis to the Installment Payments. The District anticipates issuing in the future such additional Parity Obligations. Such additional Installment Payments would increase debt service payable from System Net Revenues and could adversely affect debt service coverage with respect to the Installment Payments. In such event, however, the rate covenant described herein will remain in effect. See “**SECURITY AND SOURCES OF PAYMENT FOR THE BONDS — Rate Covenant**” herein.

Seismic, Topographic and Climatic Conditions

The financial stability of the District may be adversely affected by a variety of factors, particularly those which may affect infrastructure and other public improvements and private improvements and the continued habitability and enjoyment of such improvements. Such additional factors include, without limitation, geologic conditions (such as earthquakes), topographic conditions (such as earth movements, and floods) and climatic conditions (such as droughts and tornadoes).

The area encompassed by the District, like that in much of California, may be subject to unpredictable seismic activity. The District is located within a regional network of several active and potentially active faults. The San Andreas and other faults are located in the vicinity of the District. If there were to be an occurrence of severe seismic activity in the District, there could be an impact on the cost or the ability to supply and deliver wastewater services until repairs could be made, possibly diminishing revenues. Building codes require that some of these factors be taken into account, to a limited extent, in the design of improvements, including the Wastewater System. Some of these factors may also be taken into account, to a limited extent, in the design of other infrastructure and public improvements neither designed nor subject to design approval by the District. Design criteria in any of these circumstances are established upon the basis of a variety of considerations and may change, leaving previously-designed improvements unaffected by more stringent subsequently established criteria. In general, design criteria reflect a balance at the time of protection and the future costs of lack of protection, based in part upon a present perception of the probability that the condition will occur and the seriousness of the condition should it occur. Conditions may occur and may result in damage to improvements of varying seriousness, such that the damage may entail significant repair or replacement costs and that repair or replacement may never occur either because of the cost or because repair or replacement will not facilitate habitability or other use, or because other considerations preclude such repair or replacement. Under any of these circumstances, the actual value of public and private improvements within the District in general may well depreciate or disappear, notwithstanding the establishment of design criteria for any such condition.

Proposition 218

On November 5, 1996, the voters of the State approved Proposition 218, the so-called “Right to Vote on Taxes Act.” Proposition 218 added Articles XIIIC and XIIID to the State Constitution, which contain a number of provisions affecting the ability of local governments to levy and collect both existing and future taxes, assessments, fees and charges.

Article XIIID. Article XIIID established procedural requirements for imposition of assessments, which are defined as any charge on real property for a special benefit conferred upon the real property. Standby charges are classified as assessments. Procedural requirements include the conducting of a public hearing and an election by mailed ballot, with notice to the record owner of each parcel subject to the assessment. The assessment may not be imposed if a majority of the ballots returned oppose the assessment, with each ballot weighted according to the proportional financial obligation of the affected parcel. The District does not currently impose standby charges or assessments for its Wastewater System.

Article XIID conditions the imposition or increase of any “fee” or “charge” upon there being no written majority protest after a required public hearing and, for fees and charges other than for sewer, water or refuse collection services, voter approval. Article XIID defines “fee” or “charge” to mean levies (other than *ad valorem* or special taxes or assessments) imposed by a local government upon a parcel or upon a person as an incident of the ownership or tenancy of real property, including a user fee or charge for a “property-related service.” One of the requirements of Article XIID is that before a property-related fee or charge may be imposed or increased, a public hearing upon the proposed fee or charge must be held and notice must be mailed to the record owner of each identified parcel of land upon which the fee or charge is proposed for imposition. In the public hearing if written protests of the proposed fee or charge are presented by a majority of the owners of affected identified parcel(s), an agency may not impose the fee or charge.

Based upon the California Court of Appeal’s decision in *Howard Jarvis Taxpayers Association v. City of Los Angeles*, 85 Cal. App. 4th 79 (2000), it was generally believed that Article XIID did not apply to wastewater rates and charges, which had been held to be commodity charges related to consumption of the service, not property ownership. In a decision rendered in February, 2004, the California Supreme Court in *Richmond et al. v. Shasta Community Services District*, 32 Cal. 4th 409, upheld a Court of Appeal decision that water connection fees were not property related fees or charges subject to Article XIID, while at the same time stating in dicta that fees for ongoing water service through an existing connection were property related fees and charges. In October 2004, the California Supreme Court granted review of the decision of the Fourth District Court of Appeal in *Bighorn-Desert View Water Agency v. Beringson*, 120 Cal. App. 4th 891 (2004), in which the appellate court had relied on *Howard Jarvis Taxpayers Association v. City of Los Angeles* and rejected the California Supreme Court’s dicta in *Richmond et al. v. Shasta Community Services District*.

On March 23, 2005, the California Fifth District Court of Appeal published *Howard Jarvis Taxpayers Association v. City of Fresno*, 127 Cal.App.4th 914 (5th Dist. 2005), concluding that in lieu fees charged as a component of utility service charges are subject to the requirements of Proposition 218. The ruling in *City of Fresno* relies in part on the *Richmond* decision’s dicta and appears to conflict with *Apartment Association of Los Angeles County, Inc. v. City of Los Angeles*, 24 Cal.4th 830 (2001), in which the California Supreme Court ruled that the property-related fee provisions of Proposition 218 apply only to fees triggered by property ownership alone and not by voluntary conduct of the property owner, such as consuming utility services. The City of Fresno requested a review of this decision by the California Supreme Court, which denied review. On July 24, 2006, the California Supreme Court ruled in *Bighorn-Desert View Water Agency v. Verjil*. In dicta, the California Supreme Court repeated its previous dicta in *Richmond et al. v. Shasta Community Services District* that fees and charges for ongoing water service through an existing connection were property related fees and charges under Article XIID.

In addition to the procedural requirements of Article XIID, under Article XIID all property-related fees and charges, including those which were in existence prior to the passage of Proposition 218 in November 1996, must meet the following substantive standards:

- (1) Revenues derived from the fee or charge cannot exceed the funds required to provide the property-related service.
- (2) Revenues derived from the fee or charge must not be used for any purpose other than that for which the fee or charge was imposed.
- (3) The amount of a fee or charge imposed upon any parcel or person as an incident of property ownership must not exceed the proportional cost of the service attributable to the parcel.
- (4) No fee or charge may be imposed for a service unless that service is actually used by, or immediately available to, the owner of the property in question. Fees or charges based on potential or future use of a service are not permitted. Standby charges, whether characterized as charges or assessments, must be classified as assessments and cannot be imposed without compliance with Section 4 of Article XIID (relating to assessments).
- (5) No fee or charge may be imposed for general governmental services including, but not limited to, police, fire, ambulance or library services where the service is available to the public at large in substantially the same manner as it is to property owners.

The District believes that its rates comply with the foregoing standards.

Article XIID provides that nothing in Proposition 218 shall be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

Article XIIIIC. Article XIIIIC provides that the initiative power shall not be prohibited or otherwise limited in matters of reducing or repealing any local tax, assessment, fee or charge and that the power of initiative to affect local taxes, assessments, fees and charges shall be applicable to all local governments. Article XIIIIC does not define the terms “local tax,” “assessment,” “fee” or “charge.” On July 24, 2006, the California Supreme Court held in *Bighorn-Desert View Water Agency v. Verjil* that the provisions of Article XIIIIC applied to rates and fees charged for domestic water use. In the decision, the Court noted that the decision did not address whether an initiative to reduce fees and charges could override statutory rate setting obligations. The District does not believe that Article XIIIIC grants to the voters within the District the power to repeal or reduce rates and charges in a manner that would be inconsistent with the contractual obligations of the District. No assurance can be given that the voters of the District will not, in the future, approve initiatives which seek to repeal, reduce or prohibit the future imposition or increase of assessments, fees or charges, including the District’s wastewater service fees and charges, which are the source of revenues pledged to the payment of debt service on the Bonds.

The interpretation and application of Proposition 218 will likely be subject to further judicial determinations, and it is not possible at this time to predict with certainty the outcome of such determinations.

THE AUTHORITY

Under the Act, certain California cities, counties and special districts have entered into a joint exercise of powers agreement (the “JPA Agreement”) forming the Authority for the purpose of exercising to powers common to the members and exercising the additional powers granted to the Authority by the Act and any other applicable provisions of California law. Under the JPA Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness, for any purpose or activity permitted under the Act or any other applicable law.

The Authority may sell and deliver obligations other than the Bonds. These obligations will be secured by instruments separate and apart from the Trust Agreement and Installment Sale Agreement, and the holders of such other obligations of the Authority will have no claim on the security for the Bonds. Likewise, the Holders of the Bonds will have no claim on the security for such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors has furnished, reviewed, investigated or verified the information contained in this Official Statement other than the information contained in this section and the section entitled “ABSENCE OF MATERIAL LITIGATION - The Authority.” The Authority does not and will not in the future monitor the financial condition of the District or otherwise monitor payment of the Bonds or compliance with the documents relating thereto. Any commitment or obligation for continuing disclosure with respect to the Bonds or the District has been undertaken solely by the District. See “CONTINUING DISCLOSURE” herein.

RATINGS

Standard & Poor’s Ratings Services (“S&P”) is expected to assign its rating of “AA” (stable outlook) to the Bonds, assuming the Policy is delivered at the time that the Bonds are issued. S&P has assigned its underlying municipal bond rating of “A” (stable outlook) to the Bonds. Such ratings reflect only the views of S&P and an explanation of the significance of such ratings may be obtained from only S&P. The District furnished to the rating agency certain information and materials concerning the Bonds and the District. Generally, the rating agencies base their ratings on such information and materials and on investigations, studies and assumptions made by the rating agencies. There is no assurance that such ratings will continue for any given period of time or that such ratings will not be revised downward or withdrawn entirely by the rating agency, if in its judgment circumstances so warrant. Any such downward revision or withdrawal may have an adverse effect on the market price of the Bonds.

ABSENCE OF MATERIAL LITIGATION

The District

To the knowledge of the District, there is no action, suit, litigation, inquiry or investigation before or by any court, governmental agency, public board or body served or threatened, against the District, or the titles of its officers to its respective offices or seeking to prohibit, restrain or enjoin the sale, execution or delivery of the Bonds or the payments of the Installment Payments or challenging the validity or enforceability of the Installment Sale Agreement or the Trust Agreement.

The Authority

To the knowledge of the Authority, there is no material litigation pending or threatened against the Authority concerning the validity of the Bonds or any proceedings of the Authority taken with respect to the issuance thereof.

TAX MATTERS

In the opinion of Orrick, Herrington & Sutcliffe LLP (“Bond Counsel”), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the “Code”) and is exempt from State of California personal income taxes. Bond Counsel is of the further opinion that interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that such interest is included in adjusted current earnings when calculating corporate alternative minimum taxable income. A complete copy of the proposed form of opinion of Bond Counsel is set forth in **APPENDIX E — “PROPOSED FORM OF OPINION OF BOND COUNSEL.”**

To the extent the issue price of any maturity of the Bonds is less than the amount to be paid at maturity of such Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Bonds), the difference constitutes “original issue discount,” the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Bonds which is excluded from gross income for federal income tax purposes and State of California personal income taxes. For this purpose, the issue price of a particular maturity of the Bonds is the first price at which a substantial amount of such maturity of the Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Bonds accrues daily over the term to maturity of such Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Bonds. Beneficial Owners of the Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Bonds in the original offering to the public at the first price at which a substantial amount of such Bonds is sold to the public.

Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (“Premium Bonds”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner’s basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The District has made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken) or events occurring (or not occurring), or any other matters coming to Bond Counsel’s attention after the date of issuance of the Bonds may adversely affect the value of, or the tax status of interest on, the Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

Although Bond Counsel is of the opinion that interest on the Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of amounts treated as interest on, the Bonds may otherwise affect a

Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. For example, Representative Dave Camp, Chair of the House Ways and Means Committee released draft legislation that would subject interest on the Bonds to a federal income tax at an effective rate of 10% or more for individuals, trusts, and estates in the highest tax bracket, and the Obama Administration proposed legislation that would limit the exclusion from gross income of interest on the Bonds to some extent for high-income individuals. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel is expected to express no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Bonds for federal income tax purposes. It is not binding on the Internal Revenue Service ("IRS") or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the District, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The District has covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Bonds ends with the issuance of the Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the District or the Beneficial Owners regarding the tax-exempt status of the Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the District and its appointed counsel, including the Beneficial Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the District legitimately disagrees, may not be practicable. Any action of the IRS, including but not limited to selection of the Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Bonds, and may cause the District or Beneficial Owners to incur significant expense.

LEGAL MATTERS

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel. Certain legal matters will be passed upon for the District by Mitchell, Brisso, Delaney & Vrieze, LLP, and for the Authority by its special counsel, Jones Hall, A Professional Law Corporation. The proposed form of Opinion of Bond Counsel is set forth in **APPENDIX E** hereto (subject to the matters discussed under "**Tax Matters**" above). Bond Counsel undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement. Certain legal matters will be passed upon for the Underwriter by Stradling Yocca Carlson & Rauth, A Professional Corporation, as counsel to the Underwriter.

UNDERWRITING

The Bonds will be purchased by Raymond James & Associates, Inc., as Underwriter (the "Underwriter") under a Bond Purchase Agreement among the District, the Authority and the Underwriter (the "Purchase Contract") pursuant to which the Underwriter for the Bonds has agreed to purchase the Bonds from the Authority at an aggregate purchase price of \$8,565,024.05 (principal amount of the Bonds plus net original issue premium of \$104,072.25 less an underwriter's discount of \$39,048.20). The Purchase Contract relating to the Bonds provides that the Underwriter will purchase all of the Bonds if any are purchased. The obligation of the Underwriter to make such purchase is subject to certain conditions in the Purchase Contract.

CONTINUING DISCLOSURE

The District has covenanted for the benefit of Bond Owners and beneficial owners of the Bonds to provide certain financial information and operating data relating to the District by not later than seven months following the end of the District's fiscal year (currently ending June 30) (the "Annual Report"), commencing with the report for the fiscal year June 30, 2013, and to provide notices of the occurrence of certain enumerated events, if material. The Annual Report and notices of enumerated events will be filed with the Municipal Securities Rulemaking Board, through its EMMA system. The specific nature of the information to be contained in the Annual Report or the notices of material events is summarized below under the caption "**APPENDIX D — FORM OF CONTINUING DISCLOSURE CERTIFICATE.**" These covenants have been made in order to assist the Underwriters in complying with S.E.C. Rule 15c2-12 (b) (5). The District has not previously entered into any agreements or undertakings under such Rule.

The Authority has determined that no financial or operating data concerning the Authority is material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell Bonds and the Authority will not provide any such information. The Authority shall have no liability to the Holders of the Bonds or any other person with respect to Rule 15c2-12 promulgated by the Securities and Exchange Commission.

FINANCIAL STATEMENTS

The District's financial statements for the fiscal year ended June 30, 2013, included in Appendix B hereto, have been audited by R.J. Ricciardi, Inc., certified public accountants, as stated in their report appearing in Appendix B hereto. R.J. Ricciardi, Inc. has not consented to the inclusion of its report as Appendix B and has not undertaken to update its report or to take any action intended or likely to elicit information concerning the accuracy, completeness or fairness of the statements made in this Official Statement, and no opinion is expressed by R.J. Ricciardi, Inc. with respect to any event subsequent to its report dated January 8, 2014.

While all of the District's financial statements for the fiscal year ended June 30, 2013 are included as Appendix B of this Official Statement, only System Net Revenues of the Wastewater System are pledged to secure the Installment Payments.

ADDITIONAL INFORMATION

References made herein to certain documents and reports are brief summaries thereof which do not purport to be complete or definitive, and reference is made to such documents and reports for full and complete statements of the contents thereof.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or the Owners of any of the Bonds.

The execution and delivery of this Official Statement has been duly authorized by the District.

At the time of delivery and payment for the Bonds, an authorized representative of the Authority and the District will deliver a certificate stating that to the best of his or her knowledge this Official Statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements herein (excepting therefrom the information contained herein describing DTC, and its book entry system), in light of the circumstances under which they were made, not misleading. Such certificate will also certify that to the best of his or her knowledge from the date of this Official Statement to the date of such delivery and payment there was no material adverse change in the information set forth herein.

HUMBOLDT COMMUNITY SERVICES DISTRICT

By: /s/ David Hull
General Manager

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APPENDIX A

SUMMARY OF PRINCIPAL LEGAL DOCUMENTS

The following summary discussion of selected features of the 2014 Installment Sale (Wastewater System), dated as of November 1, 2014 (the “Installment Sale Agreement”) and the Trust Agreement, dated as of November 1, 2014 (the “Trust Agreement”), are made subject to all of the provisions of such documents and to the discussions of such documents contained elsewhere in this Official Statement. This summary discussion does not purport to be a complete statement of said provisions and prospective purchasers of the Bonds are referred to the complete text of said documents, copies of which are available upon request from the Trustee.

CERTAIN DEFINITIONS

The following are definitions of certain of the terms used in the Installment Sale Agreement or the Trust Agreement, to which reference is hereby made. The following definitions are equally applicable to both the singular and plural forms of any of the terms defined herein:

“Accreted Value” means, with respect to any Capital Appreciation Bonds, as of the date of calculation, the initial amount thereof plus the interest accrued thereon to such date of calculation, compounded from the date of initial delivery at the approximate interest rate thereof on each June 1 and December 1, as determined in accordance with the table of accreted values for any Capital Appreciation Bonds prepared by the District at the time of sale thereof, assuming in any year that such Accreted Value increases in equal daily amounts on the basis of a year of three hundred sixty (360) days composed of twelve (12) months of thirty (30) days each.

“Acquisition and Construction Fund” means the fund by that name established pursuant to the Trust Agreement.

“Bonds” means all bonds of the Authority authorized by and at any time Outstanding pursuant to the Trust Agreement and executed, issued and delivered in accordance with the Trust Agreement. The term “Serial Bonds” means Bonds for which no sinking fund payments are provided. The term “Term Bonds” means Bonds which are payable on or before their specified maturity dates from sinking fund payments established for that purpose and calculated to retire such Bonds on or before their specified maturity dates.

“Capital Appreciation Bonds” means any District Bonds described as such when issued.

“Certificate of Completion” means a Certificate of the District certifying that the Project has been completed, meeting the requirements specified for such a Certificate in the Trust Agreement.

“Certificate of the Authority” means an instrument in writing signed by any member of the Board of Directors of the Authority (the “Board”), or any other person designated as an Authority Representative by a certificate signed by a member of the Board and filed with the Trustee.

“Certificate of the District” means an instrument in writing signed by the General Manager or Finance Manager of the District, or by any such officials’ duly appointed designee, or by any other officer or employee of the District duly authorized by the Board of Directors of the District for that purpose.

“City” means the City of Eureka, California.

“Code” means the Internal Revenue Code of 1986, as amended.

“Continuing Disclosure Certificate” means that certain Continuing Disclosure Certificate executed by the District and the Trustee, attached hereto as APPENDIX D.

“Contracts” means all installment sale contracts, loan agreements, capital leases or similar obligations of the District authorized and executed by the District under and pursuant to applicable law, the interest and principal, payments under and pursuant to which are payable from System Net Revenues on a parity with the payment of the 2014 Installment Payments, including, but not limited to, the 2012 Contract.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the District or the Authority and related to the authorization, execution and delivery of the Installment Sale Agreement, the Trust Agreement and the issuance and sale of the Bonds, including, but not limited to, costs of preparation and reproduction of documents, costs of rating agencies and costs to provide information required by rating agencies, filing and recording fees, fees and charges of the Trustee, legal fees and charges, fees and disbursements of consultants and professionals, bond insurance and reserve policy premiums, if any, fees and charges for preparation, execution and safekeeping of the Bonds, fees of the Authority and any other authorized cost, charge or fee in connection with the issuance of the Bonds.

“Costs of Issuance Fund” means the fund by that name established pursuant to the Trust Agreement.

“Debt Service” means, for any Fiscal Year, the sum of (1) the interest accruing during such Fiscal Year on all outstanding District Bonds, assuming that all outstanding serial District Bonds are retired as scheduled and that all outstanding term District Bonds are redeemed or paid from sinking fund payments as scheduled (except to the extent that such interest is to be paid from the proceeds of sale of any District Bonds), (2) that portion of the principal amount of all outstanding serial District Bonds maturing on the next succeeding principal payment date that would have accrued during such Fiscal Year if such principal amount were deemed to accrue daily in equal amounts from the next preceding principal payment date or during the year preceding the first principal payment date, as the case may be, (3) that portion of the principal amount of all outstanding term District Bonds required to be redeemed or paid on the next succeeding redemption date (together with the redemption premiums, if any, thereon) that would have accrued during such Fiscal Year if such principal amount (and redemption premiums) were deemed to accrue daily in equal amounts from the next preceding redemption date or during the year preceding the first redemption date, as the case may be, and (4) that portion of the Installment Payments required to be made at the times provided in the Contracts that would have accrued during such Fiscal Year if such Installment Payments were deemed to accrue daily in equal amounts from, in each case, the next preceding Installment Payment Date of interest or principal or the date of the pertinent Contract, as the case may be; provided, that (a) if any of such District Bonds are Capital Appreciation Bonds or if the Installment Payments due under any of such Contracts secure Capital Appreciation Bonds, then the Accreted Value payment shall be deemed a principal payment and interest that is compounded and paid as Accreted Value shall be deemed due on the scheduled redemption or payment date of such Capital Appreciation Bond; (b) if any of such District Bonds or if the Installment Payments due under any such Contracts bear interest payable pursuant to a variable interest rate formula, the interest rate on such District Bonds or such Contracts for periods when the actual interest rate cannot yet be determined, shall be assumed to be equal to the greater of (i) the actual rate on the date of calculation, or if such District Bonds or Contracts are not yet outstanding, the initial rate (if then established and binding), (ii) if the District Bonds or Contracts have been outstanding for at least twelve months, the average rate over the twelve months immediately preceding the date of calculation, and (iii)(1) if interest on such District Bonds or Contracts is excludable from gross income under the applicable provisions of the Internal Revenue Code, the most recently published “Bond Buyer 25 Bond Revenue Index” (or comparable index if no longer published) or (2) if interest is not so excludable, the interest rate on direct U.S. Treasury obligations with comparable maturities; (c) if any of such District Bonds or Contracts is secured by an irrevocable letter of credit issued by a bank having a combined capital and surplus of at least one hundred million dollars (\$100,000,000), the principal payments or deposits with respect to such District Bonds or Contracts nominally due in the last Fiscal Year in which such District Bonds or Contracts mature may, at the option of the District, be treated as if they were due as specified in any loan agreement or reimbursement agreement issued in connection with such letter of credit or pursuant to the repayment provisions of such letter of credit and interest on such District Bonds or Contracts after such Fiscal Year shall be assumed to be payable pursuant to the terms of such loan agreement or reimbursement agreement or repayment provisions and (d) if any of such District Bonds or Contracts is not secured by a letter of credit as described in clause (c) of this definition and 20% or more of the original principal of such District Bonds or the Installment Payments due under such Contracts is not due until the final stated maturity of such District Bonds or the Installment Payments due under such Contracts, such principal

may, at the option of the District, be treated as if it were due based upon a level amortization of such principal over the term of such District Bonds or Installment Payments or twenty-five (25) years, whichever is greater

“District Bonds” means all revenue bonds of the District authorized, executed, issued and delivered by the District under and pursuant to applicable law, the interest and principal and redemption premium, if any, are payable from System Net Revenues on a parity with the payment of the 2014 Installment Payments.

“DTC” means The Depository Trust Company, New York, New York.

“Event of Default” for purposes of the Installment Sale Agreement is defined herein under “Installment Sale Agreement--Events of Default and Acceleration of Principal”. The term “Event of Default” for purposes of the Trust Agreement is defined herein under “Trust Agreement-- Events of Default; Remedies of Bondholders”.

“Financial Newspaper” means The Wall Street Journal or The Bond Buyer, or any other newspaper or journal printed in the English language, publishing financial news, and selected by the Authority.

“Fiscal Year” means the twelve (12) month period terminating on June 30 of each year, or any other annual accounting period selected and designated by the Authority as its Fiscal Year in accordance with applicable law.

“Government Securities” means:

1. U.S. Treasury Certificates, Notes and Bonds (including State and Local Government Series – (SLGs)).

2. Direct obligations of the U.S. Treasury which have been stripped by the U.S. Treasury itself.

3. Resolution Funding Corp. (“REFCORP”). Only the interest component of REFCORP strips which have been stripped by request to the Federal Reserve Bank of New York in book entry form are acceptable.

4. Pre-refunded municipal bonds rated “Aaa” by Moody’s and “AAA” by S&P. If, however, the issue is only rated by S&P (i.e., there is no Moody’s rating) then the pre-refunded bonds must have been pre-funded with cash, direct U.S. or U.S. guaranteed obligations, or AAA rated pre-refunded municipals to satisfy this condition.

5. Obligations issued by the following agencies which are backed by the full faith and credit of the U.S.:

a. *U.S. Export-Import Bank* (Eximbank)
Direct obligations or fully guaranteed certificates of beneficial ownership

b. *Farmers Home Administration* (FmHA)

c. *Federal Financing Bank*

d. *General Services Administration*
Participation Certificates

e. *U.S. Maritime Administration*
Guaranteed Title XI financing

f. *U.S. Department of Housing and Urban Development* (HUD)

Project Notes
Local Authority Bonds
New Communities Debentures – U.S. government guaranteed debentures
U.S. Public Housing Notes and Bonds – U.S. government guaranteed public housing notes and bonds.

“Independent Certified Public Accountant” means any certified public accountant or firm of such accountants duly licensed and entitled to practice and practicing as such under the laws of the State or a comparable successor, appointed and paid by the Authority, and who, or each of whom --

(1) is in fact independent according to the Statement of Auditing Standards No. 1 and not under the domination of the Authority or the District;

(2) does not have a substantial financial interest, direct or indirect, in the operations of the Authority or the District; and

(3) is not connected with the Authority or the District as a member, officer or employee of the Authority or the District, but who may be regularly retained to audit the accounting records of and make reports thereon to the Authority or the District.

“Information Services” means Financial Information, Inc.’s “Daily Called Bond Service,” 30 Montgomery Street, 10th Floor, Jersey City, NJ 17302, Attention: Editor; Kenny Information Services’ “Called Bond Service,” 65 Broadway, 16th Floor, New York, NY 10006; Moody’s Investors Service’s “Municipal and Government,” 99 Church Street, 8th Floor, New York, NY 10007, Attention: Municipal News Reports; and Standard & Poor’s Ratings Group’s “Called Bond Record,” 25 Broadway, 3rd Floor, New York, NY 10004; or, in accordance with then current guidelines of the Securities and Exchange Commission, such other addresses and/or such other services providing information with respect to called bonds, or such services as the Authority may designate in a Certificate of the Authority delivered to the Trustee.

“Installment Payments” means the installment sale, rental or other periodic payments scheduled to be paid by the District under and pursuant to the Contracts, including the 2014 Installment Payments. The term “2014 Installment Payments” means the Installment Payments scheduled to be paid by the District under and pursuant to the Installment Sale Agreement.

“Installment Sale Agreement” means the 2014 Installment Sale Agreement (Wastewater System), dated as of November 1, 2014, by and between the Authority and the District, as such may be amended or supplemented from time to time.

“Insurance Consultant” means (a) the Risk Manager for the District or (b) any insurance consultant or firm of insurance consultants generally recognized to be well qualified in insurance consulting matters relating to water and other municipal systems, appointed and paid by the District, and who or each of whom --

(1) is in fact independent and not under the domination of the District;

(2) does not have a substantial financial interest, direct or indirect, in the operations of the District; and

(3) is not connected with the District as a councilmember, officer, or employee of the District, but may be regularly retained to make reports to the District.

“Insurance Policy” means the insurance policy issued by the Insurer guaranteeing the scheduled payment of principal of and interest on the Bonds when due.

“Insurer” means Assured Guaranty Municipal Corp., a New York stock insurance company, or any successor thereto or assignee thereof.

“Interest Payment Date” means June 1 and December 1 in each year, commencing June 1, 2015.

“Maintenance and Operation Costs” means the reasonable and necessary costs paid or incurred by the District for maintaining and operating the System, including but not limited to amounts due to the City pursuant to the Operating Agreement, determined in accordance with Generally Accepted Accounting Principles, including all reasonable expenses of management and repair and other expenses necessary to maintain and preserve the System in good repair and working order, and including all administrative costs of the District that are charged directly or apportioned to the operation of the System, such as salaries and wages of employees, overhead, taxes (if any) and insurance premiums, and including all other reasonable and necessary costs of the District or charges required to be paid by it to comply with the terms hereof or of any resolution authorizing the issuance of any District Bonds or of such District Bonds, or of any resolution authorizing the execution of any Contract or of such Contract, such as compensation, reimbursement and indemnification of the trustee for any such Bonds or Contracts and fees and expenses of Independent Certified Public Accountants and Independent Engineers, Insurance Consultants and the Finance Manager, but excluding in all cases depreciation, replacement and obsolescence charges or reserves therefor, amortization of intangibles and intergovernmental transfers by the District which are not reimbursements or payments for overhead or other administrative expenses incurred by the District.

“Maximum Annual Debt Service” means the greatest total Debt Service payable in any Fiscal Year during the period commencing with the next ensuing Fiscal Year and terminating with the Fiscal Year in which payments are due under the last outstanding District Bonds or the last outstanding Contract, whichever is later.

“Maximum Annual 2014 Installment Payments” means the greatest total 2014 Installment Payments payable in any 2014 Installment Payment Year during the period commencing with the then current 2014 Installment Payment Year and terminating with the 2014 Installment Payment Year ending on June 1, 20__.

“Moody’s” means Moody’s Investors Service, Inc. a corporation duly organized and existing under and by virtue of the laws of the State of Delaware, and its successors and assigns, except that if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, then the term “Moody’s” shall be deemed to refer to any other nationally recognized securities rating agency selected by the District.

“Net Proceeds” means, when used with respect to any condemnation award or with respect to any insurance proceeds, the amount of such condemnation award or such insurance proceeds remaining after payment of all expenses (including attorneys’ fees) incurred in the collection of such award or such proceeds.

“Operating Agreement” means the Agreement, dated May 31, 2011, between the City and the District, For Regional Wastewater Treatment.

“Opinion of Counsel” means a written opinion of counsel of recognized national standing in the field of law relating to municipal bonds, appointed by the District.

“Outstanding,” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Trust Agreement) all Bonds except

- (1) Bonds theretofore cancelled by the Trustee or surrendered to the Trustee for cancellation;
- (2) Bonds paid or deemed to have been paid within the meaning of the defeasance provisions of the Trust Agreement; and
- (3) Bonds in lieu of or in substitution for which other Bonds shall have been executed, issued and delivered by the Authority pursuant to the Trust Agreement.

“Parity Obligations” means, collectively, District Bonds and Contracts.

“Permitted Investments” means any of the following, if and to the extent each is permissible for investment of funds of the Authority, as stated in its current investment policy and pursuant to applicable laws:

A. Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury, and CATS and TIGRS) or obligations the principal of and interest on which are unconditionally guaranteed by the United States of America.

B. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following federal agencies and provided such obligations are backed by the full faith and credit of the United States of America (stripped securities are only permitted if they have been stripped by the agency itself):

1. U.S. Export-Import Bank (Eximbank)
Direct obligations or fully guaranteed certificates of beneficial ownership
2. Farmers Home Administration (FmHA)
Certificates of Beneficial Ownership
3. Federal Financing Bank
4. Federal Housing Administration Debentures (FHA)
5. General Services Administration
Participation Certificates
6. Governmental National Mortgage Association (GNMA or Ginnie Mae)
GNMA – guaranteed mortgage-backed bonds
GNMA – guaranteed pass-through obligations
(these obligations are not acceptable for certain cash-flow sensitive issues)
7. U.S. Maritime Administration
Guaranteed Title XI financing
8. U.S. Department of Housing and Urban Development (HUD)
Project Notes
Local Authority Bonds
New Communities Debentures – U.S. government guaranteed debentures
U.S. Public Housing Notes and Bonds – U.S. government guaranteed public housing notes and bonds

C. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following federal agencies which are not backed by the full faith and credit of the United States of America (stripped securities are only permitted if they have been stripped by the agency itself):

1. Federal Home Loan Bank System
Senior debt obligations
2. Federal Home Loan Mortgage Corporation (FHLMAC or Freddie Mac)
Participation Certificate
Senior debt obligations
3. Federal National Mortgage Association (FNMA or Fannie Mae)
Mortgage-backed securities and senior debt obligations
4. Student Loan Marketing Association (SLMA or Sallie Mae)
Senior debt obligations

5. Resolution Funding Corp. (REFCORP) obligations

6. Farm Credit System
Consolidated systemwide bonds and notes

D. Money market funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of AAAm-G; AAA-m; or AA-m and if rated by Moody's rated Aaa, Aa1 or Aa2 including funds for which the Trustee or its affiliates provide investment advisory or other management services.

E. Certificates of deposit secured at all times by collateral described in (A) and/or (B) above. Such certificates must be issued by commercial banks, savings and loan associations or mutual savings banks. The collateral must be held by a third party and the bondholders must have a perfected first security interest in the collateral.

F. Certificates of deposit, savings accounts, deposit accounts or money market deposits which are fully insured by FDIC, including BIF and SAIF including those of Trustee and its affiliates.

G. Investment Agreements, including GIC's, Forward Purchase Agreements and Reserve Fund Put agreements.

H. Commercial paper rated, at the time of purchase, "Prime -1" by Moody's and "A-1" or better by S&P.

I. Bonds or notes issued by any state or municipality which are rated by Moody's and S&P in one of the two highest rating categories assigned by such rating agencies.

J. Money-market deposits, federal funds or bankers acceptances with a maximum term of one year of any bank which has an unsecured, uninsured and unguaranteed obligation rating of "Prime - 1" or "A3" or better by Moody's and "A-1" or "A" or better by S&P.

K. Repurchase Agreements ("Repos") must follow the following criteria.

Repos provide for the transfer of securities from a dealer bank or securities firm (seller/borrower) to a municipal entity (buyer/lender), and the transfer of cash from a municipal entity to the dealer bank or securities firm with an agreement that the dealer bank or securities firm will repay the cash plus a yield to the municipal entity in exchange for the securities at a specified date.

1. Repos must be between the municipal entity and a dealer bank or securities firm.

a. Primary dealers on the Federal Reserve reporting dealer list which are rate "A" or better by S&P and "A2" or better by Moody's, or

b. Banks rated "A" or better by S&P and "A2" or better by Moody's.

2. The written repurchase agreement must include the following:

a. Securities which are acceptable for transfer are:

(1) Direct obligations of the United States of America referred to in clause A above, or

(2) Obligations of federal agencies referred to in clause B above

(3) Obligations of FNMA and FHLMC

b. The term of the Repos may be up to 30 days.

c. The collateral must be delivered to the municipal entity, trustee (if trustee is not supplying the collateral) or third party acting as agent for the trustee is (if the trustee is supplying the collateral) before/simultaneous with payment (perfection by possession of certificated securities).

d. Valuation of Collateral.

(1) the securities must be valued weekly, marked-to-market at current market price plus accrued interest.

(2) The value of collateral must be equal to 104% of the amount of cash transferred by the municipal entity to the dealer bank or security firm under the repo plus accrued interest. If the value of securities held as collateral slips below 104% of the value of the cash transferred by the municipal entity, then additional cash and/or acceptable securities must be transferred. If, however, the securities used as collateral are FNMA or FHLMC, then the value of the collateral must equal 105%.

3. A legal opinion which must be delivered to the municipal entity that states that the Repo meets guidelines under state law for legal investment of public funds.

L. The Local Agency Investment Fund of the State of California;

M. California Arbitrage Management Program; and

N. Any other investment approved by the District.

“Principal Payment Date” means any date on which principal of the Bonds is required to be paid (whether by reason of maturity, redemption or acceleration).

“Project Account” means the account established within the Acquisition and Construction Fund relating to capital improvements financed under the Installment Sale Agreement for the Project.

“Project” means the acquisition, construction and improvement of the public capital improvements of the District financed pursuant to Parity Obligations. The term “2014 Project” means the capital improvements described in Exhibit A to the Installment Sale Agreement and such additions, substitutions and deletions as shall be specified in a Certificate of the District stating that such additions, substitutions or deletions constitute part of the 2014 Project.

“Project Costs” means all costs of acquisition, construction and improvement of the Projects and of expenses incident thereto (or for making reimbursements to the Authority or the District or any other person, firm or corporation for such costs theretofore paid by him or it), including, but not limited to, construction costs, architectural and engineering fees and expenses, interest during construction, tests and inspection, surveys, land acquisition, insurance premiums, losses during construction not insured against because of deductible amounts, costs related to the Trustee during construction, costs of accounting, feasibility, environmental and other reports, inspection costs, permit fees, filing and recording costs, printing costs, reproduction and binding costs.

“Rating Agencies” means, as of any date, (a) Moody’s, if Moody’s then maintains a rating on the Bonds, and (b) S&P, if S&P then maintains a rating on the Bonds.

“Reserve Account” means the account established within the Reserve Fund relating to obligations under the Installment Sale Agreement.

“Reserve Account Requirement” means, with respect to the Reserve Account, the least of (i) the maximum annual Installment Payments, (ii) 125% of average annual Installment Payments or (iii) 10% of the original principal amount of the Installment Payments; provided, however, such amount shall not exceed the amount permitted by the arbitrage bond regulations issued by the United States Department of the Treasury, as such regulations are, at the time, applicable and in effect, without the imposition of yield restrictions.

“Reserve Facility” means a surety bond, an insurance policy or letter of credit deposited with the Trustee for the credit of the Reserve Account, upon the terms and conditions specified in the Trust Agreement, including the municipal bond debt service reserve insurance policy issued by the Reserve Facility Provider.

“Reserve Facility Provider” means Assured Guaranty Municipal Corp., a New York stock insurance company, or any successor thereto or assignee thereof, or any other provider of a Reserve Facility.

“Reserve Fund” means the fund of that name established pursuant to the Trust Agreement.

“Responsible Officer” means any officer of the Trustee assigned to administer its duties under the Trust Agreement.

“Revenue Fund” means the fund of that name established pursuant to the Trust Agreement.

“Revenues” means (i) all 2014 Installment Payments and other payments paid by the District and received by the Authority pursuant to the Installment Sale Agreement, and (ii) all interest or other income from any investment, pursuant to the Trust Agreement, of any money in any fund or account (other than the Rebate Fund) established pursuant to the Trust Agreement.

“Securities Depositories” means: The Depository Trust Company, or such other securities depositories as the Authority may designate to the Trustee.

“S&P” means Standard & Poor’s Ratings Services, a corporation duly organized and existing under and by virtue of the laws of the State of New York, and its successors and assigns, except that if such entity shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, then the term S&P shall be deemed to refer to any other nationally recognized securities rating agency selected by the District.

“State” means the State of California.

“Supplemental Trust Agreement” means any trust agreement then in full force and effect which has been duly executed and delivered by the Authority and the Trustee amendatory of the Trust Agreement or supplemental thereto; but only if and to the extent that such Supplemental Trust Agreement is executed and delivered pursuant to the provisions of the Trust Agreement.

“System” means properties and assets, real and personal, tangible and intangible, of the District used or pertaining to the collection, treatment or disposal of sewage and waste, including all additions, extensions, expansions, improvements and betterments thereto and equipments thereof, together with any other properties or assets determined by the Board of Directors of the District to be part of the System.

“System Gross Revenues” means all gross income and revenue received by the District from the ownership and operation of the System, determined in accordance with Generally Accepted Accounting Principles, including, without limiting the generality of the foregoing, (a) all income, rents, rates, fees, connection fees, charges or other moneys derived from the services, facilities and commodities sold, furnished or supplied through the facilities of the System, (b) the earnings on and income derived from the investment of such income, rents, rates, fees, charges or other moneys (including all investment earnings credited by the Trustee to the Revenue Fund), (c) the proceeds derived by the District directly or indirectly from the sale, lease or other disposition of a part of the System as permitted in the Installment Sale Agreement, and (d) any transfers from (but excluding transfers to) a rate stabilization fund for the System; *provided, however*, that the term “System Gross Revenues” shall not include

customers' deposits or any other deposits subject to refund until such deposits have become the property of the District.

"System Net Revenues" means for any period of computation, the amount of the System Gross Revenues during such period less the amount of Maintenance and Operation Expenses becoming payable during such period.

"System Revenue Fund" means the fund by that name established pursuant to the Installment Sale Agreement.

"Tax Certificate" means the Tax Certificate delivered by the Authority at the time of the issuance and delivery of a Series of Bonds, as the same may be amended or supplemented in accordance with its terms.

"Trust Agreement" means the Trust Agreement, dated as of November 1, 2014, between the Authority and the Trustee, as originally executed and as it may from time to time be amended or supplemented by all Supplemental Trust Agreements executed pursuant to the provisions of the Trust Agreement.

"Trustee" means U.S. Bank National Association, or any other association or corporation which may at any time be substituted in its place as provided in the Trust Agreement.

"2012 Contract" means the Loan and Installment Sale Agreement by and between the District and Municipal Finance Corporation, dated as of August 15, 2012, as originally executed and as it may from time to time be amended or supplemented in accordance with its terms.

"Wastewater Service" means the municipal wastewater service furnished, made available or provided by the Wastewater System.

"Written Request of the Authority" means an instrument in writing signed by or on behalf of the Authority by any member of the Board of Directors of the Authority (the "Board"), or any other person designated as an Authority Representative by a certificate signed by a member of the Board and filed with the Trustee.

"Written Request of the District" means an instrument in writing to the Trustee signed by the General Manager or the Finance Manager of the District, or by any such officer's duly appointed designee, or by any other officer or employee of the District duly authorized by the District for that purpose.

INSTALLMENT SALE AGREEMENT

The 2014 Installment Sale Agreement (Wastewater System), dated as of November 1, 2014, by and between the District, as purchaser, and the Authority, as seller, is referred to herein as the "Installment Sale Agreement". Certain provisions of the Installment Sale Agreement are briefly summarized herein.

Design, Acquisition, Construction and Sale of the 2014 Project

The Authority agrees to design, acquire and construct the 2014 Project for, and to sell the 2014 Project to, the District. In order to implement this provision, the Authority appoints the District as its agent for the purpose of such design, acquisition and construction, and the District agrees to enter into such engineering, design and construction contracts and purchase orders as may be necessary, as agent for the Authority, to provide for the complete design, acquisition and construction of the 2014 Project. The District agrees that as such agent it will cause the acquisition and construction of the 2014 Project to be diligently completed after the deposit of funds in the Acquisition Fund for such purpose pursuant to the Trust Agreement, and that it will use its best efforts to cause the design, acquisition and construction of the 2014 Project to be completed as soon as reasonably practicable. The District agrees to purchase the 2014 Project from the Authority on the terms and conditions specified in the Installment Sale Agreement.

Purchase Price

The Purchase Price to be paid by the District to the Authority under the Installment Sale Agreement is the sum of the principal amount of the District's obligation thereunder plus the interest to accrue on the unpaid balance of such principal amount from the date thereof over the term thereof, subject to prepayment as provided in the Installment Sale Agreement.

Payment of 2014 Installment Payments

The District shall, subject to prepayment as provided in the Installment Sale Agreement, pay the Authority the Purchase Price, without offset or deduction of any kind, by paying the principal installments of the 2014 Installment Payments due annually on June 1, together with interest installments of the 2014 Installment Payments, which interest installments shall be paid semiannually on each June 1 and December 1, commencing June 1, 2015.

In order to carry out and effectuate the obligation of the District contained in the Installment Sale Agreement to pay the Purchase Price by paying the 2014 Installment Payments, the District agrees and covenants that all System Gross Revenues received by it shall be deposited when and as received in trust in the System Revenue Fund, which is pledged and a security interest is granted therein and which fund the District agrees and covenants to maintain so long as any 2014 Installment Payments remain unpaid, and all money on deposit in the System Revenue Fund shall be applied and used only as provided in the Installment Sale Agreement. The District shall pay all Maintenance and Operation Costs (including amounts reasonably required to be set aside in contingency reserves for Maintenance and Operation Costs the payment of which is not then immediately required) from the System Revenue Fund as they become due and payable, and all remaining money on deposit in the System Revenue Fund shall be set aside and deposited by the District at the following times in the following order of priority:

(a) Transfers to Trustee.

(1) Revenue Fund Deposits. On or before the fourth Business Day before each date on which a 2014 Installment Payment becomes due and payable under the Installment Sale Agreement, the District shall, from the money in the System Revenue Fund, transfer to the Trustee for deposit in the Revenue Fund established pursuant to the Trust Agreement a sum equal to the 2014 Installment Payments becoming due and payable under the Installment Sale Agreement on such due date, except that no such deposit need be made to the extent the Trustee then holds money for such purpose in the Revenue Fund available to pay the 2014 Installment Payment becoming due and payable under the Installment Sale Agreement on such date. The District shall also, from such remaining moneys in the System Revenue Fund, pay to the party entitled thereto or transfer or cause to be transferred to any applicable debt service or other payment fund or account for any Parity Obligations, without preference or priority between transfers made pursuant to this sentence and the preceding sentence, and in the event of any insufficiency of such moneys ratably without any discrimination or preference, on the dates specified in the proceedings relating to such Parity Obligations, the sum or sums required to be paid or deposited in such debt service or other payment fund or account with respect to principal, premium, if any, and interest on Parity Obligations in accordance with the terms of such Parity Obligations.

(2) After deposits and transfers pursuant to paragraph (1) above and prior to the transfers and deposits pursuant to paragraph (3) below, transfer to the Insurer (a) a sum, if any, equal to the total of all amounts paid by the Insurer under the Insurance Policy ("Insurer Advances"), and (b) interest on such Insurer Advances from the date paid by the Insurer until the payment thereof in full, payable to the Insurer at the applicable late payment rate per annum (collectively, the "Insurer Reimbursement Amounts").

(3) Reserve Account Deposits. On or before the fourth Business Day before each 2014 Installment Payment Date, the District shall, from the remaining money on deposit in the System Revenue Fund after deposits and transfers pursuant to paragraph (1) above, transfer to the Trustee for deposit in the Reserve Account that sum, if any, necessary to restore the Reserve Account to an amount

equal to the Reserve Account Requirement. Any amount transferred to the Trustee shall be applied first to pay the issuer of each Reserve Facility which had been drawn on pursuant to the Trust Agreement (on a pro rata basis based on the amount drawn) to restore each such Reserve Facility to its full amount.

After making the foregoing deposits and transfers hereinabove required to be made, or, if sooner, at such time as amounts remaining on deposit in the System Revenue Fund shall be sufficient to make the remaining transfers hereinabove required to be made in such Fiscal Year with respect to 2014 Installment Payments and Parity Obligations, the District shall apply any remaining money in the System Revenue Fund (i) first, to pay any payment of interest then due on amounts drawn under the Reserve Facility, on a pro rata basis and (ii) second, for any lawful purpose of the District.

The District shall distribute System Net Revenues available for outstanding 2014 Installment Payments and debt service on all Outstanding Parity Obligations on a pro rata basis without regard to whether each such Parity Obligation has a funded debt service reserve or a surety bond or other similar funding instrument.

The District may maintain and hold a separate fund to be known as the "Rate Stabilization Fund." From time to time the District may deposit in the Rate Stabilization Fund from such remaining System Gross Revenues such amounts as the District shall determine. The District may withdraw amounts from the Rate Stabilization Fund only for inclusion in System Gross Revenues for any Fiscal Year. All interest or other earnings upon deposits in the Rate Stabilization Fund shall be withdrawn therefrom and accounted for as System Gross Revenues.

Pledge of System Net Revenues

All System Net Revenues are irrevocably pledged to the payment of the 2014 Installment Payments; provided, that out of the System Net Revenues there may be apportioned such sums for such purposes as are permitted by the Installment Sale Agreement. This pledge shall constitute a lien on the System Net Revenues for the payment of the 2014 Installment Payments and Parity Obligations.

Conditions for the Execution of Parity Obligations

The District shall not incur any obligation, the payment of which is payable from and secured by a lien and charge on the System Net Revenues prior to the lien and charge on System Net Revenues securing the 2014 Installment Payments under the Installment Sale Agreement. The District may at any time execute and deliver any Parity Obligation, the payment of which is payable from and secured by a lien and charge on the System Net Revenues on a parity with the lien and charge on System Net Revenues securing the Installment Payments due under the Installment Sale Agreement, provided:

(a) Either -

(1) as evidenced by a Certificate of the District, during (i) the most recent audited Fiscal Year or (ii) any 12 consecutive calendar months out of the immediately preceding 18 calendar month period, the System Net Revenues were at least equal to 120% of the Maximum Annual Debt Service for all outstanding 2014 Installment Payments and all Outstanding Parity Obligations plus the Parity Obligation proposed to be executed; or

(2) as evidenced by a Certificate of the District, the projected System Net Revenues during the first Fiscal Year in which Debt Service on the Parity Obligation is payable (other than from Bond proceeds), is at least equal to 120% of the Maximum Annual Debt Service for all outstanding 2014 Installment Payments and all Outstanding Parity Obligations plus the Parity Obligation proposed to be executed;

(b) The proceeds of such Parity Obligation proposed to be executed shall be used solely to finance or refinance (including reimbursement to the District of amounts advanced for such costs) one or more additions, betterments or improvements to the System, working capital or other lawful purposes relating to the

System as designated by the District and to pay any incidental costs and expenses related thereto including the costs of issuance, execution or delivery of such proposed Parity Obligation;

(c) There shall have been delivered to the District an Opinion of Counsel substantially to the effect that (1) the District has the right and power under applicable law to execute and deliver the Parity Obligation, and the Parity Obligation has been duly and lawfully executed and delivered by the District, is in full force and effect and is a valid and binding special obligation of the District, and (2) such Parity Obligation has been duly and validly authorized and issued in accordance with the Installment Sale Agreement; and

(d) The District is not in default under the Installment Sale Agreement.

Notwithstanding the foregoing provisions, neither clause (a) nor clause (b) above shall limit the ability of the District to execute any Parity Obligations at any time to refund any outstanding 2014 Installment Payments or Outstanding Parity Obligations if the annual Debt Service for each Fiscal Year during which such Parity Obligation is Outstanding will not be increased by reason of the issuance of such Parity Obligation.

Subordinate Obligations

The District may incur Subordinate Obligations without meeting any of the tests set forth above.

Compliance with Installment Sale Agreement and Trust Agreement

The District will punctually pay the 2014 Installment Payments in strict conformity with the terms of the Installment Sale Agreement and will faithfully observe and perform all the agreements, conditions, covenants and terms contained therein required to be observed and performed by it, and will not terminate the Installment Sale Agreement for any cause including, without limiting the generality of the foregoing, any acts or circumstances that may constitute failure of consideration, destruction of or damage to the 2014 Project or the System, commercial frustration of purpose, any change in the tax or other laws of the United States of America or of the State of California or any political subdivision of either or any failure of the Authority to observe or perform any agreement, condition, covenant or term contained in the Installment Sale Agreement required to be observed and performed by it, whether express or implied, or any duty, liability or obligation arising out of or connected therewith or the insolvency, or deemed insolvency, or bankruptcy or liquidation of the Authority or any force majeure, including Acts of God, tempest, storm, earthquake, war, rebellion, riot, civil disorder, acts of public enemies, blockade or embargo, strikes, industrial disputes, lockouts, lack of transportation facilities, fire, explosion, or acts or regulations of governmental authorities.

The District will faithfully observe and perform all the agreements, conditions, covenants and terms contained in the Trust Agreement required to be observed and performed by it, and it is expressly understood and agreed by and among the parties to the Installment Sale Agreement and the Trust Agreement that each of the agreements, conditions, covenants and terms contained in each such agreement is an essential and material term of the obligation of the District to repay the costs of the acquisition and construction of the 2014 Project and the costs and expenses incidental thereto paid by the Authority pursuant to, and in accordance with, and as authorized under law and the Installment Sale Agreement.

Against Encumbrances

The District will pay or cause to be paid when due all sums of money that may become due or purporting to be due for any labor, services, materials, supplies or equipment furnished, or alleged to have been furnished, to or for the District in, upon, about or relating to the System and will keep the System free of any and all liens against any portion of the System. In the event any such lien attaches to or is filed against any portion of the System, the District will cause each such lien to be fully discharged and released at the time the performance of any obligation secured by any such lien matures or becomes due, except that if the District desires to contest any such lien it may do so. If any such lien shall be reduced to final judgment and such judgment or any process as may be issued for the enforcement thereof is not promptly stayed, or if so stayed and such stay thereafter expires, the District will forthwith pay or cause to be paid and discharged such judgment. The District will, to the maximum

extent permitted by law, indemnify and hold the Authority and the Trustee harmless from, and defend each of them against, any claim, demand, loss, damage, liability or expense (including attorneys' fees) as a result of any such lien or claim of lien against any portion of the System.

Against Sale or Other Disposition of Property

The District will not sell, lease or otherwise dispose of the System or any part thereof essential to the proper operation of the System or to the maintenance of the System Net Revenues, and will not enter into any agreement or lease which would impair the operation of the System or any part thereof necessary to secure adequate System Net Revenues for the payment of the 2014 Installment Payments, or which would otherwise impair the rights of the Authority with respect to the System Net Revenues or the operation of the System; provided, that any real or personal property which has become nonoperative or which is not needed for the efficient and proper operation of the System, or any material or equipment which has become worn out, may be sold if such sale will not reduce the System Net Revenues below the requirements to be maintained under the Installment Sale Agreement relating to the amount of rates, fees and charges for the related service.

Tax Covenants

(a) The District will not directly or indirectly use or permit the use of any proceeds of the obligation provided in the Installment Sale Agreement or any other funds of the District or take or omit to take any action that would cause such obligation to be an "arbitrage bond" within the meaning of Section 148(a) of the Code or a "federal-guaranteed obligation" within the meaning of Section 149(b) of the Code or a "private activity bond" as described in Section 141 of the Code.

To that end, as long as any 2014 Installment Payments are unpaid, the District will comply with all requirements of such sections of the Code to the extent applicable to the obligations provided in the Installment Sale Agreement. In the event that at any time the District is of the opinion that for purposes of this section it is necessary to restrict or to limit the yield on the investment of any moneys held by the District under the Installment Sale Agreement or by the Trustee under the Trust Agreement, the District shall so instruct the Trustee in writing and the trustee, as appropriate, shall act in accordance with such instructions.

The District and the Authority covenant that they will at all times do and perform all acts necessary or desirable in order to assume that the interest on the Bonds will not be included in gross income of the registered owners thereof for federal income tax purposes and will take no action that would result in such interest being so included.

(b) Notwithstanding any provision of this section, if the District receives an opinion of Bond Counsel that any specified action required under this section is no longer required or that some further or different action is required to maintain the exclusion from gross income for federal income tax purposes on the Bonds, the District may conclusively rely on such opinion in complying with the requirements of this section, and the covenants under the Installment Sale Agreement shall be deemed to be modified to that extent.

(c) Notwithstanding any provision of this section, the covenants of the Authority in this section are made solely in reliance on the representations and covenants of the District set forth in the Installment Sale Agreement and the Tax Certificate and a default by the District with respect thereto shall not be considered a default of the Authority under the Installment Sale Agreement.

Acquisition and Construction of the 2014 Project

The District will take all necessary and appropriate steps to acquire and construct the 2014 Project, as agent of the Authority.

Maintenance and Operation of the System; Budgets

The District will maintain and preserve the System in good repair and working order at all times and will operate the System in an efficient and economical manner and will pay all Maintenance and Operation Costs as they become due and payable.

Not later than September 1 of each year, the District will adopt and, if requested, make available to the Authority and the Trustee, a budget approved by the Board of Directors of the District setting forth the estimated Maintenance and Operation Costs and the estimated payments for Parity Obligations for the then current Fiscal Year; provided, that any such budget may be amended at any time during any Fiscal Year and, if requested, such amended budget shall be made available to the Authority and the Trustee.

Compliance with Contracts

The District will comply with, keep, observe and perform all agreements, conditions, covenants and terms, express or implied, required to be performed by it contained in all contracts for the use of the System and all other contracts affecting or involving the System to the extent that the District is a party thereto.

Payment of Claims

The District will pay and discharge any and all lawful claims for labor, materials or supplies which, if unpaid, might become a lien on the System Net Revenues or any part thereof prior or superior to the obligation to make the 2014 Installment Payments as provided in the Installment Sale Agreement or which might impair the security of the 2014 Installment Payments.

Insurance

The District will procure and maintain such insurance relating to the System which it shall deem advisable or necessary to protect its interests and the interests of the Authority and the Trustee, which insurance shall afford protection in such amounts and against such risks as are usually covered in connection with municipal wastewater systems similar to the System; provided, that any such insurance may be maintained under a self-insurance program so long as such self-insurance is maintained in the amounts and manner usually maintained in connection with municipal wastewater systems similar to the System and is, in the opinion of an Insurance Consultant, financially sound. All policies of insurance required to be maintained in the Installment Sale Agreement shall provide that the Authority and the Trustee shall be given thirty 30 days' written notice of any intended cancellation thereof or reduction of coverage provided thereby.

Accounting Records and Financial Statements

The District will keep appropriate accounting records in which complete and correct entries shall be made of all transactions relating to the System, which records shall be available for inspection by the Authority and the Trustee at reasonable hours and under reasonable conditions.

The District will prepare and file with the Authority annually within 210 days after the close of each Fiscal Year (commencing with the Fiscal Year ending June 30, 2014) financial statements of the District for the preceding Fiscal Year prepared in accordance with generally accepted accounting principles, together with an Accountant's Report thereon.

Payment of Taxes and Compliance with Governmental Regulations

The District will pay and discharge all taxes, assessments and other governmental charges which may be lawfully imposed upon the System or any part thereof when the same shall become due. The District will duly observe and conform with all valid regulations and requirements of any governmental authority relative to the operation of the System or any part thereof, but the District shall not be required to comply with any regulations or requirements so long as the validity or application thereof shall be contested in good faith.

Collection of Rates, Fees and Charges

The District will have in effect at all times rules and regulations requiring each consumer or customer located on any premises connected with the System to pay the rates, fees and charges applicable to the Wastewater Service, to such premises and providing for the billing thereof and for a due date and a delinquency date for each bill. The District will not permit any part of the System or any facility thereof to be used or taken advantage of free of charge by any corporation, firm or person, or by any public agency (including the United States of America, the State of California and any city, county, district, political subdivision, public corporation or agency of any thereof); provided, that the District may without charge use the Wastewater Service.

Continuing Disclosure

The District covenants and agrees that it will comply with and carry out all of its obligations under the Continuing Disclosure Certificate to be delivered by the District in connection with the execution and delivery of the Bonds. Notwithstanding any other provision of the Installment Sale Agreement, failure of the District to comply with the Continuing Disclosure Certificate shall not be considered an Event of Default under the Installment Sale Agreement; provided, however, that any beneficial owner of Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations in the Installment Sale Agreement and the Continuing Disclosure Certificate. All information furnished by the District pursuant to the Continuing Disclosure Certificate shall also be provided to the Insurer, simultaneously with the furnishing of such information.

Eminent Domain and Insurance Proceeds

If all or any part of the System shall be taken by eminent domain proceedings, or if the District receives any insurance proceeds resulting from a casualty loss to the System, the Net Proceeds thereof, at the option of the District, shall be applied either to the prepayment of the 2014 Installment Payment as provided in the Installment Sale Agreement or shall be used to substitute other components for the condemned or destroyed components of the System.

Non-Competition

So long as the Bonds are Outstanding, the District shall not engage in any business that would compete with the 2014 Project.

Events of Default and Acceleration of Principal

If one or more of the following Events of Default shall happen, that is to say –

- (1) if default shall be made in the due and punctual payment of any 2014 Installment Payment or of any Parity Obligation when and as the same shall become due and payable;
- (2) if default shall be made by the District in the performance of any of the agreements or covenants contained in the Installment Sale Agreement required to be performed by it, and such default shall have continued for a period of 60 days after the District shall have been given notice in writing of such default by the Authority, the Insurer or the Trustee; or
- (3) if default shall be made by the District in the performance of any of the agreements or covenants contained in any Parity Obligation required to be performed by it, other than as set forth in clause (1) above, and such default shall have continued after any notice and grace period provided by such Parity Obligation; or
- (4) if the District shall file a petition or answer seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if a court of competent jurisdiction shall approve a petition filed with or

without the consent of the District seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody or control of the District or of the whole or any substantial part of its property;

then and in each and every such case during the continuance of such Event of Default specified in clause (1) or (4) above, the Trustee shall, and for any other such Event of Default the Trustee may, by notice in writing to the District, declare the entire principal amount of the unpaid 2014 Installment Payments and the accrued interest thereon to be due and payable immediately, and upon any such declaration the same shall become immediately due and payable, anything contained in the Installment Sale Agreement to the contrary notwithstanding; subject to the condition, however, that if at any time after the entire amount of the unpaid principal amount of the 2014 Installment Payments and the accrued interest thereon shall have been so declared due and payable and before any judgment or decree for the payment of the money due shall have been obtained or entered, the District shall deposit with the Trustee a sum sufficient to pay the unpaid amount of the 2014 Installment Payments due otherwise than as a result of such declaration and in the applicable debt service fund(s) the unpaid principal amount of any payments due under any Parity Obligation referred to in clause (1) above due and payable prior to such declaration and the accrued interest thereon, with interest on such overdue installments at the rate or rates applicable to such unpaid 2014 Installment Payments if paid in accordance with their terms and on the Parity Obligations in accordance with their terms, and the District shall have paid the reasonable expenses of the Authority, the Trustee and any fiduciaries for Parity Obligations resulting from such declaration, and any and all other defaults known to the Trustee (other than in the payment of the entire amount of the unpaid 2014 Installment Payments due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, then and in every such case the Trustee, by written notice to the District, may rescind and annul such declaration and its consequences; but no such rescission and annulment shall extend to or shall affect any subsequent default or shall impair or exhaust any right or power consequent thereon.

Notwithstanding the foregoing, upon the occurrence and continuance of an event of default, the Insurer shall be entitled to control and direct the enforcement of all rights and remedies granted to the Trustee for the benefit of the Holders under the Installment Sale Agreement, including, without limitation, (i) the right to accelerate the principal due under the Installment Sale Agreement as described above and (ii) the right to annul any declaration of acceleration and the Insurer shall also be entitled to approve all waivers of events of default; provided, however, that the Insurer shall not be entitled to exercise such direction and control if it is then in default of its obligations under the Insurance Policy.

Application of System Net Revenues and Rate Stabilization Fund Upon Acceleration

All System Net Revenues and all moneys on deposit in the Rate Stabilization Fund upon the date of the declaration of acceleration by the Trustee as described above and all System Net Revenues thereafter received shall be applied in the following order –

First, to the payment of the fees, costs and expenses of the Trustee, if any, in carrying out the provisions of the Installment Sale Agreement relating to the application of System Net Revenues upon acceleration, including reasonable compensation to its agents, accountants and counsel and including any indemnification expenses; and

Second, to the payment of the interest on the 2014 Installment Payments and interest then due and payable on the entire principal amount of the unpaid Parity Obligations, and the unpaid principal components of the 2014 Installment Payments and the principal amount of the Parity Obligations which has become due and payable, whether on the original due date or upon acceleration, with interest on the overdue principal amount of the 2014 Installment Payments at the rate or rates applicable to such 2014 Installment Payments and the principal and interest amounts of the unpaid Parity Obligations at the rate or rates of interest then applicable to such Parity Obligations, and, if the amount available shall not be sufficient to pay in full all the amounts due with respect to the 2014 Installment Payments and the Parity Obligations, together with such interest on the 2014 Installment Payments and interest on Parity Obligations, then to the payment thereof ratably, according to the principal and interest due, without any discrimination or preference.

Other Remedies

The Trustee shall have the right –

- (a) by mandamus or other action or proceeding or suit at law or in equity to enforce its rights against the District or any councilmember, officer or employee thereof, and to compel the District or any such councilmember, officer or employee to perform and carry out its or his duties under law and the agreements and covenants required to be performed by it or him contained in the Installment Sale Agreement;
- (b) by suit in equity to enjoin any acts or things which are unlawful or violate the rights of the Authority or the Trustee; or
- (c) by suit in equity upon the happening of an Event of Default to require the District and its councilmembers, officers and employees to account as the trustee of an express trust.

Discharge of Obligations

- (a) If the District shall pay or cause to be paid all the 2014 Installment Payments at the times and in the manner provided in the Installment Sale Agreement, the right, title and interest of the Authority in the Installment Sale Agreement and the obligations of the District thereunder shall thereupon cease, terminate, become void and be completely discharged and satisfied.
- (b) Any unpaid principal installment of the 2014 Installment Payments shall on its payment date or date of prepayment be deemed to have been paid within the meaning of and with the effect expressed in subsection (a) of this section if the District makes payment of such 2014 Installment Payments and the prepayment premium, if applicable, in the manner provided in the Installment Sale Agreement.
- (c) All or any portion of unpaid principal installments of the 2014 Installment Payments shall, prior to their payment dates or dates of prepayment, be deemed to have been paid within the meaning of and with the effect expressed in subsection (a) of this section if (i) notice is provided by the District to the Trustee as required by the Trust Agreement, (ii) there shall have been deposited with the Trustee either money in an amount which shall be sufficient, or Government Securities, the interest on and principal of which when paid will provide money which, together with money, if any, deposited with the Trustee, shall be sufficient to pay when due the principal installments of such 2014 Installment Payments or such portions thereof on and prior to their payment dates or their dates of prepayment, as the case may be, and the prepayment premiums, if any, applicable thereto, and (iii) an opinion of nationally recognized bond counsel is filed with the Trustee to the effect that the action taken pursuant to this subsection will not cause the interest on the Bonds to be includable in gross income under the Code for federal income tax purposes.

Liability of District Limited to System Net Revenues

Notwithstanding anything contained in the Installment Sale Agreement, the District shall not be required to advance any moneys derived from any source of income other than the System Net Revenues for the payment of the 2014 Installment Payments or for the performance of any agreements or covenants required to be performed by it contained in the Installment Sale Agreement. The District may, however, advance moneys for any such purpose so long as such moneys are derived from a source legally available for such purpose and may be legally used by the District for such purpose.

The obligation of the District to make the 2014 Installment Payments is a special obligation of the District payable solely from the System Net Revenues as provided in the Installment Sale Agreement, and does not constitute a debt of the District or of the State of California or of any political subdivision thereof within the meaning of any constitutional or statutory debt limitation or restriction.

Assignment

The Installment Sale Agreement and any rights thereunder shall be assigned by the Authority to the Trustee as provided in the Trust Agreement; to which assignment the District expressly acknowledges and consents.

Bond Insurance Provisions

Notwithstanding any other provision of the Installment Sale Agreement, so long as the Insurer has not failed to comply with its payment obligations under the Insurance Policy, the District covenants to comply with the terms relating to the Insurance Policy set forth below:

(a) The Insurer shall have the right to receive such additional information as it may reasonably request.

(b) The District will permit the Insurer to discuss the affairs, finances and accounts of the District or any information the Insurer may reasonably request regarding the security for the Bonds with appropriate officers of the District and will use commercially reasonable efforts to enable the Insurer to have access to the facilities, books and records of the District on any business day upon reasonable prior notice.

(c) The Trustee shall notify the Insurer of any failure of the District to provide notices, certificates and other information under the applicable transaction documents relating to the Authority Bonds.

(d) Notwithstanding satisfaction of the other conditions to the issuance of Additional Bonds set forth in the Trust Agreement, no such issuance may occur (1) if an Event of Default (or any event which, once all notice or grace periods have passed, would constitute an Event of Default) exists unless such default shall be cured upon such issuance and (2) unless the Reserve Account is fully funded at the Reserve Account Requirement (including the proposed issue) upon the issuance of such Additional Bonds, in either case unless otherwise permitted by the Insurer.

(e) The District acknowledges and accepts the bond insurance provisions set forth in the Trust Agreement and agrees to comply with the provisions that apply to it in the Trust Agreement.

TRUST AGREEMENT

Certain provisions of the Trust Agreement setting forth the terms of the Bonds, the redemption provisions thereof and the use of the proceeds of the Bonds are set forth elsewhere in this Official Statement. See “THE BONDS” and “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS” herein.

The Trustee

U.S. Bank National Association has been appointed by the Authority as Trustee. The Trustee will receive all of the Bond proceeds and the Revenues for disbursement in conformity with the Trust Agreement. In addition, the Trustee will act as registrar of the Bonds. Payments of principal of, interest or redemption premiums, if any, on the Bonds will be made through the principal corporate trust office of the Trustee.

Assignment

The Authority assigns to the Trustee all of the Authority’s right, title and interest in the Installment Sale Agreement as security for payment of the Bonds.

Pledge of Revenues

All Revenues and any other amounts (including proceeds of the sale of the Bonds) held by the Trustee in any fund or account established under the Trust Agreement (other than amounts on deposit in the Rebate

Fund created pursuant to the Trust Agreement) are irrevocably pledged to the payment of the interest and premium, if any, on and principal of the Bonds as provided in the Trust Agreement, and the Revenues and other amounts pledged under the Trust Agreement shall not be used for any other purpose while any of the Bonds remain Outstanding; provided, however, that out of the Revenues and other moneys there may be applied such sums for such purposes as are permitted under the Trust Agreement. This pledge shall constitute a pledge of and charge and first lien upon the Revenues, all other amounts pledged under the Trust Agreement and all other moneys on deposit in the funds and accounts established under the Trust Agreement (excluding amounts on deposit in the Rebate Fund) for the payment of the interest on and principal of the Bonds in accordance with the terms thereof and of the Trust Agreement.

Establishment of Funds and Accounts; Flow of Funds

The Trust Agreement provides for the establishment of the following special accounts or funds, among others: the Revenue Fund (within which the Installment Payment Account, the Interest Account and the Principal Account will be established and maintained), the Reserve Fund (within which a Reserve Account relating to obligations under the Installment Sale Agreement will be established and maintained), the Costs of Issuance Fund, the Acquisition and Construction Fund and the Rebate Fund. The Trustee will hold all funds in the Revenue Fund, Costs of Issuance Fund, the Reserve Fund and the Rebate Fund and the District will hold all moneys in the Acquisition and Construction Fund.

All money in the Interest Account will be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it becomes due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity). All money in the Principal Account will be used and withdrawn by the Trustee solely for the purpose of paying the principal of the Bonds as it becomes due and payable. All money in (or available to) the Reserve Account will be used to replenish the Interest Account and the Principal Account, in that order, in the event of any deficiency at any time in any of the Installment Payments. All money in the Costs of Issuance Fund will be used to pay the Costs of Issuance of the Bonds upon receipt by the Treasurer of a Written Request of the Authority. Moneys in the Acquisition and Construction Fund will be used to pay Project Costs and expenses incident thereto or shall be transferred to the Trustee for the payment of interest on the Bonds. Moneys in the Rebate Fund will be used to make rebate payments to the United States of America, if required.

On each Interest Payment Date, following payment of principal of and interest on the Bonds, any excess amount on deposit in the Installment Payment Account of the Revenue Fund shall be transferred to the Reserve Account in the Reserve Fund to the extent necessary to increase the amount therein to the Reserve Account Requirement and any excess shall be returned to the District as an excess of Installment Payments.

Revenue Fund

Moneys in the Revenue Fund, including the Installment Payment Account therein, will be transferred to and deposited in the following respective accounts in the following order of priority:

(1) Interest Account. On or before each Interest Payment Date, the Trustee shall set aside from the Revenue Fund and deposit in the Interest Account that amount of money which is equal to the amount of interest becoming due and payable on all Outstanding Bonds on the next succeeding Interest Payment Date.

No deposit need be made in the Interest Account if the amount contained therein and available to pay interest on the Bonds is at least equal to the aggregate amount of interest becoming due and payable on all Outstanding Bonds on such Interest Payment Date.

(2) Principal Account. On or before each June 1, commencing June 1, 20__, the Trustee shall set aside from the Revenue Fund and deposit in the Principal Account an amount of money equal to the principal amount of all Outstanding Serial Bonds maturing on such June 1.

No deposit need be made in the Principal Account if the amount contained therein and available to pay principal of the Bonds is at least equal to the aggregate amount of the principal of all Outstanding Serial Bonds maturing by their terms on such June 1.

Reserve Fund

Earnings on amounts in the Reserve Account in excess of the Reserve Account Requirement shall be transferred to the Installment Payment Account of the Revenue Fund on June 1 and December 1 of each year.

The Authority may satisfy the Reserve Fund Requirement at any time by depositing a Reserve Facility with the Trustee for the credit of the Reserve Fund, upon the terms and conditions specified in the Trust Agreement. The Reserve Facility shall be repaid pursuant to the terms and provisions set forth in the Trust Agreement. Notwithstanding any other provision in the Trust Agreement, the consent of the Insurer shall be required in the event the Authority replaces the initial Reserve Facility deposited pursuant to the Trust Agreement with any replacement Reserve Facility.

Acquisition and Construction Fund

When the Project shall have been completed, the District shall (1) deliver to the Trustee a Certificate of Completion stating that all such costs of construction and incidental expenses have been determined and paid (or that all of such costs and expenses have been paid less specified claims which are subject to dispute and for which a retention in the Project Account of the Acquisition and Construction Fund is to be maintained in the full amount of such claims until such dispute is resolved); (2) transfer to the Trustee from the Project Account of the Acquisition and Construction Fund for deposit in the Reserve Account of the Reserve Fund such amount as is necessary to make the amount on deposit therein equal the Reserve Account Requirement; and (3) subject to the covenants contained in Section 6.03 of the Trust Agreement, transfer to the Trustee any moneys remaining in the Acquisition and Construction Fund (but less the amount of any such retention) for deposit in the Revenue Fund to be applied as a credit against the Installment Payments.

Investments

Subject to the Trust Agreement, all money held by the Trustee and the Treasurer in any of the accounts or funds established pursuant to the Trust Agreement shall be invested in Permitted Investments at the Written Request of the District or, if no instructions are received, in money market funds described in paragraph (D) of the definition of Permitted Investments. Such investments shall, as nearly as practicable, mature on or before the dates on which such money is anticipated to be needed for disbursement under the Trust Agreement; provided, however, that moneys in the Reserve Fund shall be invested in Permitted Investments with a term to maturity not exceeding 5 years. For purposes of this restriction, Permitted Investments containing a withdrawal option, repurchase option or put option by the investor shall be treated as having a maturity of no longer than such option. Subject to the Trust Agreement, all interest earnings from the Interest Account and Principal Account shall be deposited in the Installment Payment Account of the Revenue Fund. All other interest or profits received prior to the completion of the Project on any money invested in the funds held under the Trust Agreement (excluding the Rebate Fund and the Reserve Fund) shall be transferred to the District for deposit in the Acquisition and Construction Fund, and all interest or profits received subsequent thereto on any money so invested shall be deposited first in the Reserve Fund, to the extent necessary to make amounts on deposit in the Reserve Fund equal to the Reserve Account Requirement, and then in the Revenue Fund. The District shall provide written notice of completion of the Project to the Trustee. The Trustee and its affiliates may act as principal, agent, sponsor or advisor with respect to any investments. The Trustee shall not be liable for any losses on investments made in accordance with the terms and provisions of the Trust Agreement.

Investments purchased with funds on deposit in the Revenue Fund shall mature not later than the payment date or redemption date, as appropriate, immediately succeeding the investment.

Investments in any and all funds and accounts may be commingled for purposes of making, holding and disposing of investments, notwithstanding provisions in the Trust Agreement for transfer to or holding

in particular funds and accounts amounts received or held by the Trustee under the Trust Agreement, provided that the Trustee shall at all times account for such investments strictly in accordance with the funds and accounts to which they are credited and otherwise as provided in the Trust Agreement.

Limitations on the Issuance of Obligations Payable from Revenues

The Authority will not, so long as any of the Bonds are Outstanding, issue any obligations or securities, however denominated, payable in whole or in part from Revenues except the following:

(a) Obligations owing with respect to a Reserve Facility, including principal, interest and fees relating thereto; provided such obligations shall be payable on a subordinate basis to principal and interest on the Bonds; and

(b) Obligations which are junior and subordinate to the payment of the principal, premium, interest and Reserve Account Requirement for the Bonds and which subordinated obligations are payable as to principal, premium, interest and Reserve Account Requirement, if any, only out of Revenues after the prior payment of all amounts then required to be paid under the Trust Agreement from Revenues for principal, premium, interest and Reserve Account Requirements for the Bonds, as the same become due and payable and at the times and in the manner as required in the Trust Agreement.

Covenant Against Encumbrances

The Authority will not make any pledge or assignment of or place any charge or lien upon the Revenues except as provided in the Trust Agreement, and will not issue any bonds, notes or obligations payable from the Revenues or secured by a pledge of or charge or lien upon the Revenues except as provided in the Trust Agreement.

Tax Covenants

The Authority has covenanted to comply with all requirements of Sections 148 and 149(b) of the Code to the extent applicable to the Bonds, and to not use or permit the use of any proceeds of the Bonds or any funds of the Authority, directly or indirectly, in any manner, or to take or omit to take any action, that would cause any of the Bonds to be treated as an obligation not described in Section 103(a) of the Code. In the event that at any time the Authority is of the opinion that it is necessary to restrict or to limit the yield on the investment of any moneys held by the Trustee under the Trust Agreement, the Authority shall so instruct the Trustee in writing, and the Trustee shall take such action as may be necessary in accordance with such instructions.

The Authority and the Trustee (as directed in writing by the Authority) specifically covenant to comply with the provisions and procedures of the Tax Certificate; provided that the Trustee shall not be bound by this covenant if an Event of Default has occurred and is continuing.

Notwithstanding any provisions of this section, the covenants of the Authority in this section are made solely in reliance on the representations and covenants of the District set forth in the Installment Sale Agreement and the Tax Certificate and a default by the District with respect thereto shall not be considered a default of the Authority under the Trust Agreement.

Events of Default; Remedies of Bondholders

If one or more of the following Events of Default under the Trust Agreement shall occur, that is to say:

(a) if default shall be made by the Authority in the due and punctual payment of the interest on any Bond when and as the same shall become due and payable;

(b) if default shall be made by the Authority in the due and punctual payment of the principal of or redemption premium, if any, on any Bond when and as the same shall become due and payable, whether at maturity as therein expressed or by proceedings for redemption;

(c) if default shall be made by the Authority in the performance of any of the other agreements or covenants required in the Trust Agreement to be performed by the Authority, and such default shall have continued for a period of 30 days after the Authority shall have been given notice in writing of such default by the Trustee;

(d) if the Authority shall file a petition or answer seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if a court of competent jurisdiction shall approve a petition filed with or without the consent of the Authority seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody or control of the Authority or of the whole or any substantial part of its property; or

(e) if an Event of Default has occurred under the Installment Sale Agreement;

then and in each and every such case during the continuance of such Event of Default the Trustee may, and upon the written request of the Bondholders of not less than a majority in aggregate principal amount of the Bonds then Outstanding, shall, by notice in writing to the Authority, declare the principal of all Bonds then Outstanding and the interest accrued thereon to be due and payable immediately, and upon any such declaration the same shall become due and payable, anything contained in the Trust Agreement or in the Bonds to the contrary notwithstanding. The Trustee shall promptly notify all Bondholders by first class mail of any such event of default which is continuing of which a Responsible Officer has actual knowledge or written notice.

If at any time after the principal of the Bonds then Outstanding shall have been declared due and payable and before any judgment or decree for the payment of the money due shall have been obtained or entered the Authority shall deposit with the Trustee a sum sufficient to pay all matured interest on all the Bonds and all principal of the Bonds matured prior to such declaration, with interest at the rate borne by such Bonds on such overdue interest and principal, and the reasonable fees and expenses of the Trustee, and any and all other defaults known to the Trustee (other than in the payment of interest on and principal of the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Trustee and the Insurer or provision deemed by the Trustee to be adequate shall have been made therefor, then and in every such case the Trustee or the Bondholders of not less than a majority in aggregate principal amount of Bonds then Outstanding, by written notice to the Authority and to the Trustee, may on behalf of the Bondholders of all the Bonds then Outstanding rescind and annul such declaration and its consequences; but no such rescission and annulment shall extend to or shall affect any subsequent default or shall impair or exhaust any right or power consequent thereon.

The Trustee may also, and upon the written request of the Bondholders of a majority in principal amount of the Bonds then Outstanding, and in each case upon being indemnified to its reasonable satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of the Bondholders of Bonds under the Trust Agreement and the Installment Sale Agreement by a suit in equity or action at law, either for the specific performance of any covenant or agreement contained in the Trust Agreement or in aid of the execution of any power therein granted, or by mandamus or other appropriate proceeding for the enforcement of any other legal or equitable remedy as the Trustee shall deem most effectual in support of any of its rights and duties under the Trust Agreement.

No Bondholder of any Bond issued under the Trust Agreement shall have the right to institute any suit, action or proceeding at law or equity, for any remedy under or upon the Trust Agreement, unless (a) such Bondholder shall have previously given to the Trustee written notice of the occurrence of an Event of Default thereunder; (b) the Bondholders of at least a majority in aggregate principal amount of all the Bonds then Outstanding shall have made written request upon the Trustee to exercise the powers granted in the Trust Agreement or to institute such suit, action or proceeding in its own name, and the Insurer, if any, shall have consented to such request; (c) said Bondholders shall have tendered to the Trustee reasonable security or indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; and (d) the Trustee shall have refused or

omitted to comply with such request for a period of 60 days after such request shall have been received by, and said tender of indemnity shall have been made to, the Trustee.

Application of Funds Upon Acceleration

All moneys in the accounts and funds provided in the Trust Agreement, upon the date of the declaration of acceleration by the Trustee as provided in the Trust Agreement and all Revenues (other than Revenues on deposit in the Rebate Fund) thereafter received by the Authority under the Trust Agreement shall be transmitted to the Trustee and shall be applied by the Trustee in the following order--

First, to the payment of the reasonable fees, costs and expenses of the Trustee in providing for the declaration of such event of default and carrying out its duties under the Trust Agreement, including reasonable compensation to their accountants and counsel together with interest on any amounts advanced as provided in the Trust Agreement and thereafter to the payment of the reasonable costs and expenses of the Bondholders, if any, in carrying out the acceleration provisions of the Trust Agreement, including reasonable compensation to their accountants and counsel; and

Second, upon presentation of the several Bonds, and the stamping thereon of the amount of the payment if only partially paid or upon the surrender thereof if fully paid, to the payment of the whole amount then owing and unpaid upon the Bonds for interest and principal, with (to the extent permitted by law) interest on the overdue interest and principal at the rate borne by such Bonds, and in case such money shall be insufficient to pay in full the whole amount so owing and unpaid upon the Bonds, then to the payment of such interest, principal and (to the extent permitted by law) interest on overdue interest and principal without preference or priority among such interest, principal and interest on overdue interest and principal ratably to the aggregate of such interest, principal and interest on overdue interest and principal.

Amendment of Documents

Trust Agreement. The Trust Agreement and the rights and obligations of the Authority and of the Bondholders may be amended at any time by a Supplemental Trust Agreement which shall become binding when the written consents of the Bondholders of a majority in aggregate principal amount of the Bonds then Outstanding, exclusive of Bonds disqualified as provided in the Trust Agreement, are filed with the Trustee; provided that if such modification or amendment will, by its terms, not take effect so long as any Bonds of any particular maturity remain Outstanding, the consent of the Holders of such Bonds shall not be required and such Bonds shall not be deemed to be Outstanding for the purpose of any calculation of Bonds Outstanding under the Trust Agreement. No such amendment shall (1) extend the maturity of or reduce the interest rate on or amount of interest on or principal of or redemption premium, if any, on any Bond without the express written consent of the Bondholder of such Bond, or (2) permit the creation by the Authority of any pledge of or charge or lien upon the Revenues as provided in the Trust Agreement superior to or on a parity with the pledge, charge and lien created thereby for the benefit of the Bonds, or (3) reduce the percentage of Bonds required for the written consent to any such amendment, or (4) modify any rights or obligations of the Trustee, the Authority, or the District without their prior written assent thereto, respectively. It shall not be necessary for the consent of the Bondholders to approve the particular form of any Supplemental Trust Agreement, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Trustee of any Supplemental Trust Agreement pursuant to the Trust Agreement, the Trustee shall mail a notice on behalf of the Authority, setting forth in general terms the substance of such Supplemental Trust Agreement to the Bondholders at the addresses shown on the registration books maintained by the Trustee. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Trust Agreement.

The Trust Agreement and the rights and obligations of the Authority and of the Bondholders may also be amended at any time by a Supplemental Trust Agreement which shall become binding upon adoption without the consent of any Bondholders for any purpose that will not materially adversely affect the interests of the Bondholders, including (without limitation) for any one or more of the following purposes: (i) to add to the agreements and covenants required in the Trust Agreement to be performed by the Authority other agreements and covenants thereafter to be performed by the Authority, or to surrender any right or power reserved in the Trust Agreement to or conferred therein on the Authority; (ii) to make such provisions for the purpose of curing any

ambiguity or of correcting, curing or supplementing any defective provision contained in the Trust Agreement or in regard to questions arising under the Trust Agreement which the Authority may deem desirable or necessary; or (iii) to add to the agreements and covenants required in the Trust Agreement, such agreements and covenants as may be necessary to qualify the Trust Agreement under the Trust Indenture Act of 1939.

Installment Sale Agreement. The Authority shall not supplement, amend, modify or terminate any of the terms of the Installment Sale Agreement, or consent to any such supplement, amendment, modification or termination, without the prior written consent of the Trustee and the Insurer. The Trustee shall give such written consent if such supplement, amendment, modification or termination (a) will not materially adversely affect the interests of the Bondholders or result in any material impairment of the security given by the Trust Agreement for the payment of the Bonds, (b) is to add to the agreements, conditions, covenants and terms required to be observed or performed thereunder by any party thereto, or to surrender any right or power therein reserved to the Authority or the District, (c) is to cure, correct or supplement any ambiguous or defective provision contained therein, or (d) if the Trustee first obtains the written consent of the Bondholders of a majority in principal amount of the Bonds then Outstanding to such supplement, amendment, modification or termination; provided, that no such supplement, amendment, modification or termination shall reduce the amount of Installment Payments to be made to the Authority or the Trustee by the District pursuant to the Installment Sale Agreement, or extend the time for making such payments, or permit the creation of any lien prior to or on a parity with the lien created by the Trust Agreement on the Installment Payments (except as expressly provided in the Installment Sale Agreement), in each case without the written consent of all of the Bondholders of the Bonds then Outstanding.

Discharge of Trust Agreement

If the Authority shall pay or cause to be paid or there shall otherwise be paid to the Bondholders of all Outstanding Bonds the interest thereon and principal thereof and redemption premiums, if any, thereon at the times and in the manner stipulated in the Bonds and the Trust Agreement, and the Authority shall pay in full all other amounts due under the Trust Agreement, then the Bondholders of such Bonds shall cease to be entitled to the pledge of and charge and lien upon the Revenues as provided in the Trust Agreement, and all agreements, covenants and other obligations of the Authority to the Bondholders of such Bonds under the Trust Agreement shall thereupon cease, terminate and become void and be discharged and satisfied. In such event, the Trustee shall execute and deliver to the Authority all such instruments as may be necessary or desirable to evidence such discharge and satisfaction, the Trustee shall pay over or deliver to the Authority all money or securities held by it pursuant to the Trust Agreement which are not required for the payment of the interest on and principal of and redemption premiums, if any, on such Bonds and for the payment of all other amounts due under the Trust Agreement and under the Installment Sale Agreement.

Any Outstanding Bonds shall prior to the maturity date or redemption date thereof be deemed to have been paid within the meaning of and with the effect expressed in subparagraph (a) above if (1) in case any of such Bonds are to be redeemed on any date prior to their maturity date, the Authority shall have given to the Trustee in form satisfactory to it irrevocable instructions to provide notice in accordance with the Trust Agreement, (2) there shall have been deposited with the Trustee (A) money in an amount which shall be sufficient and/or (B) Government Securities, the interest on and principal of which when paid will provide money which, together with the money, if any, deposited with the Trustee at the same time, shall be sufficient, in the opinion of an Independent Certified Public Accountant, to pay when due the interest to become due on such Bonds on and prior to the maturity date or redemption date thereof, as the case may be, and the principal of and redemption premiums, if any, on such Bonds, and (3) in the event such Bonds are not by their terms subject to redemption within the next succeeding 60 days, the Authority shall have given the Trustee in form satisfactory to it irrevocable instructions to mail as soon as practicable, a notice to the Bondholders of such Bonds that the deposit required by clause (2) above has been made with the Trustee and that such Bonds are deemed to have been paid in accordance with the Trust Agreement and stating the maturity date or redemption date upon which money is to be available for the payment of the principal of and redemption premiums, if any, on such Bonds.

Notwithstanding anything in the Trust Agreement to the contrary, in the event that the principal and/or interest due on the Bonds shall be paid by an Insurer pursuant to its Insurance Policy, the Bonds shall remain Outstanding for all purposes, not be defeased or otherwise satisfied and not be considered paid by the Authority, and the assignment and pledge of the Revenues and all covenants, agreements and other obligations of the Authority to

the Owners shall continue to exist and shall run to the benefit of the Insurer, and the Insurer shall be subrogated to the rights of such Owners.

Unclaimed Moneys

Any money held by the Trustee in trust for the payment and discharge of any of the Bonds or interest thereon which remains unclaimed for 2 years after the date when such Bonds or interest thereon have become due and payable, either at their stated maturity dates or by call for redemption prior to maturity, if such money was held by the Trustee at such date, or for 2 years after the date of deposit of such money if deposited with the Trustee after the date when such Bonds have become due and payable, shall at the Written Request of the Authority be repaid by the Trustee to the Authority as its absolute property free from trust, and the Trustee shall thereupon be released and discharged with respect thereto and the Bondholders shall not look to the Trustee for the payment of such Bonds; provided, however, that before being required to make any such payment to the Authority, the Trustee may, and at the request of the Authority shall, at the expense of the Authority, cause to be published once a week for 2 successive weeks in a Financial Newspaper of general circulation in Los Angeles and in San Francisco, California, and in the same or a similar Financial Newspaper of general circulation in New York, New York, a notice that such money remains unclaimed and that, after a date named in such notice, which date shall not be less than 30 days after the date of the first publication of each such notice, the balance of such money then unclaimed will be returned to the Authority.

Bond Insurance Provisions

Notwithstanding any other provision of this Trust Agreement, so long as the Insurer has not failed to comply with its payment obligations under the Insurance Policy, the Authority and the Trustee covenant to comply with the terms relating to the Insurance Policy set forth below:

(a) The Insurer shall be deemed to be the sole holder of the Bonds for the purpose of exercising any voting right or privilege or giving any consent or direction or taking any other action that the holders of the Bonds are entitled to take pursuant to Articles VII and VIII of the Trust Agreement (relating to events of default and duties of the Trustee, respectively). In furtherance thereof and as a term of the Trust Agreement and each Bond, the Trustee and each Bondholder appoint the Insurer as their agent and attorney-in-fact and agree that the Insurer may at any time during the continuation of any proceeding by or against the Authority or the District under the United States Bankruptcy Code or any other applicable bankruptcy, insolvency, receivership, rehabilitation or similar law (an "Insolvency Proceeding") direct all matters relating to such Insolvency Proceeding, including without limitation, (A) all matters relating to any claim or enforcement proceeding in connection with an Insolvency Proceeding (a "Claim"), (B) the direction of any appeal of any order relating to any Claim, (C) the posting of any surety, supersedeas or performance bond pending any such appeal, and (D) the right to vote to accept or reject any plan of adjustment. In addition, the Trustee and each Bondholder delegate and assign to the Insurer, to the fullest extent permitted by law, the rights of the Trustee and each Bondholder in the conduct of any Insolvency Proceeding, including, without limitation, all rights of any party to an adversary proceeding or action with respect to any court order issued in connection with any such Insolvency Proceeding. Remedies granted to the Bondholders shall expressly include mandamus. The Insurer shall be deemed to be the sole holder of the Bonds for the purpose of giving a notice of default by the Bondholders pursuant to the Trust Agreement.

(b) The maturity of the Bonds shall not be accelerated without the consent of the Insurer and in the event the maturity of the Bonds is accelerated, the Insurer may elect, in its sole discretion, to pay accelerated principal and interest accrued on such principal to the date of acceleration (to the extent unpaid by the Authority) and the Trustee shall be required to accept such amounts. Upon payment of such accelerated principal and interest accrued to the acceleration date as provided above, the Insurer's obligations under the Insurance Policy with respect to the Bonds shall be fully discharged.

(c) Any amendment, supplement, modification to, or waiver of, the Trust Agreement or the Installment Sale Agreement (each a "Related Document"), that requires the consent of Bondowners or adversely affects the rights and interests of the Insurer shall be subject to the prior written consent of the Insurer.

(d) Unless the Insurer otherwise directs, upon the occurrence and continuance of an Event of Default or an event which with notice or lapse of time would constitute an Event of Default, amounts on deposit in the Project Account shall not be disbursed, but shall instead be applied to the payment of debt service or redemption price of the Bonds.

(e) The Insurer shall, to the extent it makes any payment of principal of or interest on the Bonds, become subrogated to the rights of the recipients of such payments in accordance with the terms of the Insurance Policy (which subrogation rights shall also include the rights of any such recipients in connection with any Insolvency Proceeding). Each obligation of the District to the Insurer under the Related Documents shall survive discharge or termination of such Related Documents.

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APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF THE
DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2013**

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**HUMBOLDT COMMUNITY
SERVICES DISTRICT**

EUREKA, CALIFORNIA

BASIC FINANCIAL STATEMENTS

JUNE 30, 2013

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INDEPENDENT AUDITORS' REPORT

Board of Directors
Humboldt Community Services District
Eureka, California

Report on the Financial Statements

We have audited the accompanying financial statements of the business-type activities, and the major fund of the Humboldt Community Services District, as of and for the year ended June 30, 2013, and the related notes to the financial statements, which collectively comprise the Humboldt Community Services District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, and the State Controller's Minimum Audit Requirements for California Special Districts. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to Humboldt Community Services District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Humboldt Community Services Districts internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities and the major fund of the Humboldt Community Services District, as of June 30, 2013, and the respective changes in financial position for the year then ended in accordance with accounting principles generally accepted in the United States of America, and the State Controller's Minimum Audit Requirements for California Special Districts.

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 3-7, as listed in the table of contents, be presented to supplement the basic financial statements.

Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Our audit was conducted for the purpose of forming an opinion on the financial statements taken as a whole. The accompanying combining schedules of water and sewer department revenues, expenses, and changes in net position, allocated general and administrative expenses, and salaries and wages are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects, in relation to the basic financial statements taken as a whole.

In accordance with *Government Auditing Standards*, we have also issued our report dated January 8, 2014 on our consideration of Humboldt Community Services District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

R. J. Ricciardi, Inc.

R. J Ricciardi, Inc.
Certified Public Accountants

San Rafael, California
January 8, 2014

Humboldt Community Services District
MANAGEMENT'S DISCUSSION AND ANALYSIS
June 30, 2013

This section of Humboldt Community Services District's (the District) annual financial report presents our analysis of the District's financial performance during the fiscal year ended June 30, 2013. Please read it in conjunction with the financial statements which follow this section.

FINANCIAL HIGHLIGHTS

- The District's assets exceeded its liabilities at the close of June 30, 2013 by \$19,882,142. Of this amount, \$3,942,791 (unrestricted net position) may be used to meet the District's ongoing obligations to citizens and creditors.
- The District's net position increased by \$873,607 in FY June 30, 2013. The unrestricted net position increased by \$1,642,921.
- The District's total assets increased by \$2,881,044 in FY June 30, 2013 due to and increase in capital projects.
- The District's long term debt increased by \$2,007,225 due to incurring new financing. The District's liability for post-employment benefits increased \$128,011.
- During the year the District's operating revenues increased \$705,617 or 11.88% while operating expenses decreased \$43,006 or .71%.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the District's basic financial statements. The District's basic financial statements consist of two components: Financial Statements and the Notes to the Financial Statements. This report also contains other supplementary information in addition to the basic financial statements.

The District operates as a utility enterprise, which means that it relies mainly on water and sewer rates and charges to fund its operation. The Financial Statements of the District report information about the District using the full accrual basis of accounting. These statements offer short and long-term financial information about the District's activities.

The Statement of Net Position includes all of the District's assets and liabilities and provides information about the nature and amounts of investments in resources (assets) and the obligations to District's creditors (liabilities). It also provides the basis for evaluating the capital structure of the District and assessing the liquidity and financial flexibility of the District.

All of the current year's revenues and expenses are accounted for in the Statement of Revenues, Expenses and Changes in Net Position. This statement measures the success of the District's operations over the past year and can be used to determine the District's credit worthiness and whether the District has successfully recovered all its costs through user fees and other charges.

Humboldt Community Services District
MANAGEMENT'S DISCUSSION AND ANALYSIS
June 30, 2013

The final financial statement is the Statement of Cash Flows. The primary purpose of this statement is to provide information about the District's cash receipts and cash payments during the year. The statement reports cash receipts, cash payments, and net changes in cash resulting from operations, financing and investments. It also provides answers to questions such as: where did cash come from, what was cash used for, and what was the change in cash balance during the year.

The Notes to the Financial Statements provide additional information that is essential to a full understanding of the data provided in the financial statements.

FINANCIAL ANALYSIS OF THE DISTRICT

One of the most important questions asked about an entity's finances is "As a whole, are we better off or worse off as a result of the year's activities?" The Statement of Net Assets and the Statement of Revenues, Expenses and Changes in Net Assets report information about the District's activities in a way that helps answer this question. These two statements report the net assets of the District and changes in them.

The following condensed financial information provides an overview of the District's financial activities for the fiscal years ended June 30, 2013 and June 30, 2012.

NET POSITION

Net position, (the difference between assets and liabilities) is one way to measure financial health or position. Over time, increases or decreases in the District's net position are one indicator of whether its financial health is improving or deteriorating. However, you will need to consider other factors such as desired reserve levels, changes in economic conditions, population growth, housing trends and government legislation.

The largest portion of the District's net position reflects its investment in capital assets (e.g. land, buildings, water supply and distribution system, sewer collection system and equipment), less any related debt used to acquire those assets that is still outstanding. The District uses these capital assets to provide services to its citizens; consequently, these assets are not available for future spending. Although the District's investment in capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

Restricted net position representing 7% of Net Position represents resources that are subject to external restrictions on how they may be used. The remaining balance: Unrestricted Net Assets may be used to meet the District's ongoing obligations to citizens and creditors.

At the end of fiscal years June 30, 2013 and June 30, 2012, the District was able to report positive balances in all three categories of net position.

Humboldt Community Services District
MANAGEMENT'S DISCUSSION AND ANALYSIS
June 30, 2013

The following table summarizes the District's net position as of June 30:

Table 1
Net Position

	2013	2012
Assets:		
Current and other assets	\$ 6,901,447	\$ 6,254,658
Capital assets, net of accumulated depreciation	<u>20,537,222</u>	<u>18,302,967</u>
Total assets	<u>27,438,669</u>	<u>24,557,625</u>
Liabilities:		
Other liabilities	740,897	740,686
Long-term debt outstanding	<u>6,815,630</u>	<u>4,808,405</u>
Total liabilities	<u>7,556,527</u>	<u>5,549,091</u>
Net Position:		
Invested in capital assets, net of related debt	14,576,992	14,271,289
Restricted	1,362,359	2,437,375
Unrestricted	<u>3,942,791</u>	<u>2,299,870</u>
Total net position	<u>\$ 19,882,142</u>	<u>\$ 19,008,534</u>

REVENUES, EXPENSES AND CHANGES IN NET POSITION

While the Statement of Net Position shows the change in financial position from one year to the next, the Statement of Revenues, Expenses and Changes in Net Position provides information concerning the nature and source of these changes.

Revenue – Total operating revenue increased by \$705,617 in 2013 as compared to 2012. Other Non-Operating Revenue decreased because of a reduction of interest rates on investments.

Expenses – Operating expenses increased by \$43,006. Non-operating expenses increased by \$10,933.

The following table summarizes the District's change in net position for the year ended June 30:

Table 2
Changes in Net Position

	2013	2012	Change
Operating revenues	\$ 6,647,232	\$ 5,941,615	\$ 705,617
Operating expenses	<u>5,997,891</u>	<u>6,040,897</u>	43,006
Net operating income (loss)	<u>\$ 649,341</u>	<u>\$ (99,282)</u>	<u>\$ 748,263</u>
Investment and other income	\$ 379,126	\$ 389,521	\$ (10,395)
Interest and other expenses	<u>207,800</u>	<u>196,867</u>	<u>(10,933)</u>
Non-operating net income	<u>\$ 171,326</u>	<u>\$ 192,654</u>	<u>\$ (21,328)</u>

Humboldt Community Services District
MANAGEMENT'S DISCUSSION AND ANALYSIS
June 30, 2013

CAPITAL ASSETS AND DEBT ADMINISTRATION

Table 3
Capital Assets at Year End

	2013	2012
Land	\$ 679,166	\$ 315,701
Buildings and improvements	867,000	822,379
Water Plant and System	21,551,071	21,308,988
Sewer Collection System	9,834,297	9,768,892
Vehicles and equipment	2,950,262	2,629,039
Construction in progress	<u>2,831,208</u>	<u>771,896</u>
Subtotal	38,713,004	35,616,895
Accumulated depreciation	<u>(18,175,782)</u>	<u>(17,313,929)</u>
Net capital assets	<u>\$ 20,537,222</u>	<u>\$ 18,302,966</u>

Capital Assets - At June 30, 2013, the District had \$18,302,966 (net of accumulated depreciation) invested in its water distribution and storage system, wells, sewage collection system, construction in progress, land, buildings, vehicles and equipment.

Additional information regarding the District's capital assets can be found in Note 2, Section B of the Financial Statements.

Long-Term Debt - At year end, the District had \$6,815,630 in long term obligations. More detailed information regarding the District's long term liabilities can be found in Note 2, Section C of the financial statements.

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET AND RATES

The District's Board of Directors and management considered many factors when adopting the fiscal year 2013/2014 budget. The Board assessed the available reserves, the operating and capital needs of the District, potential customer growth, and potential regulatory impacts.

The adopted fiscal year 2013/14 budget includes a 2.1% cost of living increase for employees and a 14% increase in health insurance. It also anticipates increases in water costs, fuel and power costs, maintenance expenses and materials and supplies and debt service costs.

The District does not include depreciation expense in its cash basis budget. The District's cash basis budget includes a capital improvement budget of \$1.3 million for FY 13/14 which will be funded by cash reserves. The budget also includes \$1 million to reimburse the City of Eureka for the District's share of the wastewater treatment plant CIP and the Martin Slough project phase 1 which will be funded with cash reserves.

Pledged Revenues - The District has pledged future water and wastewater revenues, net of specified operating expenses and exclusive of certain expenses such as depreciation, to repay an original amount of \$8,289,363 in bonds, loans, and agreements issued in prior years to obtain financing for system improvements and equipment. Total principal and interest remaining to be paid on these obligations is \$7,643,531. Annual principal and interest payments on these obligations are expected to require less than 75 percent of net revenues as defined. Principal and interest paid for the current year and total system net revenues were \$678,800 and \$1,734,692 respectively.

Humboldt Community Services District
MANAGEMENT'S DISCUSSION AND ANALYSIS
June 30, 2013

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, customers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report, or need additional financial information, contact the Finance Director or General Manager at Humboldt Community Services District, 5055 Walnut Drive, Eureka, California 95503.

Humboldt Community Services District
STATEMENT OF NET POSITION
For the Year Ended June 30, 2013

ASSETS

Current assets:

Cash and investments	\$ 4,416,443
Restricted cash and investments:	
Debt service	258,647
Capital projects	<u>60,075</u>
Total cash and investments	<u>4,735,165</u>

Accounts receivable	429,351
Assessments receivable	1,043,637
Prepaid items	389,646
Inventory	<u>303,648</u>
Total current assets	<u>6,901,447</u>

Capital assets:

Non-depreciable assets	3,510,375
Depreciable assets (net of depreciation)	<u>17,026,847</u>

Total assets	<u><u>\$ 27,438,669</u></u>
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LIABILITIES AND NET POSITION

Current liabilities:

Accounts payable	\$ 422,254
Compensated absences	104,858
Customer deposits	97,207
Accrued expenses	<u>116,578</u>
Total current liabilities	<u>740,897</u>

Long-term liabilities:

Due within one year	544,064
Due in more than one year	<u>6,271,566</u>
Total long-term liabilities	<u>6,815,630</u>
Total liabilities	<u>7,556,527</u>

Net position:

Invested in capital assets, net of related debt	14,576,992
Restricted	1,362,359
Unrestricted	<u>3,942,791</u>
Total net position	<u><u>\$ 19,882,142</u></u>

The accompanying notes are an integral part of these financial statements.

Humboldt Community Services District
STATEMENT OF REVENUES, EXPENSES AND
CHANGES IN FUND NET POSITION
For the Year Ended June 30, 2013

Operating revenues:	
Water sales	\$ 3,144,356
Sewer service fees	3,474,374
Other operating	<u>28,502</u>
Total operating revenues	<u>6,647,232</u>
Operating expenses:	
Salaries and benefits	1,250,627
General and administration	1,142,329
Insurance	22,951
Joint treatment costs	1,032,578
Purchases power	179,310
Water purchases	899,039
Repairs and maintenance	163,886
Supplies	199,482
Transportation	66,902
Other expenses	120,090
Depreciation	<u>920,697</u>
Total operating expenses	<u>5,997,891</u>
Operating income (loss)	<u>649,341</u>
Non-operating revenues (expenses):	
Interest revenue	22,679
Interest expense	(141,750)
Taxes and assessments	356,447
Street lighting	<u>(66,050)</u>
Total non-operating revenues (expenses)	<u>171,326</u>
Income (loss) before capital contributions	820,667
Capital contributions and connection fees	<u>52,940</u>
Changes in net position	873,607
Net position, beginning of period	<u>19,008,535</u>
Net position, end of period	<u><u>\$ 19,882,142</u></u>

The accompanying notes are an integral part of these financial statements.

Humboldt Community Services District
STATEMENT OF CASH FLOWS
For the Year Ended June 30, 2013

Cash flows from operating activities:	
Receipts from customers	\$ 6,615,724
Payments to suppliers	(3,916,149)
Payments to employees	(1,251,705)
Net cash provided (used) by operating activities	<u>1,447,870</u>
Cash flows from non-capital financing activities:	
Taxes and assessments	459,233
Other revenue	(66,050)
Net cash provided (used) by non-capital financing activities	<u>393,183</u>
Cash flows from capital and related financing activities:	
Acquisition and construction of capital assets	(3,154,952)
Interest expense	(141,750)
Capital connection fees received	52,940
Payment on current portion of bonds	2,007,226
Net cash provided (used) by capital and related financing activities	<u>(1,236,536)</u>
Cash flows from investing activities:	
Interest earned	<u>22,679</u>
Net cash provided by investing activities	<u>22,679</u>
Net increase (decrease) in cash and cash equivalents	627,196
Cash and cash equivalents - beginning of period	<u>4,107,969</u>
Cash and cash equivalents - end of period	<u><u>\$ 4,735,165</u></u>
Reconciliation of operating income (loss) to net cash provided (used in) operating activities:	
Operating income (loss)	\$ 649,341
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:	
Depreciation	920,697
Changes in certain assets and liabilities:	
Accounts receivable	(31,508)
Prepaid items	(43,991)
Inventory	(46,880)
Accounts payable	(4,696)
Accrued expenses	29,207
Compensated absences	(30,285)
Customer deposits	5,985
Net cash provided (used) by operating activities	<u><u>\$ 1,447,870</u></u>

The accompanying notes are an integral part of these financial statements.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Reporting Entity

The Humboldt Community Services District was formed in 1952, pursuant to the State of California Community Services District Law. The District's service area includes the unincorporated areas in the vicinity of the City of Eureka, California. The accompanying financial statements present the District and its component units, entities for which the District is considered to be financially accountable. The District has no component units. The District is governed by an elected five-member Board of Directors.

The District provides water for domestic use, irrigation, sanitation use, industrial use, fire protection and recreation. The District also provides for the collection, treatment and disposal of sewage and provides street lighting to customers within its boundaries. The District is authorized to but does not currently provide waste and storm water services. The District does not own or operate its own wastewater treatment plant, but instead contracts with the City of Eureka for such services.

B. Financial Statements

The basic financial statements (i.e., the statement of net position, the statement of revenues, expenses and changes in fund net position and statement of cash flows) report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. The District accounts for its water and sewer departments in one single enterprise fund.

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met. Property taxes, water service charges, water sales, wastewater fees, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period.

The District is engaged primarily in business-type activities and the District's basic financial statements consist of only the financial statements required for enterprise funds. These include management's discussion and analysis, a statement of net position, a statement of revenue, expenses, and changes in fund net position, a statement of cash flows, and these notes to the basic financial statements.

Private-sector standards of accounting and financial reporting issued prior to December 1, 1989, generally are followed in the enterprise fund-type financial statements to the extent that those standards do not conflict with or contradict guidance of the Governmental Accounting Standards Board. Governments also have the option of following subsequent private-sector guidance for their business-type activities and enterprise funds, subject to this same limitation. The District has elected not to follow subsequent private-sector guidance.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation (concluded)

Proprietary enterprise funds distinguish *operating* revenues and expenses with *nonoperating* items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operation revenues of the District are charges to the customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

D. Assets, Liabilities, and Net Position

Deposits and Investments

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition.

The District's investment policy has been to invest idle cash in demand deposits, time deposits and the Humboldt County Treasurer's Investment Pool. Investments are reported at fair value. The County Pool is operated in accordance with applicable state laws and regulations, and the reported value of the District's investment in the County Pool is the same as the fair value of the pool shares. State statutes authorize the District to invest in obligations of the U.S. Treasury, Federal Agency obligations, commercial paper, the LAIF and other instruments. The Loan and Installment Agreement underlying the issuance of Loans and Installment Purchase Agreement authorize permitted investments consistent with the State of California Government Code but broader in scope than the District's usual investment practices.

Receivables and Property Taxes

All trade receivables are not shown net of an allowance for uncollectibles.

Property taxes are levied as of March 1 on property values assessed as of the same date. State statutes provide that the property tax rate be limited generally to one percent of market value, be levied by only the County, and be shared by applicable jurisdictions. The County of Humboldt collects the taxes and distributes them to taxing jurisdictions on the basis of assessed valuations subject to voter-approved debt. Property taxes are due on November 1 and March 1, and become delinquent on December 10 and April 10. The District receives property taxes pursuant to an arrangement with the County known as the "Teeter Plan". Under the plan, the County assumes responsibility for the collection of delinquent taxes and pays the full allocation to the District. The District recognizes property tax revenues in the fiscal year in which they are due to the District and accrues as receivable such taxes.

Inventories and Prepaid Items

All inventories are valued at cost based upon physical determinations made at the end of each year.

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in the financial statements.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

D. Assets, Liabilities, and Net Position (continued)

Restricted Cash Equivalents and Investments

Cash equivalents and investments restricted for use in only capital projects or debt service are reported as noncurrent assets. The District follows the practice of reporting in this category the funds received from the issuance of the Installment Purchase Agreements for the purpose of financing the design, construction, replacement and improvement of District facilities. Special assessments receivable are restricted for the repayment of the Loan Payable to the State of California and are therefore also reported as restricted assets.

Capital Assets

Capital assets, which include property, plant, equipment, and infrastructure assets (mainly the existing water distribution and wastewater collection system), are reported in the financial statements. Capital assets are defined by the District as assets with an initial, individual cost of more than \$10,000 and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets and assets constructed by developers are recorded at estimated fair market value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets lives' are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed net of construction period interest revenues earned during such periods.

Property, plant, and equipment of the District are depreciated using the straight line method over the following estimated useful lives:

<u>Assets</u>	<u>Years</u>
Water treatment plant	30-40
Wastewater collection system	30-40
Buildings and improvements	30-40
Vehicles, trucks and equipment	5-15

Compensated Absences, Sick Leave, Other Post-Employment Benefits, Other Than Pensions and Claims

It is the District's policy to permit employees to accumulate earned but unused vacation and sick pay benefits. The liability for unpaid vacation and sick leave is recorded in the financial statements when the liability is incurred and vacation is reported as the current portion of such compensated absences. The District does provide for payment of unused sick leave at the rate of 50 percent at retirement after age 50 with five years of service. The total amount of compensated absences payable at June 30, 2013 was \$104,858. The District accounts for other post-employment benefits (OPEB), using actuarial information and by accruing as a liability the difference each year between the District's annual required contribution (ARC) and actual contributions made to the Plan for retiree medical benefits.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (concluded)

D. Assets, Liabilities, and Net Position (concluded)

The District obtains insurance coverage for property and equipment, fidelity bonds, automobile liability and general liability, and workers compensation insurance through its membership in the Association of California Water Agencies Joint Powers Insurance Authority. The risk of loss is transferred from the District to the Authority in exchange for the District's payment of annual premiums. Incurred and unbilled claims, if any, are accrued as a liability when it is probable that an asset has been impaired, the amount of the obligation can be reasonably estimated, and the claim is not covered by insurance.

Long-term Obligations

In enterprise fund-type financial statements, long-term debt and other long-term obligations are reported as liabilities in the statement of net assets. Discounts associated with the issuance of long-term debt obligations are reported as a reduction of the carrying value of the related debt obligation, and are amortized to interest expense over the life of the debt instrument. Costs associated with the issuance of the debt are capitalized as other non-current assets and are amortized to expense over the life of the debt obligation.

Net Position

In the financial statements, fund net assets are reported in three categories as follows:

- Invested in capital assets, net of related debt - This category of net position reports the net book value of capital assets used in District operations including construction in progress all net of related accumulated depreciation, and reduced by the carrying value of related long-term debt issued to finance the acquisition of such assets.
- Restricted for debt service and capital projects. - This category of net position reports all unspent proceeds from the issuance of long-term debt restricted for capital asset improvement, replacement, or construction net of the related long-term debt. It also includes funds restricted for debt service payment and reserve requirements.
- Unrestricted - Unrestricted net position represent all other assets net of related liabilities available for use by the District.

NOTE 2 - DETAILED NOTES

A. Cash Equivalents and Investments

Cash equivalents and investments consisted of the following at June 30:

	<u>2013</u>	<u>2012</u>
Cash:		
Demand accounts	\$ 605,710	\$ 277,301
County pool	<u>3,810,733</u>	<u>2,539,716</u>
Total cash	<u>\$ 4,416,443</u>	<u>\$ 2,817,017</u>

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 2 - DETAILED NOTES (continued)

A. Cash Equivalents and Investments (concluded)

	<u>2013</u>	<u>2012</u>
Restricted cash:		
County pool	\$ 318,722	\$ 1,290,952
Total restricted cash	<u>\$ 318,722</u>	<u>\$ 1,290,952</u>

Custodial Credit Risk - Deposits:

Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of a counter-party (e.g., broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party.

California Law requires banks and savings and loan institutions to pledge government securities with a market value of 110% of the District's cash on deposit or first trust deed mortgage notes with a value of 150% of the deposit as collateral for these deposits. Under California Law this collateral is held in the District's name and places the District ahead of general creditors of the institution. The District has waived collateral requirements for the portion of deposits covered by federal depository insurance.

All monies in the Humboldt County Treasurer's Pool are not evidenced by specific securities; and therefore are not subject to custodial credit risk. The average number of days to maturity for investments in the County Pool is 644 days.

Credit Risk - State law limits investments in various securities to certain levels of risk ratings issued by nationally recognized statistical rating organizations. It is the District's policy to comply with those requirements. The Humboldt County Treasurer's Pool was unrated.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 2 - DETAILED NOTES (continued)

B. Capital Assets

Capital asset activity for the year ended June 30, 2013 was as follows:

<u>Governmental Activities</u>	Balance 6/30/12	Increase	Decrease	Balance 6/30/13
Capital assets, not being depreciated:				
Land	\$ 315,701	\$ 363,465	\$ -	\$ 679,166
Construction in progress	<u>771,897</u>	<u>2,612,824</u>	<u>553,513</u>	<u>2,831,208</u>
Total capital assets, not being depreciated	<u>1,087,598</u>	<u>2,976,289</u>	<u>553,513</u>	<u>3,510,374</u>
Capital assets, being depreciated:				
General buildings and structures	822,379	44,621	-	867,000
Water plant and distribution system	21,308,988	242,083	-	21,551,071
Sewer collection system	9,768,891	65,406	-	9,834,297
Vehicles	1,383,235	169,816	60,506	1,674,604
Equipment	<u>1,245,804</u>	<u>211,913</u>	<u>-</u>	<u>1,275,658</u>
Total capital assets, being depreciated	<u>34,529,297</u>	<u>733,839</u>	<u>60,506</u>	<u>35,202,630</u>
Less accumulated depreciation for:				
General buildings and structures	(473,013)	(19,106)	-	(492,119)
Water plant and distribution system	(9,631,761)	(486,422)	-	(10,118,183)
Sewer collection system	(5,698,981)	(224,675)	-	(5,923,656)
Vehicles	(635,010)	(130,252)	(58,649)	(706,613)
Equipment	<u>(875,164)</u>	<u>(60,047)</u>	<u>-</u>	<u>(935,211)</u>
Total accumulated depreciation	<u>(17,313,929)</u>	<u>(920,502)</u>	<u>(100,913)</u>	<u>(18,175,782)</u>
Total capital assets being depreciated – net	<u>17,215,368</u>	<u>(186,663)</u>	<u>1,857</u>	<u>17,026,848</u>
Capital assets – net	<u>\$ 18,302,966</u>	<u>\$ 2,789,626</u>	<u>\$ 555,370</u>	<u>\$ 20,537,222</u>

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 2 - DETAILED NOTES (continued)

C. Long-Term Debt

Long-term debt activity for the year ended June 30, 2013 was as follows:

Business-Type Activity	Beginning Balance	Additions	Deletions	Ending Balance	Amount Due in One Year
Water revenue bonds	\$ 415,000	\$ -	\$ 415,000	\$ 415,000	\$ -
Installment agreement	1,022,575	-	1,022,575	1,022,575	-
Installment agreement	59,673	-	39,313	20,360	20,360
State water loan	1,694,687	-	124,065	1,570,622	127,974
State loan	69,880	-	4,231	65,649	4,336
2001 loan	769,863	-	769,863	-	-
2012 Loan & Installment agreement	-	4,303,599	-	4,303,599	391,394
Other post- employment benefits	<u>776,727</u>	<u>128,011</u>	<u>49,338</u>	<u>855,400</u>	<u>-</u>
Total	<u>\$ 4,808,405</u>	<u>\$ 4,431,610</u>	<u>\$ 428,820</u>	<u>\$ 6,815,630</u>	<u>\$ 544,064</u>

2012 Loans & Installment Sale Agreement

In August 15, 2012 four installment agreements were issued to refund the District's 1981 Water Revenue Bonds, 2006 Installment Agreement and 2001 loan. Proceeds were also used to fund the District's share of the Martin Slough Sewer Intercept Project. The installment agreements with Municipal Finance Corporation bear interest at 4.25, 3.10, 3.25, and 3.50 percent per annum. The agreement, original issues of \$2,372,000, \$704,000, \$996,000 and \$415,000 respectively, are payable each September 1 and March 1 through 2032. The agreement is secured by a first pledge of all District system revenue after operating and maintenance costs. The District is obligated to fix rates and collect charges and manage operation of the system for each year so as to yield system net revenues equal to at least 120 percent of annual debt service.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 2 - DETAILED NOTES (continued)

C. Long-Term Debt (continued)

Loan #1			
Year End June 30	Principal	Interest	Total
2014	\$ 79,063	\$ 98,537	\$ 177,600
2015	82,458	95,142	177,600
2016	86,000	91,600	177,600
2017	89,694	87,906	177,600
2018	96,547	84,054	180,601
2019	97,564	80,036	177,600
2020	101,755	75,845	177,600
2021	106,126	71,474	177,600
2022	110,684	66,916	177,600
2023	115,438	62,162	177,600
2024	120,396	57,204	177,600
2025	125,567	52,033	177,600
2026	130,961	46,639	177,600
2027	136,586	41,014	177,600
2028	142,452	35,148	177,600
2029	148,571	29,029	177,600
2030	154,952	22,648	177,600
2031	161,607	15,993	177,600
2032	168,549	9,051	177,600
2033	83,117	1,830	84,947
Total	<u>\$ 2,338,087</u>	<u>\$ 1,124,261</u>	<u>\$ 3,462,348</u>

Loan #2			
Year End June 30	Principal	Interest	Total
2014	\$ 170,746	\$ 17,954	\$ 188,700
2015	176,080	12,620	188,700
2016	181,581	7,119	188,700
2017	93,126	1,443	94,569
Total	<u>\$ 621,532</u>	<u>\$ 39,137</u>	<u>\$ 660,669</u>

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 2 - DETAILED NOTES (continued)

C. Long-Term Debt (continued)

Loan #3			
Year End June 30	Principal	Interest	Total
2014	\$ 105,713	\$ 29,887	\$ 135,600
2015	109,176	26,424	135,600
2016	112,753	22,847	135,600
2017	116,448	19,152	135,600
2018	120,263	15,337	135,600
2019	124,203	11,397	135,600
2020	128,273	7,327	135,600
2021	128,995	3,125	132,120
Total	<u>\$ 945,824</u>	<u>\$ 135,496</u>	<u>\$ 1,081,320</u>

Loan #4			
Year End June 30	Principal	Interest	Total
2014	\$ 35,876	\$ 13,624	\$ 49,500
2015	37,142	12,358	49,500
2016	38,454	11,046	49,500
2017	39,811	9,689	49,500
2018	41,217	8,283	49,500
2019	42,672	6,828	49,500
2020	44,179	5,321	49,500
2021	45,738	3,762	49,500
2022	47,353	2,147	49,500
2023	25,716	450	26,166
Total	<u>\$ 398,158</u>	<u>\$ 73,508</u>	<u>\$ 471,666</u>

State Water Loan - Safe Drinking Water

The District entered into a loan agreement with the State of California Department of Water Resources in an original amount of \$3,399,563 for the purpose of obtaining financing to construct and acquire domestic water facilities within a geographical area known as Freshwater and Mitchell Road. The loan bears interest at 3.2136 percent, is payable in semi-annual installments each April 1 and October 1 through October 1, 2023. The District's obligation to make the loan payments is secured by a security interest on the real and personal property within the area. The District is required to maintain a reserve fund equal to two semi-annual payments or \$177,430.

In connection with the acquisition and construction of this project, the District used the loan proceeds to finance the project and issued one special assessment bond in an original amount of \$2,622,624. The special assessment bond is secured by special assessments on the properties within the project area. The District owns the bond and reports this investment in its financial statements as special assessments receivable.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 2 - DETAILED NOTES (continued)

C. Long-Term Debt (continued)

Future debt service on the State Water Loan is:

<u>Years</u>	<u>Principal</u>	<u>Interest</u>	<u>Totals</u>
2014	\$ 127,974	\$ 49,456	\$ 177,430
2015	132,119	45,311	177,430
2016	136,399	41,031	177,430
2017	140,890	36,539	177,429
2018	145,377	32,052	177,429
2019	150,086	27,343	177,429
2020	154,905	22,525	177,430
2021	160,004	17,426	177,430
2022	165,149	12,280	177,429
2023	170,499	6,930	177,429
2024	87,220	1,407	88,627
Totals	<u>\$ 1,570,622</u>	<u>\$ 292,300</u>	<u>\$ 1,862,922</u>

State Loan - Davis Grunsky

The District assumed a loan agreement with the State Department of Water Resources for the purpose of acquiring a water system in the King Salmon area. The loan is secured by a pledge of water revenues. The loan was for \$166,000, bears interest at 2.50 percent and matures January 1, 2026. Future debt service on the original loan amount is:

<u>Years</u>	<u>Principal</u>	<u>Interest</u>	<u>Totals</u>
2014	\$ 4,336	\$ 1,641	\$ 5,977
2015	4,443	1,534	5,977
2016	4,554	1,423	5,977
2017	4,669	1,308	5,977
2018	4,787	1,190	5,977
2019	4,906	1,071	5,977
2020	5,028	949	5,977
2021	5,155	822	5,977
2022	5,283	694	5,977
2023	5,415	562	5,977
2024	5,551	426	5,977
2025	5,689	288	5,977
2026	5,833	144	5,977
Totals	<u>\$ 65,649</u>	<u>\$ 12,052</u>	<u>\$ 77,701</u>

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 2 - DETAILED NOTES (concluded)

C. Long-Term Debt (concluded)

Installment Agreement - VacCon Truck

The installment agreement with Municipal Finance Corporation bears interest at 4.75 percent per annum. The agreement, an original issue of \$245,800, is payable each November 15 and May 15 through 2013. The agreement is secured by a first pledge of all District system revenue after operating and maintenance costs. The District is obligated to fix rates and collect charges and manage operation of the system for each year so as to yield system net revenues equal to at least 120 percent of annual debt service. The agreement is subject to early redemption with premium of from 1 to 2 percent as specified in the agreement. Future debt service on the agreement is as follows:

<u>Years</u>	<u>Principal</u>	<u>Interest</u>	<u>Totals</u>
2014	\$ 20,360	\$ 483	\$ 20,843
Totals	\$ 20,360	\$ 483	\$ 20,843

NOTE 3 - OTHER INFORMATION

A. Risk Management

The District obtains general liability, property, automobile, and workers compensation insurance through its membership in the Association of California Water Agencies Joint Powers Insurance Authority (the Authority). The Authority is responsible for the first \$1 million per claim under its liability coverage program, and members are covered up to \$50 million for liability claims under the Authority's purchased excess insurance policies with a \$60 million aggregate limit on \$20 million excess layer, and \$30 million aggregate on each of the next \$10 million excess layers. Members are covered for \$100 million in regard to property and equipment through the Authority's purchased excess coverage. Workers compensation coverage is provided to the District equal to statutory limits. The Authority also provides automobile liability coverage and errors and omissions coverage up to \$50 million, and employee fidelity coverage up to \$100,000. There were no significant changes in coverage in fiscal year 2013 as regards the aggregate limits on excess coverage.

The District paid no material uninsured losses during the last three fiscal years.

Liabilities of the District are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported (IBNRs). The result of the process to estimate the claims liability is not an exact amount as it depends on many complex factors, such as inflation, changes in legal doctrines, and damage awards. Accordingly, claims are reevaluated periodically to consider the effects of inflation, recent claim settlement trends (including frequency and amount of pay-outs), and other economic and social factors. There were no material uninsured claim liabilities at June 30, 2013.

B. Contingencies and Commitments

Litigation: In the opinion of the District's general counsel, there is no pending or threatened litigation which would have a material adverse impact on the accompanying financial statements.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 3 - OTHER INFORMATION (continued)

C. Retirement System

Plan Description: The District contributes to the California Public Employees Retirement System, a cost sharing multiple-employer, public employee, defined benefit pension plan. PERS provides retirement and disability benefits, annual cost of living adjustments, and death benefits to plan members and beneficiaries. PERS acts as a common investment and administrative agent for participating entities within California. Benefit provisions and all other requirements are established by State statute and District Ordinances. Copies of PERS annual financial reports may be obtained from their executive office, 400 "P" Street, Sacramento, California 95814.

Funding Policy and Annual Pension Cost: Plan members are required to contribute 7.0% of their annual covered salary and the District is required to contribute at an actuarially determined rate. The current rate is 15.713 percent of covered payroll. The contribution requirements of plan members and the District are established by resolutions and contracts of the District and may be amended by PERS.

Annual Pension Cost:

For the year ended June 30, 2013, the District's annual pension cost of \$159,385 for PERS was equal to the District's required and actual contributions. A summary of principle assumptions and methods used to determine the Annual Required Contribution (ARC) is shown below.

Valuation Date	June 30, 2011
Actuarial Cost Method	Entry Age Actuarial Cost Method
Amortization Method	Level Percent of Payroll
Average Remaining Period	20 Years as of the Valuation Date
Asset Valuation Method	15 Year Smoothed Market
Actuarial Assumptions	
Investment Rate of Return	7.50% (net of administrative expenses)
Projected Salary Increase	3.30% to 14.20% depending on age, service, and type of employment
Inflation	2.75%
Payroll Growth	3.00%
Individual Salary Growth	A merit scale varying by duration of employment coupled with an assumed annual inflation component of 2.75% and an annual production growth of 0.25%

Initial unfunded liabilities are amortized over a closed period that depends on the plan's date of entry into PERS. Subsequent plan amendments are amortized as a level percentage of pay over a closed 20 year period. Gains and losses that occur in the operation of the plan are amortized over a rolling 30 year period. If the plan's accrued liability exceeds the actuarial value of plan assets, then the amortization payment on the total unfunded liability may not be lower than the payment calculated over a 30 year amortization period.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 3 - OTHER INFORMATION (continued)

C. Retirement System (concluded)

Three-Year Trend Information for District PERS:

Fiscal Year Ended	Annual Pension Cost (APC)	Percentage of APC Contributed	Net Pension Obligation
6/30/13	\$ 155,488	100.0%	-0-
6/30/12	\$ 159,385	100.0%	-0-
6/30/11	\$ 152,904	100.0%	-0-

The Schedule of Funding Progress below shows the recent history of the actuarial value of assets, actuarial accrued liability, their relationship, and the relationship of the unfunded actuarial accrued liability to payroll.

Valuation Date	Accrued Liabilities (AL)	Actuarial Value of Assets (AVA)	Unfunded Liabilities (UL)	Funded Ratio (AVA/AL)	Annual Covered Payroll	UL as a % of Payroll
6/30/12	\$4,175,139,166	\$3,686,598,343	\$488,540,823	88.3%	\$757,045,663	64.5%
6/30/11	\$3,619,835,876	\$3,203,214,899	\$416,620,977	88.5%	\$759,263,518	54.9%
6/30/10	\$3,309,064,934	\$2,946,408,106	\$362,656,828	89.0%	\$748,401,352	48.5%

D. Wastewater Contract with the City of Eureka

The District is a party to a contract with the City of Eureka (the City) pertaining to the construction and operation of the City's treatment plant. The District does not have an ownership interest in the City's treatment plant, but does have treatment capacity rights. Under the arrangement, the District is obligated to pay to the City 32.1 percent of all debt service and capital improvement costs. Operations and maintenance costs are shared based upon each party's volume of flow of wastewater modified under a stipulated formula. Payments made by the District during the construction of the City's facility have been capitalized as prepaid treatment costs and are amortized to expense over the life of the contractual arrangement.

The District and the City are involved in a major wastewater project referred to as the Martin Slough Interceptor Project. The project is expected to include design and engineering costs, phase 1 interceptor piping, lateral stub piping and specialized piping costs, and phase 2 interceptor, pump station and force main costs. The project costs are expected to exceed \$22 million. The exact extent and nature of the project, total project costs and the amount of costs to be paid by the City and those to be paid by the District, and the methods to be used to finance those costs have not yet been determined or finalized by the City and the District.

During fiscal year 2012, the City and the District entered into a new agreement for the purpose of continuing the operation, maintenance and construction of existing and new publicly-owned treatment works whereby the District contracts with the City for the transportation, treatment and disposal of all wastewater originating in the District. The City owns all treatment plant facilities, but the District is expected to pay, among other costs, a proportionate share of capital expansion costs.

Under the new arrangement, the District is required to maintain custody of its own \$642,000 capital reserve for use in funding emergency projects or repairs to the Greater Eureka Area Wastewater Project.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 3 - OTHER INFORMATION (continued)

E. Segment Information

The District has issued separate revenue bonds to finance its water department. The District's water and sewer departments are accounted for in a single fund, but investors in those bonds rely solely on the revenue generated by the individual activity for repayment. Summary information for each department is presented below. The water department operates the District's water supply system. The sewer department operates the District's sewerage pumping, collection, and treatment system.

CONDENSED STATEMENT OF REVENUES, EXPENSES
AND CHANGES IN NET ASSETS:

	Water Department	Sewer Department
Operating revenues (pledged)	\$ 3,153,449	\$ 3,493,783
Depreciation expense	(636,105)	(284,592)
Other operating expenses	(2,591,079)	(2,486,115)
Operating income (loss)	(73,735)	723,076
Non-operating revenues (expenses)		
Investment income	8,001	14,678
Interest expense	(63,015)	(78,735)
Other revenue (expense)	156,820	133,577
Capital contributions	14,420	38,520
Change in net assets	\$ (42,491)	\$ 831,116

F. Other Post-Employment Benefits (OPEB)

Plan Description: The District administers its retired employees' healthcare plan, a single employer defined benefit health care plan. The plan provides medical benefits to eligible retired employees and their beneficiaries. District resolutions and agreements assign the authority to establish and amend benefit provisions to the District. A separate OPEB trust fund has not been established by the District.

Funding Policy: The plan members' and the District's contribution requirements are established and may be amended by the District. The required contribution is based on projected pay-as-you-go financing requirements, with additional amounts to prefund benefits as determined annually by the Board of Directors. For the fiscal year ended June 30, 2010, the District contributed \$155,099 (92% of total premiums) and zero to prefund benefits. Plan members receiving benefits contributed \$12,779 of the total premiums.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 3 - OTHER INFORMATION (continued)

F. Other Post-Employment Benefits (continued)

Annual OPEB Costs and the Net OPEB Obligation: The District's annual other post-employment benefit (OPEB) cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of Governmental Accounting Standards Board Statement Number 45. The ARC represents a level of funding, which if paid on an ongoing basis, is projected to cover normal cost each year and to amortize any unfunded liabilities over a period not to exceed 30 years. The following table shows the components of the District's annual OPEB cost for the year, the amounts actually contributed to the Plan, and changes in the District's net OPEB obligation to the Plan.

	2013	2012
Annual required contribution	\$ 378,688	\$ 378,688
Interest on OPEB obligation	29,096	23,239
Adjustment to annual required contribution	<u>(30,885)</u>	<u>(24,669)</u>
Annual OPEB Cost (expense)	376,899	377,258
Contributions made	<u>(248,888)</u>	<u>(230,854)</u>
Increase (decrease) in net OPEB obligation	<u>128,011</u>	<u>146,404</u>
Net OPEB obligation - beginning of year	<u>727,389</u>	<u>580,985</u>
Net OPEB obligation - end of year	<u>\$ 855,400</u>	<u>\$ 727,389</u>

The District's annual OPEB cost, the percentage of the annual OPEB cost contributed to the Plan, and the net OPEB obligation for 2013 was as follows:

Fiscal Year Ended	Annual OPEB Cost	Percentage Contributed	Net OPEB Obligation
June 30, 2011	\$377,703	52.1%	\$580,985
June 30, 2012	\$377,258	61.2%	\$727,389
June 30, 2013	\$376,889	66%	\$855,400

Funding Status and Funding Progress: As of October 9, 2011, the most recent actuarial valuation date, the plan was zero funded. The actuarial accrued liability for benefits was \$5,585,981, and the actuarial value of plan assets was zero resulting in an unfunded actuarial accrued liability (UAAL) of \$5,585,981. The covered payroll (annual payroll of active employees covered by the plan) was \$1,106,937 and the ratio of the UAAL to the covered payroll was 504.63 percent.

Actuarial valuations of an ongoing plan involve estimates of reported amounts and assumptions about the probability of occurrence of events into the future. Examples include assumptions about future employment, mortality and health care trends. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future.

Humboldt Community Services District
NOTES TO BASIC FINANCIAL STATEMENTS
For the Year Ended June 30, 2013

NOTE 3 - OTHER INFORMATION (concluded)

F. Other Post-Employment Benefits (concluded)

The schedule of funding progress, presented as required supplemental information, following the notes to these financial statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to actuarial liabilities for benefits.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the Plan as understood by the employer and the plan members), includes the types of benefits provided at the time of each valuation and the historical pattern of sharing benefit costs between the employer and plan members to that point. The actuarial methods and assumption used include techniques that are designed to reduce the effects of short term volatility in actuarial liabilities and the actuarial value of plan assets, consistent with the long-term perspective of the calculations. In the October 9, 2011 valuation, the entry age normal actuarial cost method was used. The actuarial assumptions include a 4 percent investment rate of return based upon assumed long-term returns on employer assets. An annual health care trend rate of 2 to 7 percent was also used in the valuation. There were no plan assets at the valuation date. The UAAL is being amortized as a level percentage of payroll over 29 years, the remaining amortization period at June 30, 2013.

NOTE 4 - SUBSEQUENT EVENTS

In preparing these financial statements, the District has evaluated events and transactions for potential recognition or disclosure through the date the financial statements were issued.

Humboldt Community Services District
COMBINING SCHEDULE OF REVENUES, EXPENSES AND
CHANGES IN FUND NET POSITION
For the Year Ended June 30, 2013

	Water System	Sewer System	Totals
Operating revenues:			
Water sales	\$ 3,144,356	\$ -	\$ 3,144,356
Sewer service fees	-	3,474,374	3,474,374
Other operating	9,093	19,409	28,502
	<u>3,153,449</u>	<u>3,493,783</u>	<u>6,647,232</u>
Total operating revenues			
Operating expenses:			
Salaries and benefits	742,736	507,891	1,250,627
General and administration	512,232	630,097	1,142,329
Insurance	14,654	8,297	22,951
Joint treatment costs	-	1,032,578	1,032,578
Purchases power	132,926	46,384	179,310
Water purchases	899,039	-	899,039
Repairs and maintenance	100,188	63,698	163,886
Supplies	88,859	110,623	199,482
Transportation	31,444	35,458	66,902
Other expenses	69,001	51,089	120,090
Depreciation	636,105	284,592	920,697
	<u>3,227,184</u>	<u>2,770,707</u>	<u>5,997,891</u>
Total operating expenses			
Operating income (loss)	<u>(73,735)</u>	<u>723,076</u>	<u>649,341</u>
Non-operating revenues (expenses):			
Interest revenue	8,001	14,678	22,679
Interest expense	(63,015)	(78,735)	(141,750)
Taxes and assessments	222,870	133,577	356,447
Street lighting	(66,050)	-	(66,050)
	<u>101,806</u>	<u>69,520</u>	<u>171,326</u>
Total non-operating revenues (expenses)			
Income (loss) before capital contributions	28,071	792,596	820,667
Capital Contributions and connection fees	14,420	38,520	52,940
Changes in net position	<u>\$ 42,491</u>	<u>\$ 831,116</u>	<u>\$ 873,607</u>

The accompanying notes are an integral part of these financial statements.

Humboldt Community Services District
WATER DEPARTMENT
COMBINING SCHEDULE OF REVENUES, EXPENSES AND
CHANGES IN FUND NET ASSETS
For the Year Ended June 30, 2013

	Original Water System	Humboldt Hill Water System	Mitchell Road Water System	Totals
Operating revenues:				
Water sales	\$ 2,165,940	\$ 700,358	\$ 278,058	\$ 3,144,356
Other	<u>5,257</u>	<u>2,851</u>	<u>985</u>	<u>9,093</u>
Total operating revenues	<u>2,171,197</u>	<u>703,209</u>	<u>279,043</u>	<u>3,153,449</u>
Operating expenses:				
Salaries and benefits	478,179	197,311	67,246	742,736
General and administration	333,717	130,911	47,604	512,232
Insurance	9,278	3,975	1,401	14,654
Purchases power	53,070	72,888	6,968	132,926
Water purchases	809,135	-	89,904	899,039
Repairs and maintenance	61,922	26,511	11,755	100,188
Supplies	54,808	24,898	9,153	88,859
Transportation	21,409	7,359	2,676	31,444
Other expenses	38,937	25,680	4,384	69,001
Depreciation	<u>355,630</u>	<u>154,775</u>	<u>125,700</u>	<u>636,105</u>
Total operating expenses	<u>2,216,085</u>	<u>644,308</u>	<u>366,791</u>	<u>3,227,184</u>
Operating income (loss)	<u>(44,888)</u>	<u>58,901</u>	<u>(87,748)</u>	<u>(73,735)</u>
Non-operating revenues (expenses):				
Interest revenue	5,422	1,864	715	8,001
Interest expense	(10,073)	(894)	(52,048)	(63,015)
Taxes and assessments	125,565	43,576	53,729	222,870
Street lighting	<u>(44,914)</u>	<u>(15,852)</u>	<u>(5,284)</u>	<u>(66,050)</u>
Total non-operating revenues (expenses)	<u>76,000</u>	<u>28,694</u>	<u>(2,888)</u>	<u>101,806</u>
Income (loss) before capital contributions	31,112	87,595	(90,636)	28,071
Capital Contributions and connection fees	<u>9,270</u>	<u>5,150</u>	<u>-</u>	<u>14,420</u>
Changes in net position	<u>\$ 40,382</u>	<u>\$ 92,745</u>	<u>\$ (90,636)</u>	<u>\$ 42,491</u>

The accompanying notes are an integral part of these financial statements.

Humboldt Community Services District
SEWER DEPARTMENT
COMBINING SCHEDULE OF REVENUES, EXPENSES AND
CHANGES IN FUND NET POSITION
For the Year Ended June 30, 2013

	General Sewer System	Humboldt Hill Sewer System	Totals
Operating revenues:			
Sewer service fees	\$ 2,718,308	\$ 756,066	\$ 3,474,374
Other	14,695	4,714	19,409
Total operating revenues	<u>2,733,003</u>	<u>760,780</u>	<u>3,493,783</u>
Operating expenses:			
Salaries and benefits	369,571	138,320	507,891
General and administration	487,433	142,664	630,097
Insurance	5,785	2,512	8,297
Joint treatment costs	803,598	228,980	1,032,578
Purchases power	36,272	10,112	46,384
Repairs and maintenance	47,862	15,836	63,698
Supplies	77,657	32,966	110,623
Transportation	27,430	8,028	35,458
Other expenses	39,580	11,509	51,089
Depreciation	181,927	102,665	284,592
Total operating expenses	<u>2,077,115</u>	<u>693,592</u>	<u>2,770,707</u>
Operating income (loss)	<u>655,888</u>	<u>67,188</u>	<u>723,076</u>
Non-operating revenues (expenses):			
Interest revenue	9,394	5,284	14,678
Interest expense	(78,735)	-	(78,735)
Taxes and assessments	103,333	30,244	133,577
Total non-operating revenues (expenses)	<u>33,992</u>	<u>35,528</u>	<u>69,520</u>
Income (loss) before capital contributions	689,880	102,716	792,596
Capital Contributions and connection fees	33,520	5,000	38,520
Changes in net position	<u>\$ 723,400</u>	<u>\$ 107,716</u>	<u>\$ 831,116</u>

The accompanying notes are an integral part of these financial statements.

Humboldt Community Services District
SCHEDULE OF ALLOCATED GENERAL AND ADMINISTRATIVE EXPENSES
For the Year Ended June 30, 2013

Allocated General and Administrative Expenses:

Salaries and benefits	\$ 758,653
Insurance	38,318
Purchases power	49,970
Repairs and maintenance	65,592
Supplies	6,871
Other expenses	136,077
Depreciation	<u>46,438</u>
Total	<u><u>\$ 1,101,919</u></u>

General and Administrative expenses were allocated
to the following departments:

General water	\$ 333,717
Humboldt Hill sewer	130,911
Freshwater/Mitchell Road	47,604
General sewer	487,433
Humboldt Hill sewer	<u>142,664</u>
Total	<u><u>\$ 1,142,329</u></u>

Salaries and benefits breakdown:

Salaries and wages	258,168
Vacation, sick, and holiday pay	69,236
Group insurance	418,864
Other benefits	<u>92,395</u>
Total	<u><u>\$ 838,663</u></u>

The accompanying notes are an integral part of these financial statements.

REPORT ON INTERNAL CONTROL OVER FINANCIAL
REPORTING AND ON COMPLIANCE AND OTHER
MATTERS BASED ON AN AUDIT OF FINANCIAL
STATEMENTS PERFORMED IN ACCORDANCE WITH
GOVERNMENT AUDITING STANDARDS

Board of Directors
Humboldt Community Services District
Eureka, California

We have audited the basic financial statements of the Humboldt Community Services District as of and for the year ended June 30, 2013, and have issued our report thereon dated January 8, 2014. We conducted our audit in accordance with U.S. generally accepted auditing standards and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

Internal Control Over Financial Reporting

In planning and performing our audit, we considered Humboldt Community Services District's internal control over financial reporting as a basis for designing our auditing procedures for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Humboldt Community Services District's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of Humboldt Community Services District's internal control over financial reporting.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control, such there is a reasonable possibility that a material misstatement of Humboldt Community Services District's financial statements will not be prevented, or detected and corrected on a timely basis.

Our consideration of the internal control over financial reporting was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over financial reporting that might be deficiencies, significant deficiencies or material weaknesses. We did not identify any deficiencies in internal control over financial reporting that we consider to be material weaknesses, as defined above.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Humboldt Community Services District's basic financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain matters that we reported to management of Humboldt Community Services District in a separate letter dated January 8, 2014.

This report is intended solely for the information and use of the audit committee, management, Board of Directors, and federal awarding agencies and pass-through entities and is not intended to be and should not be used by anyone other than these specified parties.

R.J. Ricciardi, Inc.

R.J. Ricciardi, Inc.
Certified Public Accountants

San Rafael, California
January 8, 2014

APPENDIX C

CITY AND COUNTY GENERAL DEMOGRAPHIC INFORMATION

The following information concerning the City of Eureka (the "City") and Humboldt County (the "County") are included only for the purpose of supplying general information regarding the general area surrounding the District.

Population

Population figures for the City, the County and the State for the last ten years are shown in the following table:

CITY OF EUREKA, COUNTY OF HUMBOLDT, STATE OF CALIFORNIA

Population Estimates
Calendar Years 2005 through 2014
Population Estimates
(Updated as of January 1, 2014)

Calendar Year	City of Eureka	County of Humboldt	State of California
2005	26,793	131,467	35,869,173
2006	26,762	131,958	36,116,202
2007	26,763	132,443	36,399,676
2008	26,848	132,931	36,704,375
2009	26,927	133,484	36,966,713
2010	27,191	134,623	37,253,956
2011	27,034	134,585	37,427,946
2012	26,988	134,729	37,668,804
2013	26,921	134,687	37,984,138
2014	26,914	134,648	38,340,074

Source: California Department of Finance

Employment and Industry

Set forth on the following page is data from calendar years 2008 to 2013 reflecting the County's industry employment and labor force, including the civilian labor force, employment and unemployment statistics. These figures are county-wide statistics and may not necessarily accurately reflect employment trends in the City.

HUMBOLDT COUNTY
Industry Employment and Labor Force
(Annual Averages)

(These numbers may not add up due to independent rounding)

TITLE	2008	2009	2010	2011	2012	2013
Civilian Labor Force	60,100	60,900	61,400	60,600	59,900	58,400
Employment	55,700	54,200	54,400	53,700	53,700	53,300
Unemployment	4,300	6,600	7,000	6,900	6,200	5,100
Unemployment Rate	7.2%	10.9%	11.4%	11.4%	10.4%	8.8%
Total Farm	1,200	1,000	800	900	900	800
Total Nonfarm	48,500	46,500	46,400	45,500	45,700	46,100
Total Private	34,500	32,700	32,800	32,100	32,100	32,600
Goods Producing	5,600	4,400	4,200	4,200	4,100	4,000
Mining and Logging	500	300	400	400	400	400
Construction	2,300	1,900	1,700	1,800	1,700	1,600
Manufacturing	2,800	2,200	2,100	2,100	2,000	2,100
Durable Goods	1,600	1,300	1,300	1,200	1,100	1,100
Nondurable Goods	1,200	900	900	900	900	900
Service Providing	43,000	42,100	42,200	41,300	41,600	42,100
Private Service Providing	29,000	28,300	28,600	27,900	28,100	28,600
Trade, Transportation & Utilities	9,700	9,000	9,100	8,900	9,200	9,200
Wholesale Trade	1,000	1,000	1,000	1,000	1,000	1,000
Retail Trade	7,300	6,900	6,900	6,700	6,800	6,900
Transportation, Warehousing & Utilities	1,300	1,200	1,200	1,200	1,300	1,300
Information	700	600	600	600	500	500
Financial Activities	1,800	1,700	1,700	1,600	1,600	1,600
Professional & Business Services	3,200	2,800	2,900	2,700	2,700	2,600
Educational & Health Services	6,600	7,100	7,200	7,200	7,200	7,500
Leisure & Hospitality	5,200	5,100	5,200	5,000	5,100	5,100
Other Services	1,900	1,900	1,900	1,900	1,800	1,900
Government	14,000	13,800	13,600	13,500	13,500	13,500
Federal Government	800	800	900	700	700	700
State & Local Government	13,200	13,000	12,700	12,700	12,800	12,800
State Government	3,200	3,200	3,100	3,200	3,300	3,400
State Government Education	1,800	1,900	1,900	2,000	2,000	2,100
State Government Excluding Education	1,300	1,300	1,200	1,200	1,200	1,200
Local Government	10,000	9,800	9,700	9,600	9,500	9,400
Total, All Industries	49,700	47,500	47,200	46,400	46,500	46,900

Source: State of California Employment Development – Labor Market Information Division

The following table lists the major employers within the County, as of January 1, 2014.

HUMBOLDT COUNTY
Major Employers
(Updated as of January 1, 2014)

Employer Name	Location	Industry
Bettendorf Trucking	Arcata	Trucking
Blue Lake Casino	Blue Lake	Casinos
Eureka City Clerk	Eureka	City Government-Executive Offices
Green Diamond Resource Co	Korbel	Foresters-Consulting
Green Diamond Resource Co	Trinidad	Foresters-Consulting
Humboldt Cnty Office-Education	Eureka	Schools
Humboldt County Dept-Health	Eureka	Clinics
Humboldt County Sheriff Dept	Eureka	Sheriff
Humboldt County Social Svc	Eureka	County Government-Social/Human Resources
Humboldt State University Ctr	Arcata	Schools-Universities & Colleges Academic
Mad River Community Hospital	Arcata	Hospitals
Pacific Gas & Electric Co	Eureka	Electric Companies
Pacific Gas & Electric Co	Willow Creek	Electric Companies
Pacific Gas & Electric Co	Fortuna	Electric Companies
Pacific Gas & Electric Co	Garberville	Electric Companies
Public Health Admin	Eureka	County Government-Public Health Programs
Redwood Memorial Hospital	Fortuna	Hospitals
Sierra Pacific Industries	Arcata	Lumber-Manufacturers
St Joseph Health	Eureka	Hospitals
St Joseph Hospital	Eureka	Hospitals
Sun Valley Group	Arcata	Greenhouses
Target	Eureka	Department Stores
Trinidad Rancheria	Trinidad	Associations
Umpqua Bank	Eureka	Banks
Walmart	Eureka	Department Stores

Source: State of California Employment Development Department, extracted from The America's Labor Market Information System (ALMIS) Employer Database, 2014, 2nd Edition.

Commercial activity

During the calendar year 2012, total taxable sales in the City were \$806,874,000, a 4.94% increase over total taxable sales of \$768,878,000 that occurred during the calendar year 2011. A summary of historic taxable sales within the City is shown below.

CITY OF EUREKA
Taxable Transactions
(Dollars in Thousands)

	2009	2010	2011	2012	2013*
Retail and Food Services	101,984	111,650	117,779	140,150	36,420
Motor Vehicle and Parts Dealers	26,073	25,890	26,183	25,955	6,476
Bldg. Matrl. and Garden Equip. and Supplies	59,317	57,515	54,939	55,055	11,587
Food and Beverage Stores	35,634	37,213	36,688	34,653	8,277
Gasoline Stations	43,632	46,110	52,388	54,391	12,171
Clothing and Clothing Accessories	33,801	35,037	33,832	34,993	8,495
General Merchandise Stores	159,343	165,963	167,073	179,541	40,927
Food Services & Drinking Places	60,978	62,005	62,369	64,898	15,728
Other Retail Group	77,930	77,014	76,929	76,586	18,743
Retail and Food Service Totals	598,153	618,396	628,178	666,222	158,823
All Other Outlets	124,148	126,640	140,700	140,651	30,766
Totals All Outlets	722,301	745,036	768,878	806,874	189,588

**Through First Quarter of 2013*

Source: State Board of Equalization.

During calendar year 2012, total taxable sales in the County were \$1,768,170,000, a 4.12% increase over total taxable sales of \$1,698,178,000 that occurred during calendar year 2011. A summary of historic taxable sales within the County is shown below.

COUNTY OF HUMBOLDT
Taxable Retail Sales
Number of Permits and Valuation of Taxable Transactions
2008 through First Quarter of 2013
(Dollars in Thousands)

	Retail and Food Services		Total All Outlets	
	<u>Number of Permits</u>	<u>Taxable Transactions</u>	<u>Number of Permits</u>	<u>Taxable Transactions</u>
2008	2,275	415,272	4,731	1,692,797
2009	3,229	1,129,977	4,532	1,544,584
2010	3,302	1,177,739	4,642	1,704,007
2011	3,172	1,224,525	4,491	1,698,178
2012	3,208	1,298,773	4,499	1,768,170
2013*	3,219	303,434	4,484	406,718

**Through First Quarter of 2013*

Source: California State Board of Equalization, Taxable Sales in California (Sales & Use Tax).

PERSONAL AND PER CAPITA INCOME

The following table summarizes personal and per capita income for the County of Humboldt, the State and the United States for the period 2009 through 2012.

COUNTY OF HUMBOLDT Personal and Per Capita Income 2009 through 2012

<u>Year</u>	<u>Area</u>	Personal Income (thousands of dollars)	Population (persons)	Per Capita Personal Income
2009	Humboldt County	4,252,899	133,744	31,799
	California	1,536,429,610	36,961,229	41,569
	United States	12,073,738,000	306,771,529	39,357
2010	Humboldt County	4,417,785	135,039	32,715
	California	1,579,148,473	37,334,410	42,297
	United States	12,423,332,000	309,326,255	40,163
2011	Humboldt County	4,660,691	135,318	34,443
	California	1,683,203,700	37,683,933	44,666
	United States	13,179,561,000	311,587,816	42,298
2012	Humboldt County	4,810,714	134,827	35,681
	California	1,768,039,281	38,041,430	46,477
	United States	13,729,063,000	313,914,040	43,735

Source: Bureau of Economic Analysis.

BUILDING ACTIVITY

The tables below summarize building activity in the City and the County from calendar years 2009 through 2013.

CITY OF EUREKA Building Permit Activity Dollar Amounts Are Stated Fully

	<u>2009</u>	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>
Residential¹:					
Single Family	\$780,906	\$719,691	\$0	\$1,298,987	\$814,322
Two Family	\$0	\$188,608	\$0	\$213,930	\$404,497
Three and Four Family	\$442,820	\$0	\$0	\$0	\$0
Five or More Family	\$0	\$1,502,549	\$0	\$2,838,455	\$0
Total:	\$1,223,726	\$2,410,848	\$0	\$4,351,372	\$1,218,819
Commercial²:					
New Commercial	\$0	\$0	\$0	\$7,737,939	\$7,838,736
New Industrial	\$0	\$0	\$0	\$0	\$0
Other New Non-Res.	\$525,790	\$422,476	\$301,877	\$813,374	\$1,314,059
Com. Alterations/Additions	<u>\$3,203,694</u>	<u>\$4,374,416</u>	<u>\$10,005,714</u>	<u>\$3,090,693</u>	<u>\$4,745,644</u>
Total Nonresidential	\$3,729,484	\$4,796,892	\$10,307,591	\$11,642,006	\$13,898,439
Total All Building Permit Valuations:	\$7,167,734	\$8,862,949	\$12,179,654	\$17,400,553	\$17,285,503
New Dwelling Units³:					
Single-Family	5	3	0	5	4
All Multiple Family	4	18	0	22	4
Total:	9	21	0	27	8

Source: ¹U.S. Census Bureau, ²California Homebuilding Foundation – Construction Industry Research Board, ³U.S. Department of Housing and Urban Development

COUNTY OF HUMBOLDT
Building Permit Activity

	<u>2009</u>	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>
Residential¹:					
Single Family	\$15,631,458	\$19,533,198	\$21,366,638	\$14,982,064	\$18,827,375
Two Family	\$103,712	\$307,194	\$178,500	\$213,930	\$404,497
Three and Four Family	\$1,088,785	\$305,923	\$2,691,724	\$1,651,651	\$1,407,997
Five or More Family	\$0	\$1,502,549	\$5,173,313	\$4,827,601	\$4,807,153
Total:	\$16,823,955	\$21,648,864	\$29,410,175	\$21,675,246	\$25,447,022
Commercial²:					
New Commercial	\$5,847,262	\$9,355,550	\$717,976	\$10,112,095	\$10,646,763
New Industrial	\$0	\$0	\$0	\$1,833,089	\$442,000
Other New Non-Res.	\$2,907,348	\$4,738,384	\$3,134,252	\$7,780,054	\$4,982,403
Com. Alterations/Additions	<u>\$8,025,968</u>	<u>\$10,554,069</u>	<u>\$19,643,064</u>	<u>\$10,454,761</u>	<u>\$13,157,892</u>
Total Nonresidential	\$16,780,578	\$24,648,003	\$23,495,292	\$30,179,999	\$29,229,058
Total All Building Permit Valuations:	\$45,486,917	\$60,231,829	\$64,997,389	\$61,704,637	\$65,374,268
New Dwelling Units³:					
Single-Family	155	160	146	90	113
All Multiple Family	22	24	117	84	57
Total:	177	184	263	174	170

Source: ¹U.S. Census Bureau, ²California Homebuilding Foundation – Construction Industry Research Board,
³U.S. Department of Housing and Urban Development

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APPENDIX D

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Humboldt Community Services District (herein the “District”) in connection with the issuance of the California Municipal Finance Authority Wastewater Revenue Bonds, Series 2014 (Humboldt Community Services District Project) (the “Bonds”). The Bonds are being issued pursuant to a Trust Agreement, dated as of November 1, 2014 (the “Trust Agreement”), between the California Municipal Finance Authority and U.S. Bank National Association, as trustee (the “Trustee”). The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with Securities and Exchange Commission (“S.E.C.”) Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Trust Agreement, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries).

“Dissemination Agent” shall mean the District, or any successor Dissemination Agent designated in writing by the District and which has filed with the District a written acceptance of such designation.

“Holder” shall mean the person in whose name any Bond shall be registered.

“Listed Events” shall mean any of the events listed in Section 5(a) or (b) of this Disclosure Certificate.

“MSRB” shall mean the Municipal Securities Rulemaking Board or any other entity designated or authorized by the Securities and Exchange Commission to receive reports pursuant to the Rule. Until otherwise designated by the MSRB or the Securities and Exchange Commission, filings with the MSRB are to be made through the Electronic Municipal Market Access (EMMA) website of the MSRB, currently located at <http://emma.msrb.org>.

“Participating Underwriter” shall mean the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than seven months after the end of the District’s fiscal year (which shall be February 1 of each year, so long as the District’s fiscal year ends on June 30), commencing with the report for the 2013-14 fiscal year (which is due not later than February 1, 2015), provide to the MSRB an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Report may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided, that the audited financial statements of the District may be submitted separately

from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the District's fiscal year changes, it shall give notice of such change in a filing with the MSRB. The Annual Report shall be submitted on a standard form in use by industry participants or other appropriate form and shall identify the Bonds by name and CUSIP number.

(b) Not later than 15 business days prior to said date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If the District is unable to provide to the MSRB an Annual Report by the date required in subsection (a), the District shall, in a timely manner, send or cause to be sent to the MSRB a notice in substantially the form attached as Exhibit A.

(c) The Dissemination Agent shall (if the Dissemination Agent is other than the District) file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided to the MSRB.

SECTION 4. Content of Annual Reports. The District's Annual Report shall contain or include by reference the following:

(1) The audited financial statements of the District for the preceding fiscal year, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the time the Annual Report is required to be provided to the MSRB pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be provided to the MSRB in the same manner as the Annual Report when they become available.

To the extent not included in the audited financial statement of the District, the Annual Report shall also include the following:

(2) Outstanding indebtedness of the District.

(3) Tabular or numerical information of the types contained in the Official Statement dated November 6, 2014, relating to the Bonds, in the following tables:

(ii) Table 1 entitled "WASTEWATER SYSTEM Current Rates";

(iii) Table 5 entitled "Statement of Revenues, Expenses and Changes in Fund Net Position Fiscal Years Ended June 30, 2009 through June 30, 2013"; and

(iv) Debt service coverage for the preceding fiscal year, presented in the format of Table 6.

Any or all of the items listed above may be set forth in one or a set of documents or may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which have been made available to the public on the MSRB's website. The District shall clearly identify each such other document so included by reference.

SECTION 5. Reporting of Significant Events.

(a) The District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not later than ten business days after the occurrence of the event:

1. Principal and interest payment delinquencies;
2. Unscheduled draws on debt service reserves reflecting financial difficulties;

3. Unscheduled draws on credit enhancements reflecting financial difficulties;
4. Substitution of credit or liquidity providers, or their failure to perform;
5. Adverse tax opinions or issuance by the Internal Revenue Service of proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);
6. Tender offers;
7. Defeasances;
8. Rating changes; or
9. Bankruptcy, insolvency, receivership or similar event of the obligated person.

Note: for the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) The District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material, in a timely manner not later than ten business days after the occurrence of the event:

1. Unless described in paragraph 5(a)(5), other material notices or determinations by the Internal Revenue Service with respect to the tax status of the Bonds or other material events affecting the tax status of the Bonds;
2. Modifications to rights of Bond holders;
3. Optional, unscheduled or contingent Bond calls;
4. Release, substitution, or sale of property securing repayment of the Bonds;
5. Non-payment related defaults;
6. The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; or
7. Appointment of a successor or additional trustee or the change of name of a trustee.

(c) Upon the occurrence of a Listed Event described in Section 5(a), or upon the occurrence of a Listed Event described in Section 5(b) which the District determines would be material under applicable federal securities laws, the District shall within ten business days of occurrence file a notice of such occurrence with the MSRB. Notwithstanding the foregoing, notice of the Listed Event described in subsection (b)(3) need not be given

under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Trust Agreement.

SECTION 6. Format for Filings with MSRB. Any report or filing with the MSRB pursuant to this Disclosure Certificate must be submitted in electronic format, accompanied by such identifying information as is prescribed by the MSRB.

SECTION 7. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in a filing with the MSRB.

SECTION 8. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate. The initial Dissemination Agent shall be the District.

SECTION 9. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

(a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, or 5(a) or (b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in a filing with the MSRB, and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 10. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice required to be filed pursuant to this Disclosure Certificate, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event or any other event required to be reported.

SECTION 11. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate, any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. The sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriter and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Date: November 19, 2014

HUMBOLDT COMMUNITY SERVICES DISTRICT

By _____

EXHIBIT A

**FORM OF NOTICE TO THE MUNICIPAL SECURITIES RULEMAKING BOARD
OF FAILURE TO FILE ANNUAL REPORT**

Name of Issuer: California Municipal Finance Authority

Name of Bond Issue: Wastewater Revenue Bonds, Series 2014
(Humboldt Community Services District Project)

Date of Issuance: November 19, 2014

NOTICE IS HEREBY GIVEN that the Humboldt Community Services District has not provided an Annual Report with respect to the above-named Bonds as required by Section 5.16 of the Installment Sale Agreement (Wastewater System), dated as of November 1, 2014, between the California Municipal Finance Authority and the District. The District anticipates that the Annual Report will be filed by _____.

Date: _____

HUMBOLDT COMMUNITY SERVICES DISTRICT

By _____

APPENDIX E

PROPOSED FORM OF OPINION OF BOND COUNSEL

[Closing Date]

California Municipal Finance Authority
Carlsbad, California

California Municipal Finance Authority
Wastewater Revenue Bonds, Series 2014
(Humboldt Community Services District Project)
(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the California Municipal Finance Authority (the "Authority") in connection with the issuance of \$8,500,000 aggregate principal amount of California Municipal Finance Authority Wastewater Revenue Bonds, Series 2014 (Humboldt Community Services District Project) (the "Bonds"), issued pursuant to a trust agreement, dated as of November 1, 2014 (the "Trust Agreement"), between the Authority and U.S. Bank National Association, as trustee (the "Trustee"). Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Trust Agreement.

In such connection, we have reviewed the 2014 Installment Sale Agreement (Wastewater System), dated as of November 1, 2014 (the "Installment Sale Agreement"), between the Humboldt Community Services District (the "District"), as purchaser, and the Authority, as seller; the Trust Agreement; the Tax Certificate and Agreement, dated the date hereof (the "Tax Certificate") between the Authority and the District; opinions of counsel to the Authority, the District and the Trustee; certificates of the Authority, the District, the Trustee and others; and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by, and validity against, any parties other than the Authority. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents, and of the legal conclusions contained in the opinions, referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Installment Sale Agreement, the Trust Agreement and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes.

We call attention to the fact that the rights and obligations under the Bonds, the Installment Sale Agreement, the Trust Agreement and the Tax Certificate and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases, and to the limitations on legal remedies against joint powers authorities and community services districts in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), right of set-off, arbitration, judicial reference, choice of law,

choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents nor do we express any opinion with respect to the state or quality of title to or interest in any of the real or personal property described in or as subject to the lien of the Installment Sale Agreement or the Trust Agreement or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Authority.
2. The Trust Agreement has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Authority. The Trust Agreement creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and any other amounts held by the Trustee in any fund or account established pursuant to the Trust Agreement, except the Rebate Fund, subject to the provisions of the Trust Agreement permitting the application thereof for the purposes and on the terms and conditions set forth in the Trust Agreement.
3. The Installment Sale Agreement has been duly executed and delivered by, and constitutes the valid and binding obligations of, the Authority and the District.
4. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although we observe that it is included in adjusted current earnings when calculating corporate alternative minimum taxable income. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

per

APPENDIX F

BOOK-ENTRY ONLY SYSTEM

Book-Entry Only System

The information in this section concerning DTC and DTC's book-entry system has been obtained from DTC. The Authority and District take no responsibility for the accuracy or completeness thereof. The Authority and District cannot and do not give any assurances that DTC, DTC Participants or Indirect Participants will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation of ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedures" of DTC to be followed in dealing with DTC Participants are on file with DTC.

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered initially in the name of Cede & Co. (DTC's partnership nominee). One fully-registered Bond certificate for each maturity will be issued for the Bonds in the aggregate principal amount of each maturity, and will be deposited with DTC.

DTC, the world's largest depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and at www.dtc.org. The information contained in such websites is not incorporated by reference herein.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such

other nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults and proposed amendments to the bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within a maturity are being redeemed, DTC's practice is to determine by lot the amount of interest of each Direct Participant in such maturity to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an omnibus proxy (the "Omnibus Proxy") to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Authority or the Trustee, on payable dates in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee, or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Authority or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving reasonable notice to the Authority or the Trustee, or the Authority or District may decide to discontinue use of the system of book-entry transfers through DTC. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered in accordance with the provisions set forth in the Trust Agreement.

APPENDIX G

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER:

BONDS: \$ in aggregate principal amount of

Policy No: -N

Effective Date:

Premium: \$

ASSURED GUARANTY MUNICIPAL CORP. ("AGM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") (as set forth in the documentation providing for the issuance of and securing the Bonds) for the Bonds, for the benefit of the Owners or, at the election of AGM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the Business Day next following the Business Day on which AGM shall have received Notice of Nonpayment, AGM will disburse to or for the benefit of each Owner of a Bond the face amount of principal of and interest on the Bond that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by AGM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of the principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in AGM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by AGM is incomplete, it shall be deemed not to have been received by AGM for purposes of the preceding sentence and AGM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, who may submit an amended Notice of Nonpayment. Upon disbursement in respect of a Bond, AGM shall become the owner of the Bond, any appurtenant coupon to the Bond or right to receipt of payment of principal of or interest on the Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under the Bond, to the extent of any payment by AGM hereunder. Payment by AGM to the Trustee or Paying Agent for the benefit of the Owners shall, to the extent thereof, discharge the obligation of AGM under this Policy.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity unless AGM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment of principal or interest that is Due for Payment made to an Owner by or on behalf of the Issuer which has been recovered from such Owner pursuant to the

United States Bankruptcy Code by a trustee in bankruptcy in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means telephonic or telecopied notice, subsequently confirmed in a signed writing, or written notice by registered or certified mail, from an Owner, the Trustee or the Paying Agent to AGM which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount and (d) the date such claimed amount became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer or any person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

AGM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee and the Paying Agent specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee and the Paying Agent, (a) copies of all notices required to be delivered to AGM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to AGM and shall not be deemed received until received by both and (b) all payments required to be made by AGM under this Policy may be made directly by AGM or by the Insurer's Fiscal Agent on behalf of AGM. The Insurer's Fiscal Agent is the agent of AGM only and the Insurer's Fiscal Agent shall in no event be liable to any Owner for any act of the Insurer's Fiscal Agent or any failure of AGM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, AGM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to AGM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy.

This Policy sets forth in full the undertaking of AGM, and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, (a) any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity and (b) this Policy may not be canceled or revoked. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW.

In witness whereof, ASSURED GUARANTY MUNICIPAL CORP. has caused this Policy to be executed on its behalf by its Authorized Officer.

ASSURED GUARANTY MUNICIPAL CORP.

By _____
Authorized Officer

A subsidiary of Assured Guaranty Municipal Holdings Inc.
31 West 52nd Street, New York, N.Y. 10019
(212) 974-0100

Form 500NY (5/90)

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